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Foreword

This Economic Survey was prepared by Müge Adalet McGowan and Patrizio Sicari, under the supervision of Vincent Koen. Research assistance was provided by Natia Mosiashvili, administrative and editorial assistance was provided by Sisse Nielsen and communication assistance by François Iglesias.

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Basic statistics of Ireland, 2023

(Numbers in parentheses refer to the OECD average)[1]

LAND, PEOPLE AND ELECTORAL CYCLE

Population (million)	5.3			Population density per km²	76.4	(39.2)
Under 15 (%)	19.2	(17.0)		Life expectancy at birth (years, 2022)	83.1	(79.6)
Over 65 (%)	15.5	(18.3)		Men (2022)	81.3	(77.0)
International migrant stock (% of population, 2020)	17.6	(13.9)		Women (2022)	84.9	(82.4)
Latest 5-year average growth (%)	1.6	(0.4)		Latest general election		February 2020

ECONOMY

Gross domestic product (GDP)	GDP	GDP	GNI*[3]	Value added shares (%)		
In current prices (billion USD)	552.1		314.6	Agriculture, forestry and fishing	0.9	(2.8)
In current prices (billion EUR)	510.6		290.9	Industry including construction	39.5	(27.2)
Latest 5-year average real growth (%)	5.8	(1.7)	4.6	Services	59.5	(70.0)
Per capita (thousand USD PPP)[2]	129.1	(59.0)	73.2			

GENERAL GOVERNMENT

	% of GDP		% of GNI*[3]		% of GDP		% of GNI*[3]
Expenditure	22.7	(42.9)	39.8	Gross financial debt (OECD: 2022)	46.2	(109.6)	81.0
Revenue	24.2	(38.1)	42.5	Net financial debt (OECD: 2022)	25.1	(66.5)	44.1

EXTERNAL ACCOUNTS

Exchange rate (EUR per USD)	0.92			Main exports (% of total merchandise exports)		
PPP exchange rate (USA = 1)	0.75			Chemicals	64.2	
	% of GDP		% of GNI*[3]	Miscellaneous	10.1	
Exports of goods and services	134.8	(31.3)	236.3	Machinery and electronics	9.7	
Imports of goods and services	101.7	(31.2)	178.3	Main imports (% of total merchandise imports)		
Current account balance	8.1	-(0.3)		Chemicals	27.2	
Net international investment position	-103.9			Machinery and electronics	19.2	
Modified current account balance3	1.9		3.3	Transportation	18.6	

LABOUR MARKET, SKILLS AND INNOVATION

Employment rate (aged 15 and over, %)	62.7	(58.0)		Unemployment rate, Labour Force Survey (aged 15 and over, %)	4.3	(4.8)
Men	67.7	(65.5)		Youth (aged 15-24, %)	10.6	(10.6)
Women	57.9	(50.8)		Long-term unemployed (1 year and over, %)	1.1	(1.0)
Participation rate (aged 15 and over, %)	65.5	(60.9)		Tertiary educational attainment (aged 25-64, %)	55.3	(41.0)
Average hours worked per year	1 633	(1 742)			% of GDP	% of GNI*[3]
				Gross domestic expenditure on R&D (2021)	1.1 (2.9)	2.2

ENVIRONMENT

Total primary energy supply per capita (toe)	2.5	(3.7)	CO_2 emissions from fuel combustion per capita (tonnes)	5.8	(7.6)
Renewables (%)	14.2	(12.5)	Water abstractions per capita (1 000 m³, 2009)	0.2	
Exposure to air pollution (more than 10 µg/m³ of PM 2.5, % of population, 2020)	2.8	(56.5)	Municipal waste per capita (tonnes, 2020, OECD: 2022)	0.6	(0.5)

SOCIETY

Income inequality (Gini coefficient, 2022, OECD: latest available)	0.285	(0.316)	Education outcomes (PISA 2022 score)		
Relative poverty rate (%, 2022)	7.0	(11.7)	Reading	516	(476)
Median disposable household income (thousand USD PPP, 2022, OECD: 2021)	36.5	(30.0)	Mathematics	492	(472)
Public and private spending	% of GDP		% of GNI*[3]	Science	504	(485)
Health care	6.6	(9.2)	12.8	Share of women in parliament (%)	23.1	(32.8)
Pensions (2019)	3.4	(9.5)	6.0	Net official development assistance (% of GNI)	0.7	(0.4)
Education (total spending, 2020)	3.2	(5.1)	6.2			

[1] The year is indicated in parenthesis if it deviates from the year in the main title of this table. Where the OECD aggregate is not provided in the source database, a simple OECD average of latest available data is calculated where data exist for at least 80% of member countries.

[2] OECD aggregate refers to weighted average.

[3] Modified gross national income and modified current account balance are national indicators to capture the underlying dynamics of the domestic Irish economy.

Source: Calculations based on data extracted from databases of the following organisations: OECD, International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank and CSO.

IMANA
COLENSO

Executive summary

Key messages:

- Fiscal restraint is called for in the near term, while enhancing the fiscal framework, increasing spending efficiency and improving the medium-term resilience of tax revenues are key to ensuring long-run fiscal sustainability.
- Preserving Ireland's cost competitiveness requires reducing labour and skills shortages, lowering legal costs and further easing administrative burdens on businesses.
- Speedier implementation of plans and pricing emissions more uniformly across sectors would help achieve Ireland's ambitious climate targets.
- Policies to increase housing density, improve land use and planning, and raise productivity and lower costs in the construction sector would boost housing supply, including for social housing.

Increasing resilience in the face of longer-run challenges

Maintaining stable growth and high living standards, in a context of a rapidly increasing population and rising capacity constraints, requires policies to address challenges due to population ageing, ensure adequate supply of affordable housing and combat climate change.

Despite several major shocks, Ireland has raised its economic performance and standard of living over recent decades. The stable institutional framework and supportive business environment, combined with a well-educated population, have attracted foreign investment and innovative businesses. Thanks to a highly redistributive tax and transfer system, inequalities in disposable income remain limited.

However, Ireland faces a number of challenges. High concentration of value-added in a few multinational-dominated sectors creates risks to growth and tax revenues. Delays in critical infrastructure delivery, particularly in housing and energy, could lower well-being and decrease competitiveness. Most notably, high housing costs could lower the attractiveness of Ireland for foreign direct investment and talent. Population ageing will add to long-term fiscal sustainability pressures, with the old-age dependency ratio set to double by 2050. Meeting the ambitious climate targets of reducing greenhouse gas emissions by 51% from 2018 levels by 2030 and achieving climate neutrality by 2050 will also require substantial reforms and investment.

The National Development Plan 2021-30 has a total allocation of EUR 165 billion to support housing, digital and green transformations, infrastructure and healthcare, and aims to keep public investment around 5% of GNI*. These investments are critical for future competitiveness and long-term growth but face capacity constraints, especially in terms of labour and skills. Effective prioritisation and sequencing across sectors and type of projects is needed to balance potential short-run inflationary impacts and the long-run benefits of enhanced public investment. An efficient planning and permitting system, by ensuring an effective implementation of the new Planning and Development Act, will also be crucial to meet the ambitious housing and climate targets.

Maintaining fiscal prudence in the near term, while improving long-run fiscal sustainability

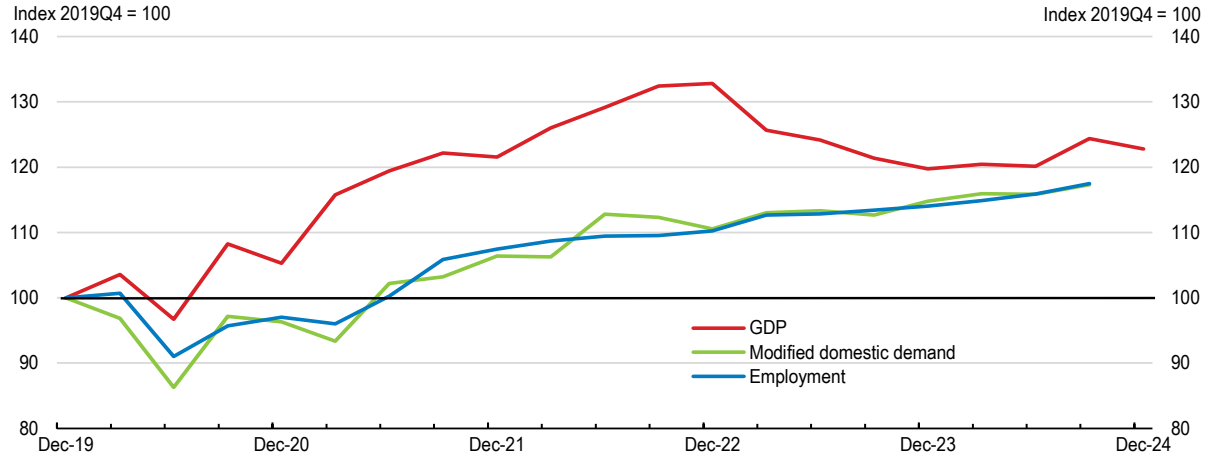
Economic activity is set to be robust in 2025-26 as inflationary pressures and financial conditions ease and volatility from the multinational sector subsides, but downside risks to growth have become more prominent. Fiscal restraint is called for in the near term, while enhancing the fiscal framework, increasing spending efficiency and improving the medium-term resilience of tax revenues are key to ensuring long-run fiscal sustainability.

Domestic demand has been more resilient than the volatile external sector. Despite GDP volatility, driven by some multinational-dominated sectors, modified domestic demand, which excludes multinationals' transactions that do not have a big impact on the domestic economy, has been more resilient, thanks to strong labour market performance (Figure 1). The employment rate reached a record high in the third quarter of 2024, and the unemployment rate remains near historical lows.

Real GDP and modified domestic demand are set to grow robustly in 2025-26 (Table 1). The subsiding of volatility from the multinational sector, a tight labour market, and easing inflationary pressures and financial conditions will support growth. Headline consumer price inflation is projected to be around 1.8% in 2025-26.

Downside risks to growth have risen. Geopolitical fragmentation or weaker global demand could weigh on exports. Tighter capacity constraints or renewed pressures on energy and food prices may keep inflation higher than foreseen, dampening consumption. On the upside, a faster drop in services prices would ease SME operational costs and boost consumer confidence.

Figure 1. Strong job creation is driving the domestic economy



Note: Modified domestic demand excludes large transactions of foreign corporations that do not have a big impact on the domestic economy. Flash GDP estimate for Q4 2024.
Source: OECD, National Accounts database.

StatLink https://stat.link/2lk13e

Table 1. Real GDP and modified domestic demand are set to be resilient

Annual growth rates, %, unless specified

	2023	2024	2025	2026
Real GDP[1]	-5.7	0.3	3.7	3.5
Modified domestic demand[2]	2.7	2.7	3.0	2.7
Unemployment rate (% labour force)	4.3	4.3	4.2	4.3
Inflation (harmonised index of consumer prices)	5.2	1.5	1.9	1.8
General government debt, Maastricht definition (% GDP)	43.2	38.4	35.6	33.0

Note: 1. The historical data reflect the Central Statistics Office's 28 January 2025 preliminary GDP estimate, but the projections are those from the December 2024 OECD Economic Outlook. 2. Excludes large transactions of foreign corporations that do not have a big impact on the domestic economy.
Source: OECD, Economic Outlook 116 database and Central Statistics Office.

The financial system appears resilient, but risks should be monitored closely. The high share of non-bank lending to small and medium-sized enterprises and the commercial real estate market creates vulnerabilities. Ireland is at the forefront of developing a macroprudential framework for non-banks. Close monitoring of non-banks should be continued with a view to recalibrate macroprudential measures, as needed.

Fiscal restraint is needed. The short-term fiscal situation is robust, supported by strong tax revenues. However, around half of the cost-of-living measures in the Budget 2025 package are untargeted, and the 5% domestic net spending rule will be breached again. In a context of capacity constraints, pro-cyclical expansion in current expenditures, which tend to exacerbate price pressures, should be avoided.

Maintaining short-term fiscal prudence would also help build buffers to increase resilience to shocks and improve long-run fiscal sustainability. Public debt at 43.2% of GDP in 2023 is low, but it is 76% of GNI* and gross debt per capita remains relatively elevated. Population ageing and the digital and green transitions will increase future costs. Hence, fiscal and structural reforms are needed to ensure long-run debt sustainability.

The plans to shift from a hospital-based healthcare system to one that integrates primary, community and long-term care will improve spending efficiency. This requires a transition towards more decentralised service delivery, which is progressing through the creation of Health Regions. These should be swiftly complemented with a transparent funding model

based on regional needs and improved data availability and governance.

There is room to improve the medium-term resilience of revenues, given the concentration of corporation and income tax returns arising from a small number of large multi-nationals. Around one-third of income earners do not pay personal income taxes or the universal social charge. While the standard value-added tax rate is high, reduced rates decrease its yield.

The domestic net spending rule and the establishment of two savings funds have strengthened the fiscal framework. However, there is room to improve medium-term fiscal planning. Recurrent breaches of the domestic spending rule are lowering its credibility. Introducing more binding and credible guardrails to complement the new EU fiscal rules, including stronger political anchoring, would improve its effectiveness.

Addressing repeated, sizeable spending overruns, especially in the health sector, can help create room for capital investment in infrastructure. Ireland conducts annual spending reviews on specific areas but should also use comprehensive expenditure reviews. Linking the results to the medium-term expenditure framework and the annual budget process is crucial to deliver spending efficiency gains.

Preserving the cost attractiveness of the business environment

Further reducing labour and skills shortages, lowering legal costs and further easing administrative burdens on businesses, such as licensing and permitting requirements, are key to preserving Ireland's cost competitiveness.

Labour shortages can limit housing and green investment and hamper SME activities. While upskilling and reskilling systems are well-established, participation could be improved further, especially for low-skilled, unemployed, and inactive adults.

The recent increases in female employment are welcome, but more is needed. Despite marked increases in childcare subsidies, the high cost of childcare creates disincentives for some groups of women to enter work or work more hours. Making childcare subsidies more means-tested would improve equal access.

Ireland is introducing various labour market and pension reforms, which will improve working conditions. However, there are concerns that the simultaneous implementation of the reforms may entail risks to cost competitiveness. The cumulated impact on business sustainability, especially on smaller businesses in labour-intensive sectors, should be closely monitored.

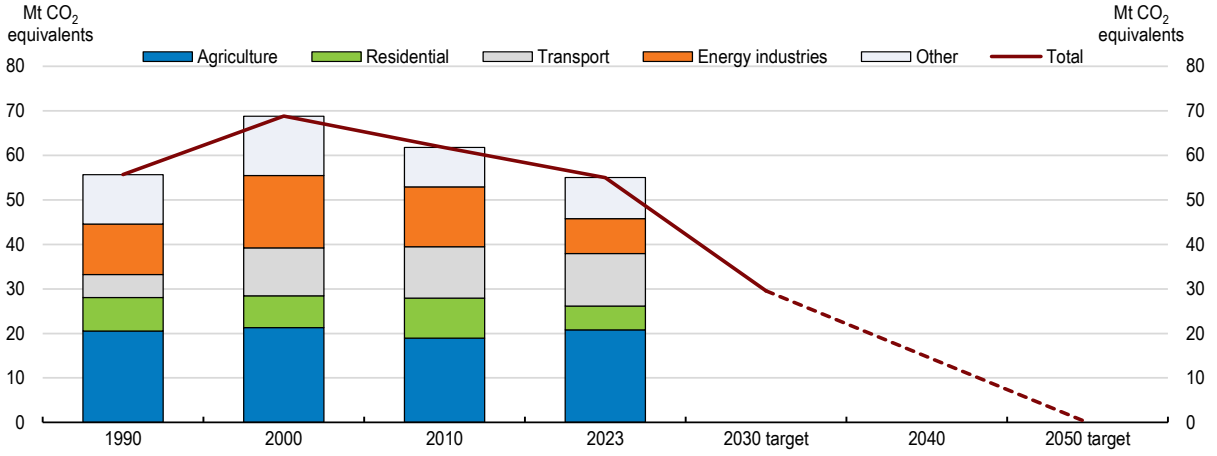
Lengthy court proceedings, partly due to pandemic-related backlogs, and high legal costs, especially of litigation, can also reduce competitiveness. Competition-enhancing reforms easing the setting up of multi-disciplinary practices can boost the legal system's efficiency and help reduce legal costs. The efficiency of case management and planning in the court system should also be improved by further integrating information and data systems.

Reducing emissions while adapting to climate change

While Ireland has well-developed mitigation and adaptation frameworks, a shift from planning to implementation, focusing on delivery of concrete actions, is needed. Pricing emissions more uniformly across sectors and phasing out fossil fuel subsidies can help meet emission targets.

Ireland is not on track to meet its 2030 greenhouse gas emission targets and needs to make faster progress in putting emissions on a sustained downward trend. The legislation of ambitious targets (Figure 2) and the establishment of carbon budgets and sectoral emission ceilings should be followed through with speedier implementation of concrete actions.

Figure 2. Greenhouse gas emissions need to decline sharply to meet targets



Note: The linear path is the interpolated path to the national emission reduction targets relative to 2018 levels for 2030 (-51%) and 2050 (net zero emissions) as stated in the 2021 Climate Action Plan.
Source: Environmental Protection Agency.

StatLink https://stat.link/hui2nb

A faster permitting and planning system will be key to meeting climate targets. Electricity demand is rising, reflecting inter alia population growth, data centres, electrification of heating and transport, requiring an acceleration of renewables. Faster permitting and grid connection processes, and upgrades in transmission, distribution and storage infrastructure are needed.

Pricing of emissions should be made more uniform across sectors and fuels. The carbon tax, currently at EUR 63.5 per tonne of CO_2 emissions and set to gradually reach EUR 100 by 2030, will support price signals**.** However, carbon pricing is relatively low in agriculture and buildings, where emissions are high. Furthermore, fossil fuel subsidies (EUR 3.5 billion in 2022), of which diesel for transport use accounted for the largest share, undermine the environmental impact of the carbon tax.

Lack of a standardised approach to monitoring adaptation makes the assessment of implementation challenging. Establishing a set of national adaptation key performance indicators and timelines to monitor implementation can also help improve consistency across sectoral adaptation policies.

Making housing more affordable and resilient for all

Addressing housing affordability challenges requires reforms to strengthen the supply response to rising demand. Policies to increase housing density, improve land use and planning, and boost productivity and lower costs in the construction sector are needed for a well-functioning housing market. Ensuring adequate supply and funding for social housing would ameliorate living conditions for the most vulnerable, and help combat homelessness.

The government has prioritised housing policies with the 2021 Housing for All Plan. In a context of strong demand due to population growth, past under-investment and constrained supply (Figure 3) have led to affordability and viability challenges. Recent policies have contributed to an increase in housing completions, but supply-demand mismatches persist. Ongoing policies to improve productivity in the construction sector and address labour shortages should be continued. It will also be important to improve the data framework and digitisation of planning processes to complement the new Planning and Development Act.

An accurate assessment of housing needs is crucial for policy design. The recent increase in annual housing targets from 33 000 to around 50 000 is welcome, but does not fully reflect total housing needs arising from the legacy of past under-investment. Some local authorities use the results of the tool, which translates national targets to local ones, as ceilings rather than as minima. This can lower supply, especially in some urban areas, as planning permissions do not always translate into home completions.

The temporary tax measures introduced in recent budgets to address near-term affordability challenges should be phased out. The re-introduction of mortgage interest relief and extension of tax reliefs and credits for landlords and tenants are not targeted and can be regressive.

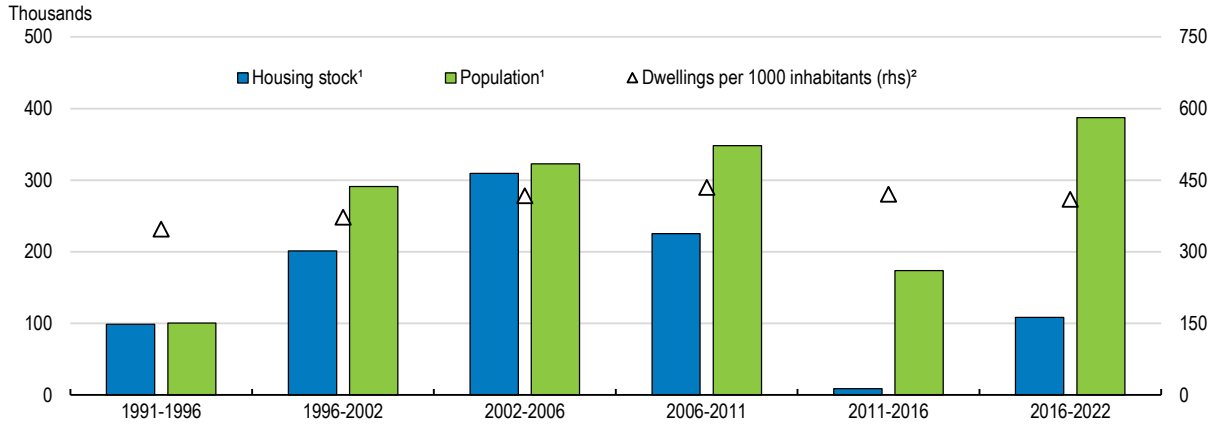
Higher tax rates on residential dwellings and land can support tax neutrality, by reducing homeownership bias, while strengthening incentives to develop land and build. The residential zoned land tax, set to replace the 7% vacant site levy, is broader in scope and administratively less costly. However, the annual rate of 3% should be raised. Furthermore, despite recent reforms, local property taxes remain low.

More sustainable land development is key to increasing housing supply, while maximising the use of existing infrastructure and preventing urban sprawl. Existing national land-use data, which are scattered across various sources and lack standardisation, and the absence of a land-use classification system lower the effectiveness of planning processes. The planned development of land-use maps should be prioritised.

High construction costs can be a barrier to the cost-effective implementation of planned spending increases on housing, and delivery of compact urban growth. They also make it difficult to deliver housing units at sale or rental prices consistent with costs of production and household incomes. Regularly assessing the drivers of relatively high Irish construction costs, easing regulations with respect to size and specification of units and increasing adoption of standardisation should be prioritised.

High rents and low rental supply have increased the need for public support to households and to combat homelessness. Reducing the complexity of rental regulation and ensuring greater certainty for investors can help boost supply. The provision of social housing is expanding but has not kept up with needs. The system is characterised by increasing costs and dependence on housing allowances and the private sector rental market. The current social housing funding model should be reassessed to allow a switch of some social transfers to the construction of social or affordable housing to ensure the long-term financial sustainability of the system. A higher supply of social housing, combined with streamlined allocation processes, can also help combat homelessness, which has risen over recent years.

Figure 3. Housing supply has not kept up with population growth



Note: 1. Changes relative to previous census. 2. The measurement refers to the end of period (for example, 1996 for the 1991-96 period).
Source: Central Statistics Office.

StatLink https://stat.link/74l95c

Main findings	Key recommendations
Increasing resilience to shocks and improving long-run fiscal sustainability	
Given capacity constraints, including a tight labour market, expansionary fiscal policy could lead to overheating.	Exercise more short-term fiscal restraint, by prioritising expenditures and phasing out remaining one-off cost-of-living measures, in order to continue to build buffers.
Achieving efficiency gains from the reduced use of costly hospital services depends on swiftly establishing funding models based on local population needs to effectively ensure quality, patient-centred, and integrated health and social care services at the community-level.	Complete the establishment of Health Regions and frontload the introduction of a Population-Based Resource Allocation funding model to move away from a hospital-centred system.
A relatively narrow tax base and high reliance on tax revenues from multinationals can create risks. Around one-third of income earners do not pay personal income taxes or the universal social charge. Despite a high standard value-added tax rate, the reduced rates lower its yield.	Develop a roadmap to diversify tax revenues in the medium term, for example by broadening the personal income and the value-added tax bases.
The introduction of a domestic spending rule net of taxes and the creation of two savings funds strengthened the domestic fiscal framework, but the rule has been breached consistently since its introduction, partly reflecting repeated, sizeable spending overruns, especially in the health sector.	Establish more binding fiscal guardrails to complement the new EU rules, with stronger political anchoring and well-defined escape clauses. Conduct regular comprehensive spending reviews to complement the existing ones on specific areas and link both types of spending reviews to the medium-term expenditure framework and the annual budget process.
Credit provision by non-banks has been increasing.	Continue to closely monitor non-banks, with a view to recalibrate macroprudential measures, as needed.
Maintaining the cost attractiveness of the business environment	
Despite marked increases in childcare subsidies, access to childcare remains constrained for some groups due to high costs, adversely affecting female employment opportunities.	Make public financial support for childcare more means-tested and couple it with continued measures to expand childcare capacity.
Ireland is introducing reforms to improve working conditions, which, coming on top of lingering post-pandemic fragilities in some sectors, have triggered businesses' concerns over excessive cost pressures.	Closely monitor the combined cost impact of reforms to improve working conditions on sectoral business sustainability, and adjust the sequencing as needed.
Competition-enhancing reforms could help reduce legal costs by increasing service innovation and the legal system's efficiency.	Enhance competition in legal services by easing the setting up of multi-disciplinary practices with a Limited Liability Partnership status.
Reducing greenhouse gas emissions and adapting to climate change	
Greenhouse gas emissions in 2023 were only 7.8% lower than in 2018, as against the national target of a 51% reduction by 2030.	Shift from planning to faster implementation in terms of climate plans, with a focus on delivery of concrete actions within stated timeframes.
The development of renewable electricity projects depends on planning and implementation, including at local levels.	Expedite permitting and grid connection processes and upgrades in transmission, distribution and storage infrastructure.
Carbon prices are highly uneven across sectors, reducing incentives to reduce emissions. Ireland has various forms of direct support to end-users' fossil fuel consumption.	Further align carbon prices across sectors in line with their environmental impacts and phase out fossil fuel and other environmentally harmful subsidies.
While the new National Adaptation Framework plans to increase consistency and monitoring of sectoral plans, a standardised approach to monitoring adaptation is lacking.	Establish and use a set of national adaptation indicators and timelines to monitor implementation.
Making housing more affordable and resilient for all	
The dynamism of the Irish economy and uncertainty surrounding future developments coupled with insufficient incorporation of pent-up demand has led to an underestimation of housing targets.	Ensure housing targets reflect housing needs accurately through regular updates and better align local targets with local conditions, especially in urban areas where housing shortages are more acute.
Temporary tax measures were introduced in Budgets 2024 and 2025 to improve housing affordability and rental supply.	Phase out the temporary mortgage interest rate relief and tax incentives for landlords and tenants introduced in recent budgets.
Receipts from taxation of immovable property are modest. Higher tax rates on residential dwellings can support tax neutrality, while higher land taxes can increase the supply of serviced land.	Increase local property taxes and the rates of residential zoned land.
Costs are high and productivity is low in the construction sector, notably for apartments in urban areas. Widespread adoption of standardised construction methods faces start-up costs.	Implement the recommendations of the 2023 Residential Construction Cost Study by reforming specifications and size of units and further enhancing the adoption of standardisation in construction, especially by SMEs.
National land-use data are scattered and not standardised, and a land-use classification system is lacking, hampering planning.	Step up efforts to establish a national land-use classification system to enable the rapid release of a national land-use map.
The social housing stock is increasing, but not enough to meet rising needs. The system is characterised by increasing costs and dependence on housing allowances and the private sector rental market.	Reform the funding of social housing by diversifying sources of finance and recycling revenues back into social housing provision.
Complex social housing allocation processes and diverging prioritisation criteria across local authorities contribute to rising number of people experiencing homelessness.	Streamline social housing allocation processes and prioritise people experiencing homelessness more.

1 Increasing resilience to shocks

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Despite GDP volatility, driven by some multinational-dominated sectors, domestic economic activity expands robustly, thanks to a strong labour market performance and easing inflationary pressures and financial conditions. The financial system appears resilient, but risks from the high share of non-bank lending to SMEs and the commercial real estate market should be monitored closely. The near-term fiscal situation remains resilient thanks to robust revenues. However, addressing spending pressures from ageing, climate change and housing and infrastructure investment needs will be key to ensuring long-term fiscal sustainability. This requires enhancing the fiscal framework, boosting spending efficiency and diversifying tax revenues. Reforms to improve the financial sustainability of the pension system should be transparent and fair across generations.

Growth is set to be resilient, but uncertainties remain

The strong labour market has been driving the domestic economy

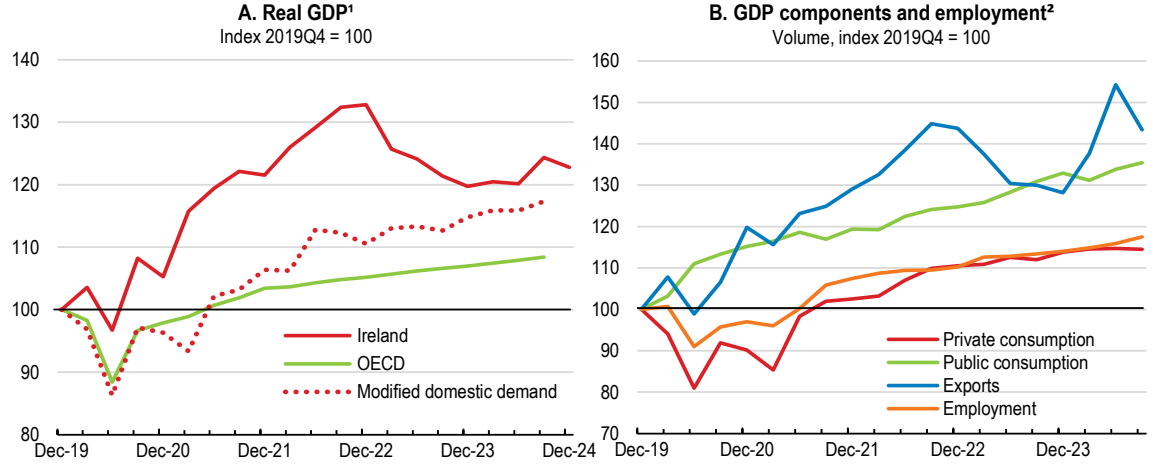
Assessing the performance of the Irish economy is complicated by the presence of multinational firms whose large transactions can heavily impact national accounts (Box 1.1), For example, the sharp contraction in real GDP in 2023, due to reduced contract manufacturing and the spillovers from some large multinationals' restructuring, contrasts with the 5% increase in GNI* (excluding large transactions of foreign corporations), which better reflects the true state of the domestic economy. Significant swings in investment and exports, driven by the multinational sector, also created volatility in the course of 2024 (Figure 1.1, Panel A). Public and private consumption, underpinned by a tight labour market, continue to support growth (Panel B).

Box 1.1. Different measures to capture the underlying dynamics of the domestic Irish economy

To better capture the underlying dynamics of the Irish economy, the Central Statistics Office publishes some alternative metrics, such as Modified Domestic Demand (MDD) and Modified Gross National Income (GNI*). The former measures domestic demand, but excludes volatile components of investment spending by multinationals, namely on-shored intellectual property assets and investment in aircraft for leasing, which have very little impact on the domestic economy. GNI* goes further by taking into account the modified current account (CA*), which reflects the import content of domestic expenditure, and the contribution to growth from domestic trade and cross-border flows (excluding multinational-dominated trade), thereby allowing for a comprehensive assessment of productivity trends. In particular, relative to the standard GNI, GNI* excludes the factor income of firms that have re-domiciled their headquarters to Ireland, as well as the depreciation of trade in on-shored intellectual property assets, R&D service imports and aircraft owned by aircraft-leasing companies. As seen in the Basic Statistics Table at the beginning of this Survey, expressing different variables as a share of GNI* rather than GDP considerably alters the picture of the Irish economy. The Department of Finance uses fiscal variables, such as public debt as a share of GNI*, which enables a better assessment of the fiscal situation.

Source: Department of Finance (2021), *Forecasting GNI* - Detailing the Department of Finance Approach*, Dublin; Central Statistics Office, *Modified GNI;* Department of Finance (2024), *The Balance of Payments in Ireland: An Update,* Dublin.

Figure 1.1. Domestic demand has been more resilient than the volatile external sector



1. Flash GDP estimate for Q4 2024. Modified domestic demand excludes large transactions of foreign corporations that do not have a big impact on the domestic economy.
2. Exports refer to both goods and services.
Source: OECD, National Accounts database.

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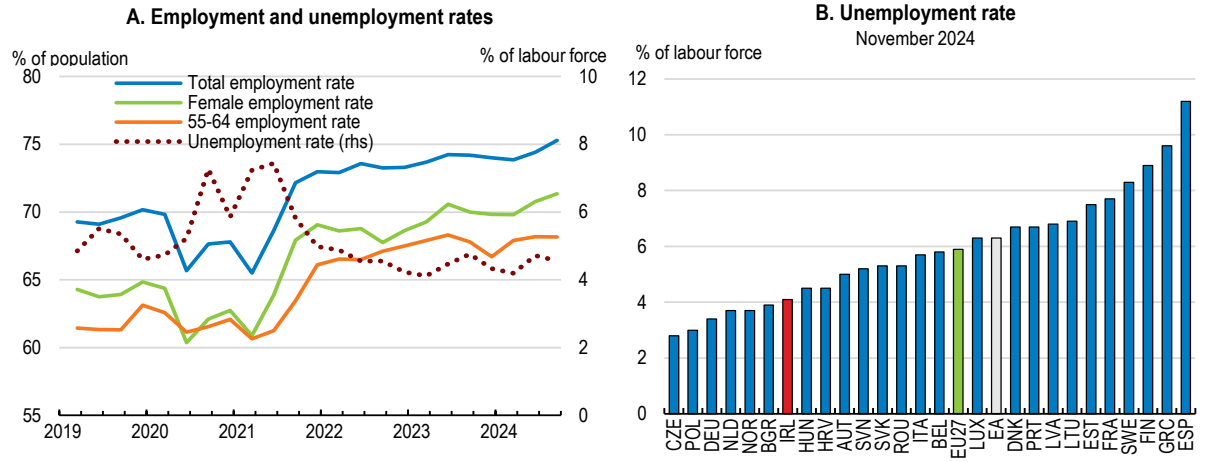
Supported by the resilience of the service sector and net inward migration, employment reached a record high in the third quarter of 2024 (Figure 1.2, Panel A). The unemployment rate remains around historical lows, and well below the EU average of around 6% (Panel B). The female employment rate is also at a record high 71%, and the employment of older works has risen. While recent survey data still point to net job creation in manufacturing and services, job vacancy rates have declined since late 2022, except in public administration and administrative and support services (Chapter 2). Even so, they remain above their long-term averages and firms cite skills and labour shortages as a main concern.

Figure 1.2. The labour market continues to sustain growth



Note: Panel A: Those aged 15-64. Panel B: Those aged 15-74.
Source: Eurostat, Labour Force Survey (database).

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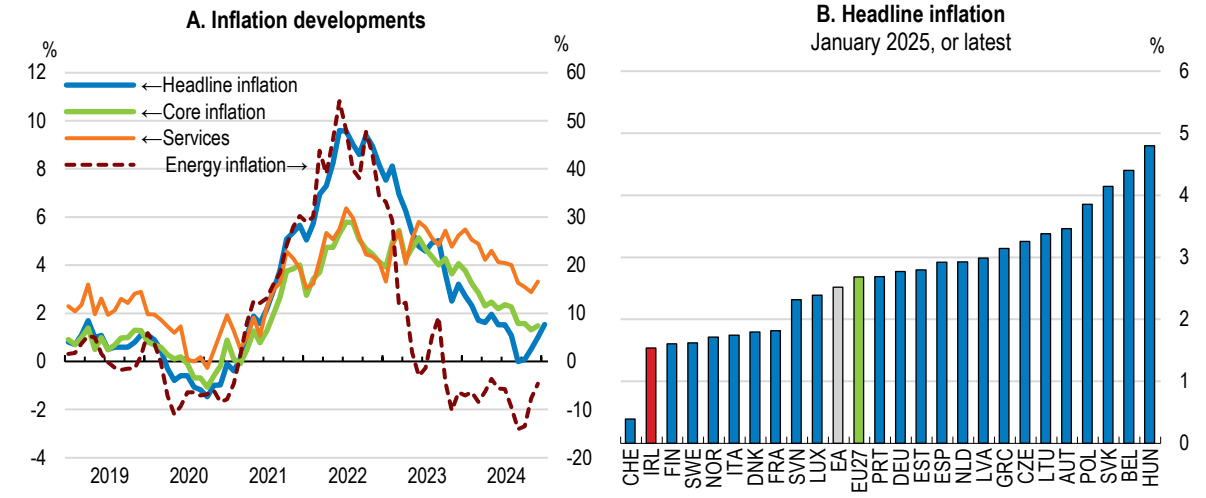
Harmonised headline consumer price inflation has eased from its peak levels due to lower energy prices and was 1.5% in January (Figure 1.3). Harmonised core inflation was 1.5% in December, driven by a decline in in non-energy goods prices and an easing in service inflation, which nevertheless is around 3.3%, reflecting capacity constraints against the background of strong domestic demand. House price inflation remains high. Nominal house prices were up 9.7% in October on a year earlier, while rents (in the harmonised consumer price index) were up by 5.3% in December.

Figure 1.3. Headline inflation has eased but pressures on services prices remain



Note: Harmonised indices. Panel A: Core inflation excludes energy, food, alcohol, and tobacco. Flash estimate for January 2025.
Source: Eurostat, Monthly Harmonised Index of Consumer Prices.

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Risks to growth are tilted to the downside

Real GDP growth is set to reach 3.7% in 2025 and 3.5% in 2026, as volatility from the multinational sector subsides, financial conditions improve, and goods exports recover (Table 1.1). Robust real income growth, combined with a relatively tight labour market, improving financial conditions, and the cost-of-living measures included in Budget 2025, will underpin household consumption. Further interest rate reductions will enhance domestic firms' incentives to invest, while significant support to domestic investment, especially in the residential sector, will also come from robust growth in public capital spending, as set out in the National Development Plan. As a result, modified domestic demand growth is projected to stabilise around 3% in 2025-26, below its long-term average of around 3.5%. Headline consumer price inflation is set to be slightly below 2% in 2025-26.

Table 1.1. GDP and modified domestic demand are set to be resilient

	2021	2022	2023	2024	2025	2026
	Current prices (EUR billion)	Percentage changes, volume (2022 prices)				
GDP at market prices	448.2	8.7	- 5.7	0.3	3.7	3.5
Private consumption	105.4	10.9	4.3	3.7	3.6	2.8
Government consumption	52.5	4.1	5.6	2.9	2.5	1.6
Gross fixed capital formation	98.7	4.1	2.8	- 22.1	0.0	3.8
Final domestic demand	256.7	7.3	3.9	- 5.3	2.3	2.8
Stockbuilding[1]	5.3	0.8	1.3	- 2.3	0.3	0.0
Total domestic demand	262.0	7.8	5.7	- 7.7	2.6	3.0
Exports of goods and services	597.0	13.6	- 6.0	9.7	4.3	3.9
Imports of goods and services	410.8	16.4	1.3	5.7	3.7	3.7
Net exports[1]	186.2	3.1	- 9.4	6.2	2.5	1.8
Memorandum items						
Modified final domestic demand[2], volume	_	9.1	2.7	2.7	3.0	2.7
GDP deflator	_	6.9	4.0	1.9	1.6	1.8
GNI*[3]	_	- 4.6	15.4			
Harmonised index of consumer prices	_	8.1	5.2	1.5	1.9	1.8
Harmonised index of core inflation	_	4.6	4.4	2.4	2.1	1.9
Unemployment rate (% of labour force)	_	4.4	4.3	4.3	4.2	4.3
Household saving ratio, net (% of disposable income)	_	10.3	9.1	8.6	8.7	8.9
General government financial balance (% of GDP)	_	1.7	1.5	4.5	1.8	1.7
General government financial balance (% of GNI*)	_	3.7	2.8	11.7		
General government debt, Maastricht definition (% of GDP)	_	43.2	43.2	38.4	35.6	33.0
General government debt, Maastricht definition (% of GNI*)	_	97.4	82.7	68.3		
Current account balance (% of GDP)	_	8.8	8.1	12.8	13.0	13.4
Modified current account balance[4] (% of GNI*)	_	19.8	15.5	22.8		

Note: The historical data reflect the Central Statistics Office's 28 January 2025 preliminary GDP estimate, but the projections are those from the December 2024 OECD Economic Outlook.
1. Contributions to changes in real GDP, actual amount in the first column.
2. Excludes those large transactions of foreign corporations that do not have a big impact on the domestic economy.
3. Excludes the factor income of firms that have re-domiciled their headquarters to Ireland, as well as the depreciation of trade in on-shored intellectual property assets, R&D service imports and aircraft owned by aircraft-leasing companies.
4. Modified current account balance removes a number of globalisation-related distortions, including trade and depreciation of intellectual property assets and aircraft related to leasing along with profits of redomiciled firms.
Source: OECD, Economic Outlook 116 database and Central Statistics Office.

Rising geopolitical tensions, trade protectionism and weaker global demand could weigh on exports. Tighter capacity constraints or renewed pressures on energy and food prices may keep inflation higher than foreseen, weighing on consumption. Delayed progress in addressing capacity constraints in housing and other infrastructure could generate higher and more persistent price and wage inflation and damage

competitiveness. On the upside, a faster drop in services prices would ease SME operational costs and boost consumer confidence. Greater than assumed use of the 'excess' household savings built up during the pandemic, which have remained high, would boost spending or investment and increase domestic demand. Higher-than-expected inward migration could boost labour supply, employment and output. In addition, other lower-probability threats to the outlook could derail the economy (Table 1.2).

Table 1.2. Events that could lead to major changes in the outlook

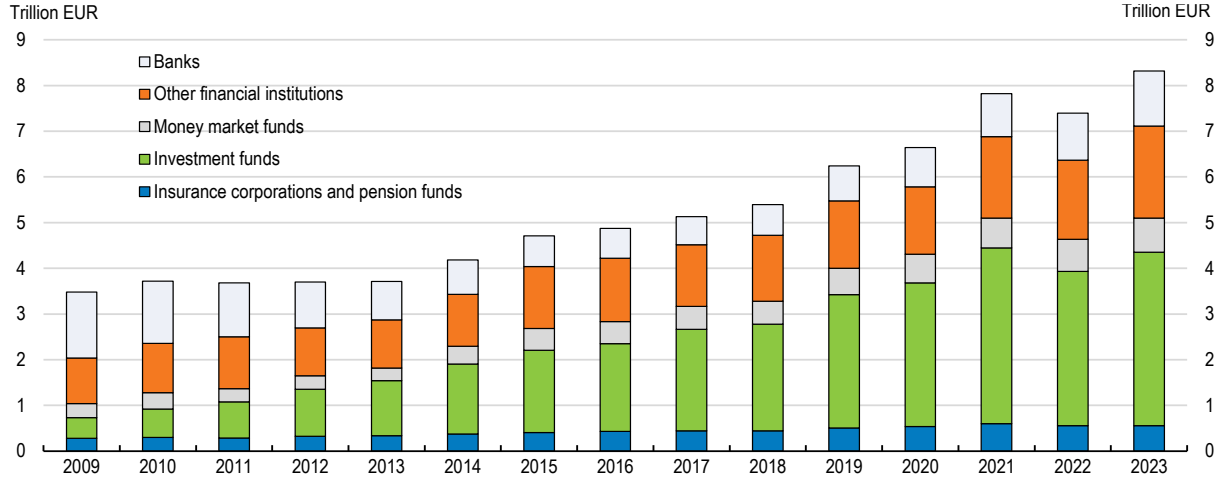
Shock	Likely outcome
Potential shocks to systemically important large firms or sectors.	Decreases in employment or profits could adversely impact the domestic economy and tax revenues.
Escalation of geopolitical tensions and trade protectionism.	Increased uncertainty weakens domestic and external demand, slowing growth.
Extreme climate events, like flooding, hitting infrastructure that is not fit to cope.	Disruptions to domestic economic activity weigh on growth.

The changing financial landscape should be monitored closely

Financial sector assets grew to EUR 8.3 trillion in 2023 (Figure 1.4), which is among the highest in the European Union. There are two separate segments, with internationally-oriented investment banks, funds and insurance firms, and retail banks serving the domestic market. The rising prominence of non-banks could create risks stemming from liquidity mismatches, leverage and interconnectedness (CBI, 2024a). The overall linkages of investment funds and money market funds to the domestic economy and banks remain limited, but some highly leveraged property funds can be a potential source of financial stability risk through their exposure to the commercial real estate market (IMF, 2023a). Hence, the ongoing improvements in their supervision, discussed below, is welcome.

Figure 1.4. The financial sector has grown in size and complexity

Financial sector assets



Note: Investment funds refer to collective investment vehicles that provide asset management services to ultimate investors, such as bond and equity funds, whose portfolio assets and investor base are predominantly international.
Source: Central Bank of Ireland.

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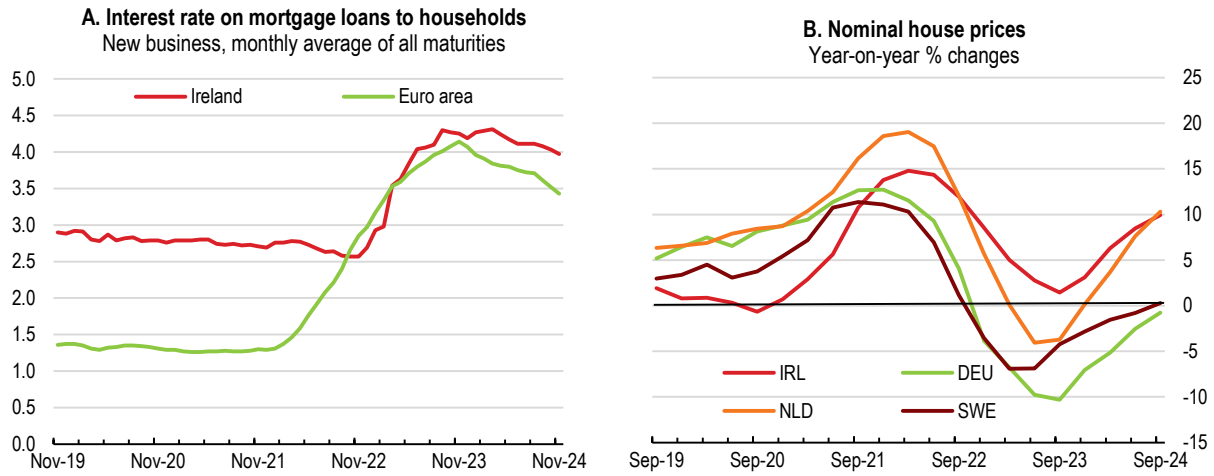
Household deposits have supported domestic retail banks, and capital and liquidity positions of Irish banks are well above regulatory requirements and European averages (EBA, 2024). Stress tests show that banks are resilient against large adverse shocks (EBA, 2023). Increasing net interest incomes have raised bank

profitability, which could nevertheless be adversely impacted if bank funding costs or loan impairments were to rise (CBI, 2023). High costs remain a structural challenge, which should be addressed via investment in increased digitalisation and operational resilience.

The European Central Bank's monetary tightening impacted credit conditions mostly via non-bank lending in Ireland. The pass-through of higher policy rates to bank lending rates on mortgage loans was lower than in the euro area, given Ireland's starting point of structurally higher retail interest rates following the global financial crisis (Figure 1.5, Panel A). Combined with structural housing demand-supply mismatches and the relative strength of household incomes, this led to a smaller house price correction than elsewhere (Panel B), with a limited impact on lending and sales volumes.

Figure 1.5. The pass-through of higher policy rates to the housing market was relatively limited



Source: European Central Bank, Financial Markets and Interest Rates (database); OECD, Analytical House Price Indicators (database).

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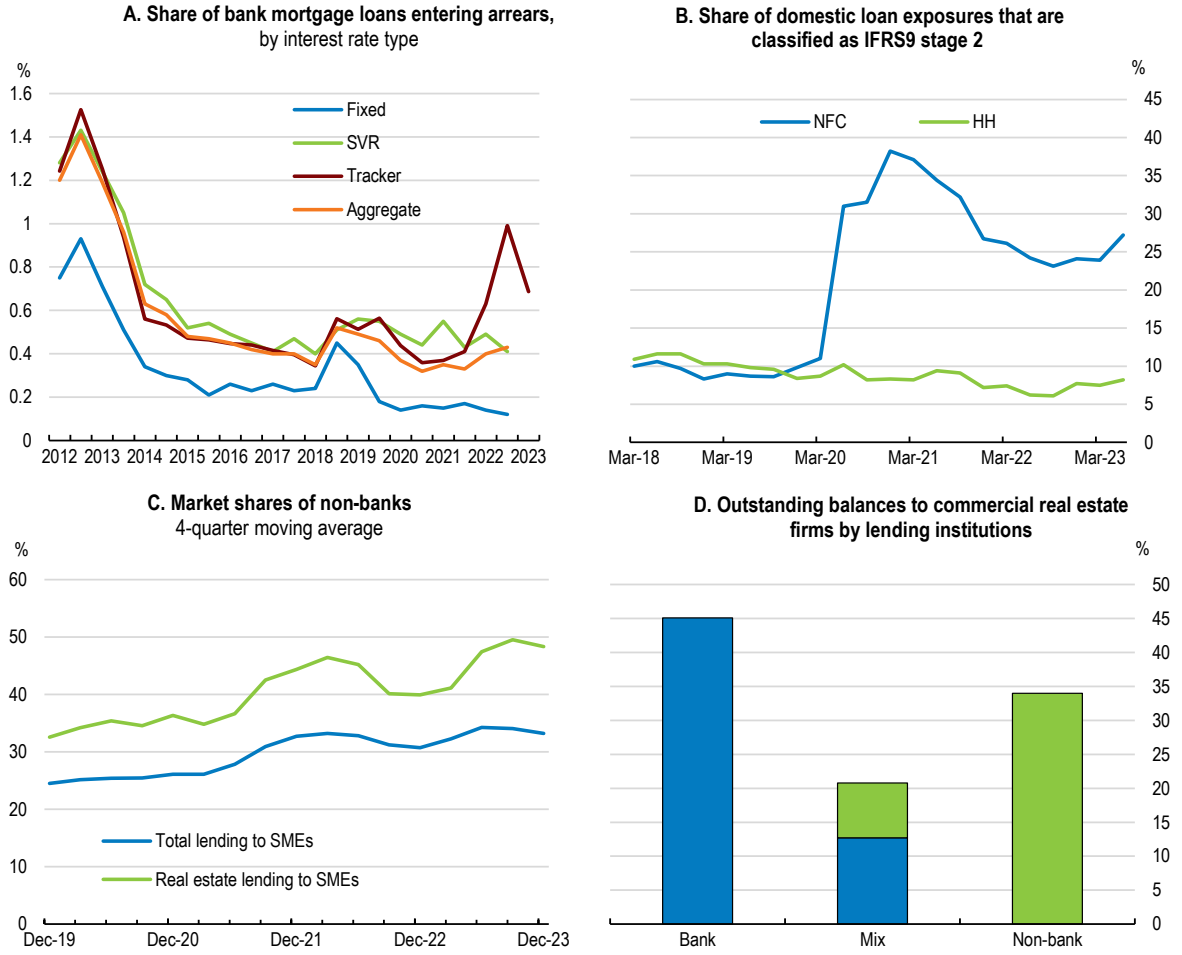
Credit risks seem to be contained, but vigilance remains warranted. While the overall non-performing loan (NPL) ratio at 1.5% was below the EU average of 1.9% in June 2024, the NPL ratio for real estate activities at 7.1% was higher than the 4.4% EU average (EBA, 2024). Households holding mortgages with a history of performance problems or mortgages originating before 2009 and tracker mortgages are more likely to miss payments (Shaikh et al., 2023; Figure 1.6, Panel A). However, the high share of fixed mortgages and mortgage switching by households have lowered risks (Bryne, McCann and Gaffney, 2023; Scott and Singh, 2024). One potential sign of deteriorating credit risk is that the share of Stage 2 loans, which reflect banks' judgments around the risk profile of performing loans, has increased for non-financial corporations (Panel B), and is above the EU average and pre-pandemic levels.

The high share of SME lending by non-banks, especially in the real estate sector, also creates risks (Figure 1.6, Panel C; Moloney et al., 2023). SMEs that borrow from non-banks tend to be younger, less liquid and more leveraged than those financed by banks (Gaffney and McGeever, 2022). The higher sensitivity of non-banks to market conditions and interest rates increases the risks of abrupt changes to credit supply. In addition, some SME lending comes from institutions not regulated by the Central Bank, which can create an uneven level playing field. Bringing them under the supervision of the Central Bank, as recommended by the 2022 Retail Banking Review, would improve the identification and assessment of risks.

Non-banks also have high exposure to the commercial real estate (CRE) sector (Panel D). Capital values in the sector have decreased by 27% since 2019 and the Dublin office market is experiencing one of the largest increases in vacancy rates in Europe (CBI, 2024a). While resilient overall, the leverage of some

property funds has increased. This creates a risk that further declines in CRE prices could create an adverse feedback loop between non-bank financing, the CRE market, and the real economy. In addition, addressing data gaps in direct cross-border exposures to CRE would improve understanding of risks (IMF, 2023a).

Figure 1.6. Financial stability risks should be monitored closely



Note: Panel A: The share of primary dwelling house mortgage loans moving from zero days past due to 31-180 days past due and zero days past due to 91-180 days past due in the following six months. SVR refers to standard variable rate mortgages. Panel B: NFC and HH refer to non-financial corporates and households, respectively. Stage 2 refers to higher risk balances according to IFRS9. Panel C: Real estate lending refers to real estate activities and construction.
Source: Central Bank of Ireland.

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The Central Bank of Ireland increased the countercyclical capital buffer (CCyB) to 1.5% in June 2024, as recommended in the *2022 Economic Survey*. This is appropriate given the current macro-financial conditions and will increase resilience against the potential materialisation of risks. The Central Bank has a macroprudential stress testing framework to inform policy decisions on cyclical buffers (Morell, Rice and Shaw, 2022). In case of a shock, the CCyB should be released to enable banks to absorb losses and sustain credit supply.

Ireland continues to improve its macroprudential policy framework for non-banks. Macroprudential rules for property funds (a leverage limit and liquidity management guidance) and Irish-authorised GBP-denominated Liability Driven Investment funds (maintaining a buffer against a minimum of 300 basis points increase in UK yields) were introduced in November 2022 and April 2024, respectively (CBI, 2024b). The

recent central bank feedback statement as part of the consultation process for macroprudential rules for investment funds and the Funds Sector Review are welcome. Close monitoring of non-banks should be continued with a view to recalibrate macroprudential measures, as needed.

The evolution of new lending has been broadly in line with the Central Bank's ex-ante assessment of the new mortgage framework, which came into effect in January 2023 (CBI, 2024a). The measures increased the loan-to-income ratio limit for first-time buyers from 3.5 to 4 and the loan-to-value limit of second and subsequent buyers from 80% to 90%. The impact should continue to be monitored to ensure that the new measures do not have the unintended consequence of increasing housing demand and prices in a manner that would undermine the objectives of the measures.

The domestic banking system remains highly concentrated, with three retail banks operating fully in Ireland as two banks are completing the process of withdrawing (KBC and Ulster Bank). Exposures concentrated in Ireland and in real estate, in particular residential mortgages, increases risks (CBI, 2023). The growing importance of non-bank financial institutions, credit unions and digital banks may potentially mitigate any reduction in competition, but greater dependency on wholesale funding by non-banks can create volatility. The recent Retail Banking Review, ongoing work to develop a national financial literacy strategy, and the ongoing review of the consumer protection code will improve the framework. The recommendations of the Retail Banking Review should continue to be implemented in a prompt manner.

The Retail Banking Review recommended easing mortgage switching to a lender offering a cheaper interest rate (Department of Finance, 2022a), which can improve household financial resilience. Higher interest rates have recently increased mortgage switching, which has traditionally been relatively low. This reflects the difficulty in comparing offers, uncertainty about the process, the costs and benefits of switching, fear of making a mistake and the time and paperwork required to switch (Papadopoulos et al., 2023). The recent exit of KBC could also lower switching (CCPC, 2023 and 2022). Addressing impediments and gaps in the process and enhancing requirements to provide information on alternative mortgage products to customers can boost the take-up of cheaper alternatives.

Table 1.3. Past recommendations and actions taken on financial policies

Recommendations in past surveys	Actions taken since 2022
Facilitate the standardisation of the suspended possession order to resolve mortgage arrears.	No action taken.
Ensure adequate supervision and regulation of non-banks by the Central Bank of Ireland.	The regulatory and supervisory framework was enhanced by the introduction of macroprudential measures for Irish-authorised GBP-denominated LDI funds, a consultation process to introduce macroprudential rules for investment funds and an ongoing review of the consumer protection code.
Implement the planned tightening of the countercyclical capital buffer.	The countercyclical capital buffer was increased to 1.5% in June 2024.

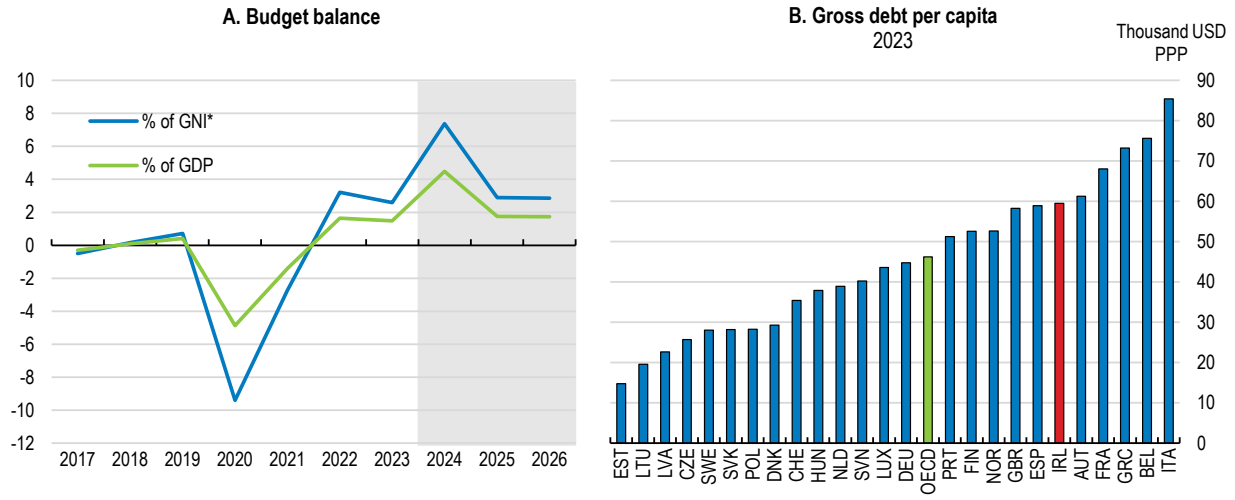
Ensuring long-term fiscal sustainability is key

The short-term fiscal position remains strong

The budget balance recorded a surplus of 1.5% of GDP (2.6% of GNI*) in 2023, supported by strong revenue growth. Public debt at around 43% of GDP in 2023 is low, but it is 76% of GNI* and gross debt per capita remains relatively elevated (Figure 1.7). The budget surplus is projected at 4.5% of GDP (7.5% of GNI*) in 2024, partly supported by a one-off increase in revenues due to the September 2024 tax ruling of the Court of Justice of the European Union (EUR 14.1 billion). Corporate taxes make up close to 20% of total government revenues (27% of tax revenues) and are highly concentrated (Figure 1.8). The share of "windfall" corporate tax receipts, i.e., those that cannot be explained by underlying drivers, is estimated to be 47% in 2023 (Department of Finance, 2022b and 2024a). The government estimates that the fiscal

balance was -1.3% of GNI* in 2023 and projects it at -1.9% by 2027, without these windfall revenues (Department of Finance, 2024b).

Figure 1.7. The fiscal situation should be assessed based on a range of metrics



Note: Panel A: Projections for GNI* are from Budget 2025. The 2024 budget balance projections include the one-off transfers from the Court of Justice of the European Union ruling in September.
Source: OECD, Economic Outlook 116 database; OECD, National Accounts database; Central Statistical Office.

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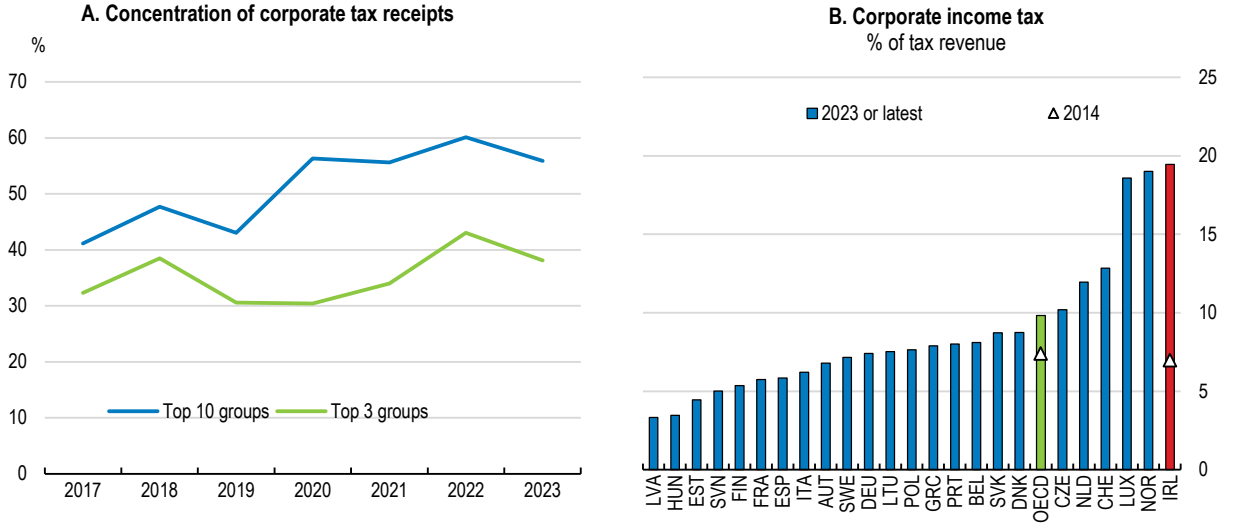
Figure 1.8. Concentrated corporate tax revenues can create risks



Source: Irish Fiscal Advisory Council, Fiscal Assessment Report June 2024 and OECD, National Accounts database.

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Budget 2025 features a EUR 10.5 billion (2.1% of 2023 GDP; 3.6% of GNI*) package. This will comprise permanent spending measures of EUR 6.9 billion (of which EUR 1.6 billion is capital), largely aimed at preserving the existing level of public services, against the backdrop of a larger-than-assumed population, and sustaining infrastructure spending, and cost-of-living measures of EUR 2.2 billion. The latter includes one-off lump sums paid to welfare recipients and universal additional child benefit payments and EUR 250 energy credits. Permanent tax measures worth EUR 1.4 billion will serve to offset income tax threshold effects (see below), while EUR 0.2 billion is allocated to the extension of reduced VAT rates on electricity

and gas until April 2025, the extension of mortgage interest relief and an additional payment of the rental tax credit. The government also announced an additional EUR 3 billion for investment for housing, water and electricity, not included in the Budget, which will be funded from the recent sale of some of the state's shareholding in Allied Irish Bank.

With the economy at – or close to – full employment, such emphasis on pro-cyclical spending, albeit partly focussed on productivity-enhancing capital investment, risks running against capacity constraints, adding to underlying inflationary pressures – besides resulting in breaches of the existing spending rule (see below). Around half of the cost-of-living measures in Budget 2025 are untargeted (IFAC, 2024a). A more prudent approach to fiscal policy is needed. This should entail avoiding further untargeted one-off income support measures, which are not justified by the current context. Better controlling increases in permanent current spending and effectively sequencing capital investment projects to help ease capacity constraints (see below) are also key.

Fiscal pressures loom on the horizon

Several underlying pressures (demographic change, digitalisation, deglobalisation and decarbonisation) will increase long-term fiscal sustainability challenges. The current demographic profile is favourable, but the share of the population older than 64 relative to that of working-age (20-64) is projected to more than double between 2022 and 2070 to 55.6%. The associated increase in government spending on health, long-term care and pensions of 5.7% of GDP by 2070 will be much higher than the EU average of 1.6% (Table 1.4; EC, 2024a). Hence, pension and health-care reforms, as discussed below, are needed. Ireland is currently experiencing strong population growth, which can offset some of these costs. For example, net migration higher by a third would reduce pension expenditures by 0.2% of GDP (0.4% of GNI*) compared to the baseline scenario (Department of Finance, 2024c).

Table 1.4. Health, long-term care and pension expenditures will rise

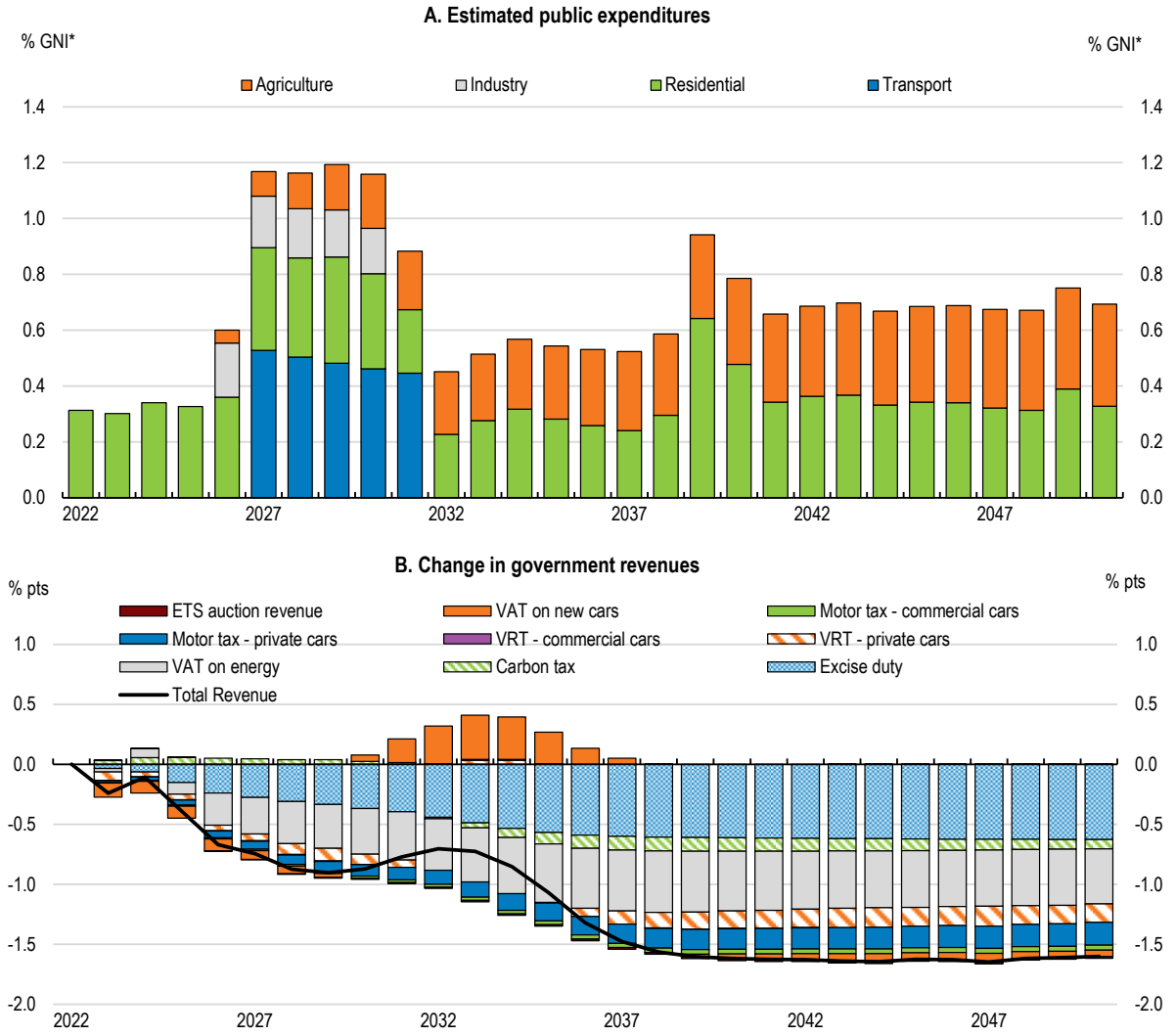
% of GDP	2022	2030	2040	2050	2060	2070	Difference (2070-2022)
Ireland							
Public pensions, gross	3.8	4.2	5.0	6.0	6.5	6.6	2.8
Health care spending	4.1	4.3	4.7	5.0	5.4	5.6	1.5
Long-term case spending	1.2	1.4	1.6	2.0	2.3	2.6	1.4
EU average							
Public pensions, gross	11.4	11.9	12.2	12.1	11.8	11.8	0.4
Health care spending	6.9	6.7	7.0	7.2	7.2	7.3	0.4
Long-term case spending	1.7	1.9	2.1	2.3	2.5	2.6	0.8

Note: The demographic assumptions on fertility, mortality and net migration are based on Eurostat's EUROPOP2023.
Source: EC (2024a), Ageing Report: Economic and Budgetary Projections for the EU Member States, 2022-2070.

There is room to improve the updating and incorporating of the costs of major planned medium-term reforms, such as climate and health care, in fiscal projections. As decarbonisation costs set out in climate legislation are likely to reach a peak in 2026-30 (Fitzgerald, 2021), they should be incorporated in fiscal projections promptly. Estimates suggest that gross costs from higher expenditures and lower revenues (Figure 1.9) could be EUR 5.5 billion a year or 2% of GNI* in 2026-30 (Casey and Carroll, 2023). In addition, the initial costing of the government's ten-year policy roadmap to reform the health system (Sláintecare) has not been revised since 2017 (IFAC, 2024b). Updated projections, reflecting rising costs and population, would improve the assessment of future fiscal needs.

While public investment has increased in recent years, Ireland faces large investment needs, which could rise further due to strong population growth. The population in Ireland increased by 13.5% from 2016 to 2024, to 5.4 million people. The share of population growth due to net immigration has been rising (Figure 1.10, Panel A), with the share of people born overseas now at around 20%. The widening of the occupations for which employment permits can be granted boosted immigration (Murphy and Sheridan, 2023), while arrivals from Ukraine was 109 566 by September 2024, of which 74% are estimated to be still in Ireland. Around 50% of the population resides in the Eastern and Midland region, of which more than half is in Dublin city and county. The population increased in nearly all counties, with 51.6% of the total from the Eastern and Midland region (Panel B).

Figure 1.9. Policies to address climate change will have fiscal costs



Note: Panel A: Refers to a high-cost scenario. Panel B: Shifting away from fossil fuels without tax policy changes.
Source: Casey, E. and K. Carroll (2023), "What climate change means for Ireland's public finances", *Long-term Sustainability Report: Supporting Research Series*, No.1.

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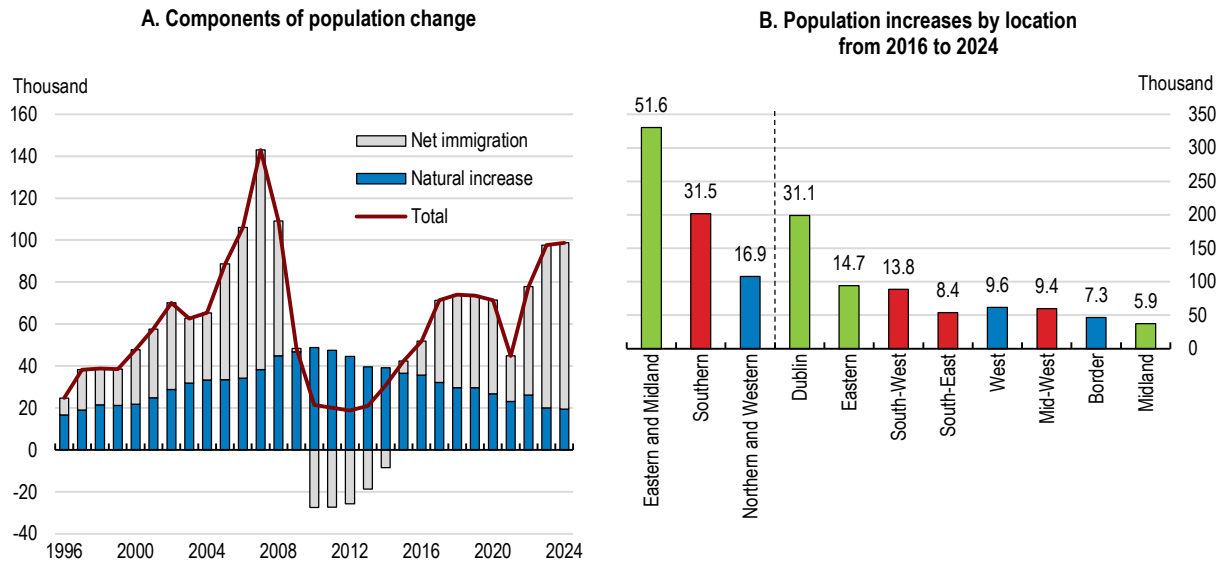
The National Development Plan (NDP) 2021-30 has a total allocation of EUR 165 billion to support housing, digital and green transformations, infrastructure and healthcare, with an aim to keep public investment around 5% of GNI* (Government of Ireland, 2021). These investments are critical for future competitiveness and long-term growth but it will be important to ensure that they do not worsen the overall

fiscal stance. Effective prioritisation and sequencing across sectors and type of projects can help balance potential short-run inflationary impacts and the long-run benefits of enhanced public investment. To ensure spending efficiency, existing cost-benefit analyses of projects should be re-assessed with new parameters capturing the more severe capacity constraints and the more demanding climate targets which have arisen since the original NDP was drafted (Barrett and Curtis, 2024). Addressing capacity constraints and expediting the planning permission process will also be key (Chapters 2 and 4).

Figure 1.10. Robust population growth could raise investment needs



Note: In Panel B, the data labels indicate the contribution to the overall population increase.
Source: Central Statistics Office.

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The impact of the two-pillar international tax agreement on public finances remains uncertain. Government projections assume that the implementation of Pillar 2, which introduces a minimum effective tax rate of 15% for large enterprises (annual turnover exceeding EUR 750 million) from 2024, would increase tax revenues from 2026 (Department of Finance, 2024a), though it may negatively impact Ireland's competitiveness. While the impact of Pillar 1, which will reallocate some taxable income of multinationals across jurisdictions to where consumers and users are located, remains uncertain; the government assumes a net revenue loss of EUR 2 billion from the two-pillar solution for Ireland (Department of Finance, 2024a).

Pension and health-care reforms can help address ageing costs

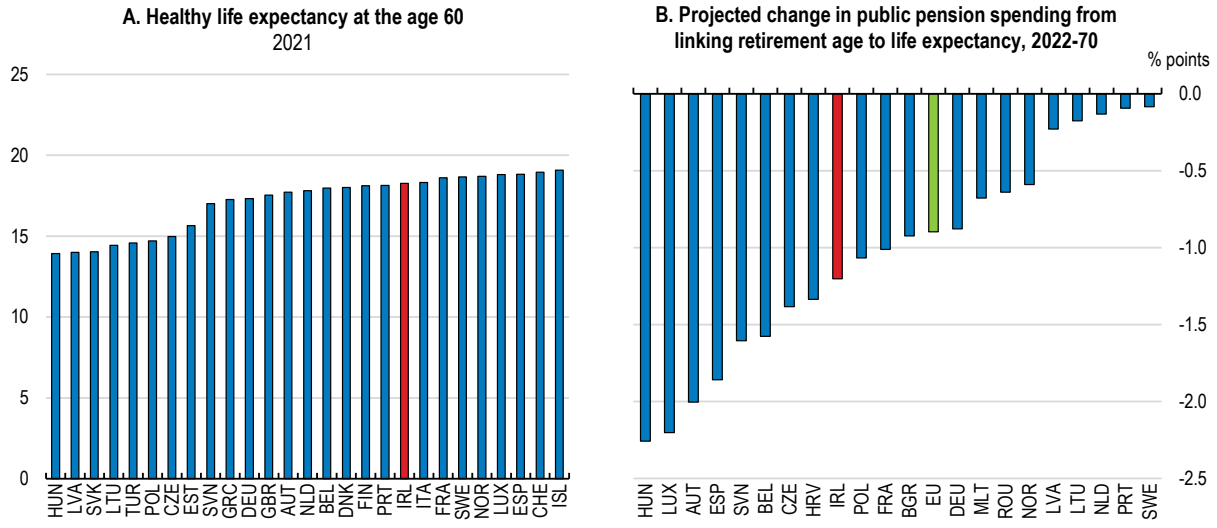
Pensions

Ireland's pension system consists of a pay-as-you-go financed public pension pillar supplemented by a voluntary second pillar scheme and private pension plans. The statutory retirement age is 66, while the effective age of labour market exit is 66.3 for men and 64.9 for women, suggesting that early retirement is not a major challenge to the pension system. The public pension pillar comprises both a contributory and a non-contributory element. The latter is a means-tested pension, which is paid to individuals without adequate means at the age of 66. The old-age contributory pension system provides flat-rate benefits depending on the contribution period, and a person may continue to work full-time after reaching the state pension age and collect their pension at the same time.

The government has launched several reforms, after a reversal of plans to increase the state pension age from 66 to 68 by 2028. The option to defer the uptake of the basic pension from 66 to 70, with an increase in the basic pension for each year of deferral in an actuarially neutral way, was introduced in January 2024. The annual minimum contribution payment for the self-employed contributors and the voluntary contribution for former self-employed contributors were raised by EUR 150 to EUR 650 from October 2024. An automatic enrolment in retirement savings schemes will be introduced in September 2025 and the Future of Ireland Fund (see below) will help address some ageing-costs. Most notably, the contribution rates for employees and employers both increased by 0.1 percentage points in October 2024, and are expected to increase further by 0.7 percentage points between 2024 and 2028. However, this approach creates some concerns of fairness across generations (Doorley and Duna, 2024).

The 2021 Pension Commission had recommended a mix of policies, including to incrementally increase the pension age by three months each year, commencing in 2028 to reach 67 in 2031, followed by further increases of three months every second year thereafter, reaching 68 by 2039 (The Pensions Commission, 2021), to prevent the need for large increases in contributions. The government's planned increases in contributions (based on a 2020 actuarial review) until 2028 are lower than those proposed by the Pensions Commission (based on a 2015 actuarial review) in scenarios without an increase in the pension age. While the new projections have lowered the shortfall by around EUR 4 billion, further reforms will be needed to ensure the continued viability of the social insurance fund beyond 2028, when a new actuarial review is planned. Given Ireland's high life expectancy at birth (82) and healthy life expectancy (the average number of years in good health a person has at age 60) (Figure 1.11, Panel A), linking the retirement age to life expectancy could yield large benefits (Panel B). For example, Ireland could increase the pension age by 2/3 of the increase in life expectancy.

Figure 1.11. High life expectancy will increase pension sustainability challenges



Note: Panel A: Healthy life expectancy refers to the average number of years that a person at the age of 60 can expect to live in "full health". Panel B: The estimates are for fully linking the pension age to life expectancy.
Source: WHO and EC (2024a), *Ageing Report: Economic and Budgetary Projections for the EU Member States, 2022-2070*.

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Healthcare spending

Ireland's relatively young population enjoys a long life expectancy and a good self-reported health status, among the OECD's best. However, at 11.3% of GNI*, total current health spending in 2022 was above the OECD average of 9.2% of GDP, suggesting room for efficiency gains, although against the background of

targeted investment needs to increase the system's resilience to future health shocks (OECD, 2023a). Moreover, since 2015, healthcare spending has grown at an average annual rate of 4.2% in real terms, versus 2.5% OECD-wide, resulting in spending overruns (see below). Health spending absorbs around one fifth of total public spending, the OECD's second-highest share, although this partly reflects Ireland's peculiarity of including some of the social care components of long-term care expenditure in health spending. At the same time, voluntary private healthcare payment schemes fund 12% of the system's costs, one of the highest shares in the European Union. Covering about 46% of the population, private health insurance is used to bypass long waiting lists in public hospitals, resulting in a two-tier system in which poorer households' access to care is restricted, even when fully subsidised. Household out-of-pocket payments account for only 10% of health financing, well below the OECD's 18%, due to free or subsidised approved prescribed drugs.

As highlighted in the *2022 OECD Economic Survey*, high healthcare spending results mainly from the system being largely based on costly hospital care, due to its centralised structure and the lack of universal coverage of primary care, its legacy of past under-investment resulting in relatively out-of-date clinical infrastructure, weak service integration at a decentralised level, and poor digitalisation and data frameworks. The government's *Sláintecare* reforms aim at enhancing fairness and efficiency by gradually introducing universal access to primary care and greater separation between public and private service providers and integrating the provision of high-quality primary health and social care services at the community-level to ease pressure on more costly acute care settings (OECD, 2022a).

In 2023, *Sláintecare* reforms advanced along the equity dimension by abolishing all in-patient hospital charges and extending eligibility for the General Practitioner (GP) Card. Entitling holders to most GP visits for free, the GP Card now also covers individuals with earnings at or below the median income and children aged six or seven, benefiting an additional 500 000 individuals. The GP Card is currently held by around 12% of the population (DOH, 2024), but only less than 10% of the newly eligible adults applied for it, with anecdotal evidence pointing to difficult application processes and stigma as main barriers. Similarly, the share of the population with a Medical Card, which provides means-tested access to largely free care, fell from 37% in 2015 to 30% in 2022. A review of eligibility requirements is exploring policy options to enable broader access to care (Government of Ireland, 2024a). These should include measures to streamline and harmonise eligibility criteria across all publicly-funded health schemes, as recommended in the *2022 OECD Economic Survey*. The new public-only consultant contracts and increased resources to reduce long waiting lists are also crucial steps towards a more equitable health system.

Implementation of the Health Regions, which will enable a move away from hospital-centred care, is ongoing. The Health Service Executive (HSE) has completed the restructuring of its highly centralised governance to establish six new regional administrative units, which, overseen by the HSE's centre, are set to be operational by March 2025. Each local unit, headed by an executive officer accountable to the HSE Board, will manage its own budget to plan and deliver more efficient care services through cost-effective, patient-centred, and integrated primary, community and long-term care services, and a stronger gatekeeping role for GPs. However, key corporate functions, such as finance control, human resources, and information technology support, will remain centralised, and regional units will have to adhere to national priorities set by HSE's annual National Service Plans. By promoting greater hospital specialisation in acute services and facilitating care closer to patients' homes, enhanced community care is expected to yield significant efficiency and welfare gains.

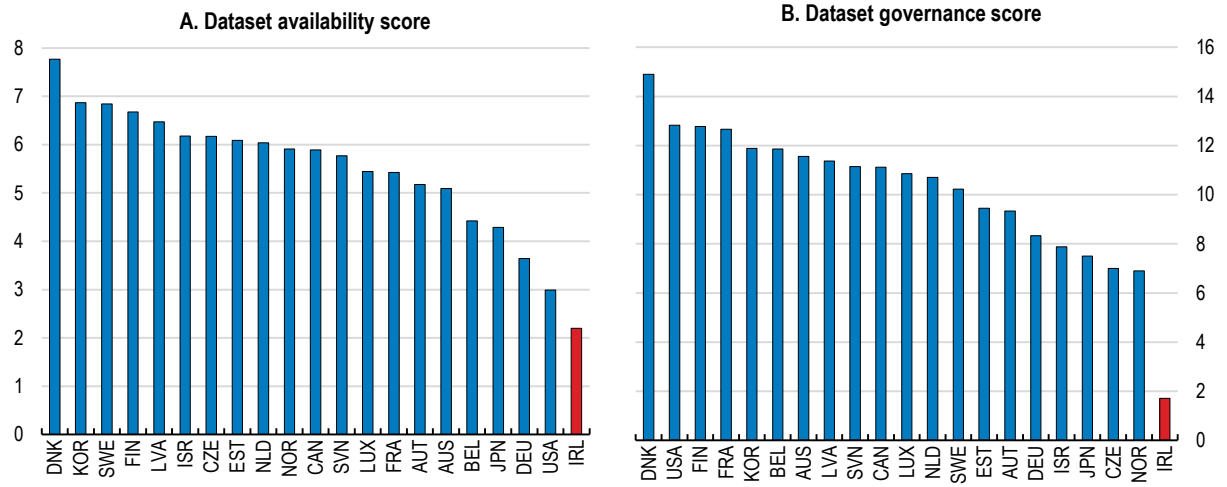
The adoption of a population-based resourcing allocation (PBRA) approach will be essential for enhancing healthcare spending efficiency. PBRA allocate healthcare resources based on national priorities and the specific needs of varying population profiles, rather than on requests from different categories of providers (OECD, 2022a). This approach paves the way for better governance frameworks via improved service planning, transparency and accountability. Therefore, developing a specific PBRA framework should be prioritised, to enable a quick mapping of regional service needs. Given their crucial role in community-level

service integration, addressing the relative shortage of general practitioners is critical, particularly in rural areas, since about one third are older than 55 (Medical Council, 2024).

Moving towards more efficient and equitable healthcare service delivery hinges on an advanced digital and data infrastructure. Ireland's level of digital health readiness is relatively poor (OECD, 2023b), lacking both the analytical capacity to link and use health data across critical domains and effective dataset governance (Figure 1.12). Key national healthcare datasets are in the custody of different institutions with uncoordinated patient identification systems (Oderkirk, 2021). Over the years, progress in linking health data nationally using an individual healthcare identifier has been modest. Integrating datasets within adequately securitised frameworks is essential to protect patients' privacy, match health service utilisation and costs to specific population characteristics, and enable effective use of PBRA for better service planning. Furthermore, greater data granularity would enhance budget oversight and strengthen the government's Health System Performance Assessment framework, allowing for flexible, evidence-based decision making without locking health regions into rigid, common performance patterns.

The recent Digital Health Framework for Ireland could boost health sector productivity. With a roadmap to 2030, it aims to harness data and digital technology to enable better access to quality health and social care while generating efficiency gains (Government of Ireland, 2024b). A new patient application, to be launched in 2025, will give users easier access to and control over their own health data, and digital solutions, including e-consultations, remote monitoring, and preventive care services. This will give patients a more central role in managing their healthcare and reduce associated costs, particularly for mobility-constrained patients or those living in rural hinterlands. Tailored support programmes are needed to ensure that patients with limited digital skills, frequently seniors, can access the same care options.

Figure 1.12. Health data infrastructure and institutions are weak



Note: Panel A: ability to access and link datasets in healthcare. Panel B: score calculated as a sum of proportions of national healthcare datasets with recommended governance elements. Higher score corresponds to a better outcome.
Source: OECD, Health at a Glance 2023.

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The framework also aims for the full digitalisation of health care records by 2026 and the deployment of Electronic Health Records systems across the new regions by 2029-30 (HSE, 2024). Once operational, these tools will enable more affordable care provision, thanks to reduced administrative costs and improved service planning, and better patient safety. Similarly, the planned integration of financial management, staff and payroll records, and estate management systems at a national level will foster real-time insight into the functioning of the health system, reducing the potential for budgetary overruns (see below). Substantial funding will be necessary to fulfil the ambitious roadmap, including the implementation

of robust data privacy and security measures. The costing of these investments, which has not yet been properly quantified, should be prioritised to ensure adequate multi-year funding allocations for investment certainty. The Health Information Bill, published in July 2024, will establish the legal framework for implementation. The system will build on the Personal Public Service Number, in use by individuals in their interactions with public service and welfare agencies since 1979, as the primary health identifier linking personal medical information to patients every time they access healthcare in a public or private setting. Speeding up its implementation will be key to deliver efficiency gains.

The government will appoint two new bodies, the Digital Health Authority (DHA) and the Health Data Access Body (HDAB), to oversee the primary and secondary use of individualised health data, respectively. DHA will monitor that strong identification processes are in place to preserve patient safety, while HDAB will implement stringent and transparent protocols enabling researchers and policy-makers access to properly de-identified datasets for analysis and service oversight purposes. Provided these bodies are independent and adequately resourced to maintain high levels of privacy and data security, the new governance framework could generate efficiency gains and enhance innovation diffusion supporting greater productivity or new ways to deliver healthcare services in the long term.

There is room to improve the medium-term resilience of the tax revenue structure

Tax pressures measured by the tax-to-GDP ratio is 20.9%, below the OECD average of 34%, but the tax-to-GNI* ratio stands at 38%. Several tax measures were introduced in recent years, including changes to the local property tax, the introduction of vacant home and residential zoned land taxes (Chapter 4) and a sugar tax. The schedule of multi-annual increases in carbon tax rates out to 2030 as legislated in Finance Act 2020 (Chapter 3) is also on track.

A relatively narrow tax base (IMF, 2024a; Commission on Taxation and Welfare, 2022; EC, 2024b) and a high reliance on corporate and personal income tax revenues from multinationals implies a vulnerability to economic shocks (Department of Finance, 2023). Hence, building a more resilient revenue structure is needed to ensure diverse and stable revenue sources to finance spending priorities in the medium term. Broadening the tax base could include personal income and value-added tax reforms (discussed below), higher property taxes (Chapter 4) and other taxes, as recommended by the Commission of Taxation and Welfare's 2022 report (Box 1.2). The Irish Fiscal Advisory Council has estimated that, based on the proposals of the Commission they are able to quantify, tax revenues as a share of GNI* could increase by 5.3 percentage points (Casey, 2022; IFAC, 2022). The report has led to a personal tax reform review (Department of Finance, 2023) and an ongoing review of the taxation of investment funds.

Box 1.2. The Commission on Taxation and Welfare

The Commission on Taxation and Welfare published its report on taxation and welfare reforms to meet Ireland's long-term needs in September 2022. One of the key messages is that although the existing systems perform well, substantial reforms will be needed to meet future fiscal sustainability challenges, which could be addressed via the broadening of the tax base through reforms to value-added, property and environmental taxes and to the pay-related social insurance system. The Commission's recommendations include a reform of the pay-related social insurance base to bring more people into the system and basing income taxes and universal social charges on incomes; increases in capital gains, excise and land and property taxes; taxing of fossil fuels in relation to their carbon emissions; the introduction of road user charges; modernisation of the VAT administration and increasing its yield; and reforms to incentivise savings for retirement and decrease the use of tax expenditures.

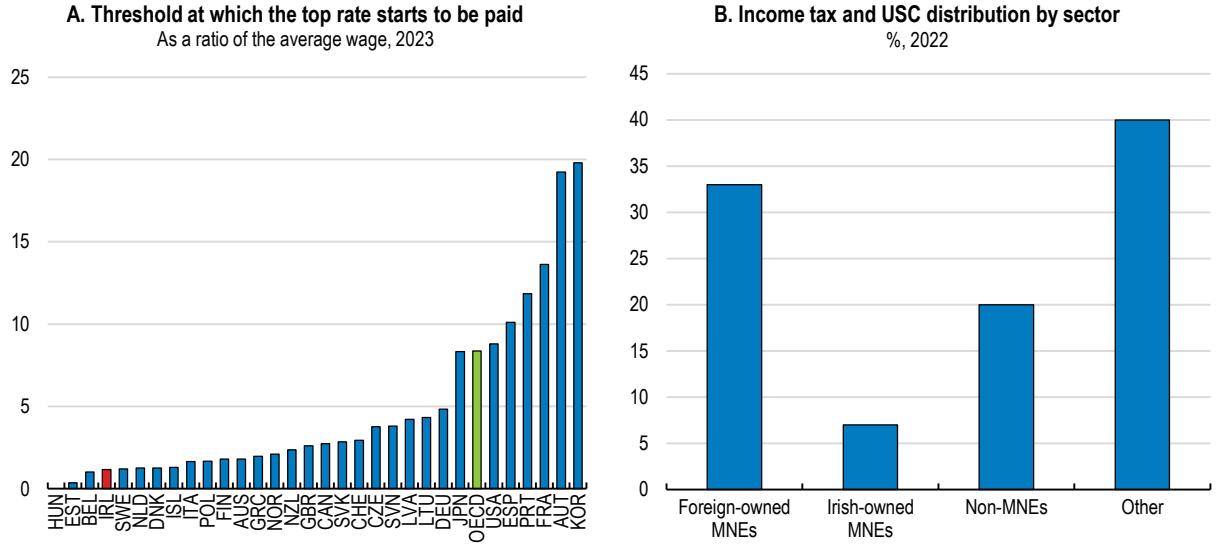
Source: Commission on Taxation and Welfare (2022), *Foundations for the Future*.

Although the personal tax system is highly progressive, the exclusion of a large number of individuals should be reconsidered to broaden the tax base. With the top 20% of taxpayers accounting for about 80%

of the 2024 projected personal income tax yield, the tax system is among the OECD's most progressive (Department of Finance, 2024d). Due to a complex, and relatively generous system of tax credits and reliefs, around one-third of income earners do not pay personal income tax (PIT) or the universal social charge (USC). In 2023, 37% of taxpayers were exempt from USC (Revenue, 2023), reflecting the reduction of USC rates and increases in the entry threshold over the past few years, despite the tax's original purpose to broaden the income tax base.

For any given revenue target, the flipside of the narrow tax base is the need to apply higher marginal rates relatively low in the income distribution (Figure 1.13, Panel A). Among the more vulnerable groups of taxpayers, this may result in "cliff edges" already at 60-80% of the average wage (OECD, 2024), where tax liabilities jump or benefit entitlements fall when income exceeds a certain level, creating strong disincentives to work more. Such adverse participation threshold effects, which, for instance, arise when earnings surpass the liability threshold for pay-related social insurance (at EUR 352 per week) and the USC (at EUR 13 000 per year), should be removed (Doolan and Keane, 2023; Commission on Taxation and Welfare, 2022). Broadening the tax base would also contribute to making the tax system less vulnerable to sector- or firm-specific risks, with 40% of personal income tax receipts linked to salaries paid by multinationals (Panel B).

Figure 1.13. The personal income tax system could be reformed in the medium term



Note: Panel B: The 'Other' includes taxes paid by public sector employees and the self-employed. USC is the universal social charge.
Source: OECD Taxing Wages (database); Department of Finance.

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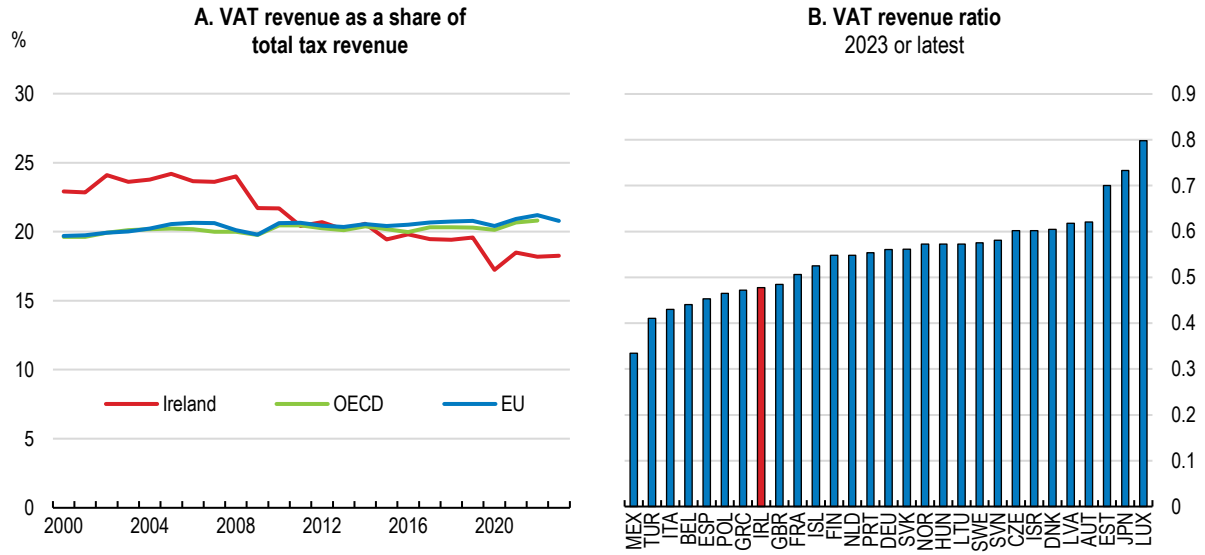
If designed well, reforms to PIT and USC can yield significant revenues while maintaining the high progressivity of the Irish tax and transfer system (Kakoulidou and Roantree, 2021). One option to consider is to introduce intermediate PIT bands and rates and calibrating the tax rates to preserve progressiveness (when combined with means-tested cash transfers for low-income households), while reducing disincentives to work more, as recommended in the *2022 OECD Economic Survey*. Another option is to reform the pay-related social insurance system or tax exemptions, as recommended by the Commission on Taxation and Welfare. Recent official simulations suggest that increasing the standard rate band by EUR 10 000 would be less administratively costly than introducing a 30% intermediate rate of income tax between the current 20% and 40% standard and top ones (Department of Finance, 2023). Over 2021-24, on the back of sustained inflationary pressures, the government gradually lifted the standard rate income tax bands by a maximum of 19%, against a 13.6% increase in the value of main personal tax credits (Department of Finance, 2024d). Whatever option is considered for a reform, advance identification and

communication of the target threshold, as well as of the steps to implement it (in case of a gradual adjustment path), rather than annually reconsidering the tax bands during the budget process, would help enhance the system's transparency.

Ireland has a relatively low standard value-added tax (VAT) revenue ratio, the ratio between the actual VAT revenue collected and the revenue that would theoretically be raised if VAT was applied at the standard rate to all final consumption under full VAT compliance (OECD, 2022b; Figure 1.14). Indeed, while the standard VAT rate is the fourth highest in the EU at 23%, reduced rates of 0% (e.g., on food, water, books, and children's clothes), and 13.5% and 9% (e.g., on heating oil and solid fuels, construction, many hospitality and tourism-related services) are widespread. Increasing the reduced rates of 9% and 13.5% by one percentage point could yield additional revenues of EUR 64 million and EUR 519 million per year, respectively (Department of Finance, 2024e).

Figure 1.14. There is room to increase the yield of value-added taxes



Source: OECD, Global Revenue Statistics; OECD, National Accounts.

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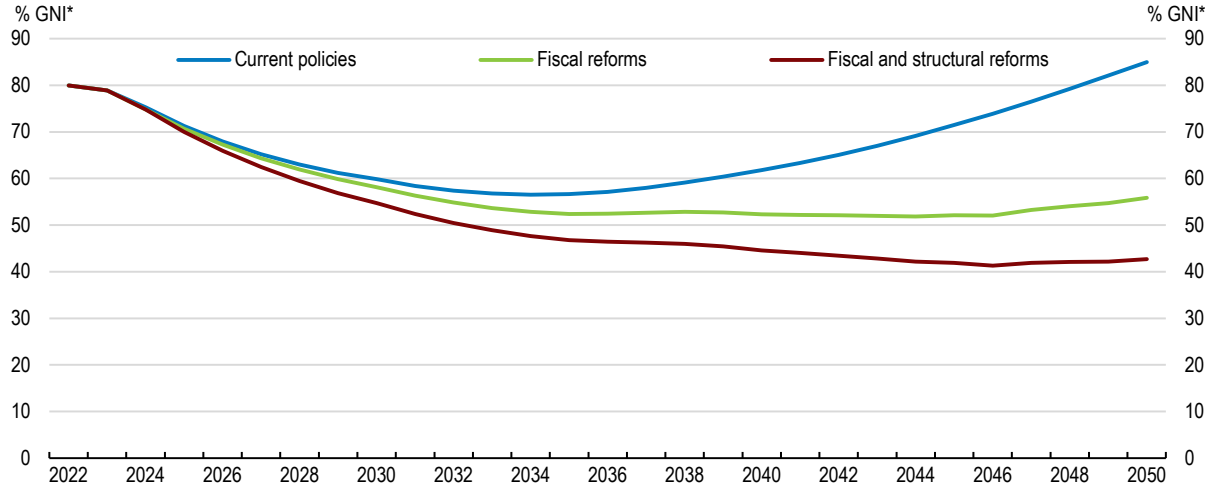
As highlighted in the *2020 OECD Economic Survey* and recommended by the Commission on Taxation and Welfare, the VAT base should be broadened to increase its yield by merging the existing special reduced rates and increasing them incrementally over time. As a starting point, those that disproportionately benefit higher income deciles (such as those applicable to hospitality and tourism) could be gradually aligned to the standard rate. Increased rates on necessities, however, would have adverse consequences for low-income households (Kakoulidou and Roantree, 2021). Hence, part of the revenues from the reform should be used for targeted transfers to low-income households.

Fiscal and structural reforms can help improve debt sustainability

Public debt is projected to rise to 85% of GNI* by 2050 under current policies (Figure 1.15), taking into account some of the quantifiable costs discussed above, which would decrease to 79% under a higher immigration scenario. As a small open economy subject to shocks, Ireland can face abrupt changes in its debt position, calling for fiscal prudence. To wit, the public-debt-to-GDP ratio soared from 24% in 2007 to 119% in 2012. Some of the fiscal reforms discussed above would imply a debt-to-GNI* ratio of around 55% by 2050, although any estimates of spending efficiency gains are subject to uncertainty. A more optimistic scenario, which also assumes the implementation of some growth-enhancing structural reforms outlined in Box 1.3, would bring down the debt-to-GNI* ratio to slightly above 40%.

Figure 1.15. Reforms are needed to ensure debt sustainability

General gross government debt



Note: The "current policies" scenario assumes existing tax and spending policies and takes into account ageing-costs from EU (2024a), *Ageing Report: Economic and Budgetary Projections for the EU Member States, 2022-2070*. In line with Department of Finance (2024), *Annual Report on Public Debt in Ireland 2023*, it is assumed that the windfall tax revenues fully unwind by 2030 and transfers to the new funds are made as planned. The "fiscal reform" scenario assumes the implementation of fiscal recommendations of the Survey to gradually broaden the tax base, link the pension age to life expectancy and improving health and long-term care spending efficiency. The "fiscal and structural reforms" scenario assumes higher real GDP growth of 0.1 percentage point each year compared to the baseline due to structural reforms.
Source: OECD calculations based on OECD, Economic Outlook 115 and long-term model databases.

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Box 1.3. Potential impact of reforms on growth and the fiscal balance

Table 1.5 broadly illustrates the growth impact of some key structural reforms proposed in this Survey. The fiscal impacts presented in Table 1.6 do not take into account indirect effects, such as those induced by the positive impact of the reforms on growth and public revenues, and the impact of some recommendations is not quantifiable.

Table 1.5. Potential impact of selected proposed reforms on GDP per capita

Policy		10 year effect	LT effect
Address remaining gaps in corruption	Improve the institutional framework conditions to close half of the gap to the average of the top three performers in the OECD	0.4	0.9
Increase active labour market policies spending on training	Increase ALMP spending per unemployed as % of GDP per capita by 11 points to close half the gap to the average of the top five OECD performers	0.9	1.2
Reform the pension system	Increase the pension age by two thirds of the increase in life expectancy	0.2	0.9
Improve targeting of public support to access childcare	Close half the gender employment gap of workers aged 25-54	0.6	0.9
Total		**2.1**	**3.9**

Note: These estimates are illustrative. The impact on the level of GDP per capita is estimated using historical relationships between reforms and growth in OECD countries. The long-term effect refers to 2050.
Source: OECD calculations based on the OECD Long-term Model.

Table 1.6. Illustrative direct fiscal impact of selected recommended reforms

Reform	Medium-term fiscal savings (+) and costs (-), % of GDP
Improve health and long-term care spending efficiency by around 15% over the next 20 years	+1.0
Increase the pension age by two thirds of the increase in life expectancy	+0.6
Broaden the VAT and personal income tax bases in the medium-term	+0.4
Improve targeting of public support to access to childcare	negligible
Increase active labour market policies spending on training	-0.6
Total	**+1.4**

Note: The estimated impact of improved spending efficiency is subject to particularly large uncertainty.
Source: OECD calculations.

The fiscal framework should be further enhanced

The Irish fiscal framework includes EU rules, a 2013 medium-term expenditure framework, with three-year government and ministerial expenditure ceilings, and a domestic expenditure rule introduced in 2021. The Irish Fiscal Advisory Council, established in 2012, plays an important role in bringing visibility and transparency of both short and long-run fiscal issues, and performs well by international standards (Nicol et al., 2021). With a budget surplus and public debt below 60% of GDP, the new EU rules are not currently a binding constraint for Ireland. Hence, a more binding and credible domestic framework with stronger political anchoring is essential to complement the new EU fiscal rules and to ensure medium- and long-term fiscal sustainability.

The domestic spending rule, limiting permanent spending increases to 5% per annum (broadly the sum of trend growth of an underlying measure of economic activity assumed to be 3% and the 2% inflation target) net of tax policy changes over the medium term, is welcome. However, it has been systematically breached since its introduction. According to the Irish Fiscal Advisory Council, Budget 2025 implies a net spending increase of 9.2% in 2024 and 5.8% for 2025 (IFAC, 2024a). Repeated breaches undermine its aim to lower the procyclicality of fiscal policy. Simulations suggest that higher expenditure growth above the rule since 2022 added 2.1% and 0.5 percentage points per annum on average to domestic demand and inflation, respectively (CBI, 2024c). Especially in a context of rising capital investment needs to address high population growth and infrastructure gaps, controlling current expenditure will be key not to breach the expenditure rule. As per EU rules, Ireland set a medium-term net expenditure path in October, but it does not yet include revenues from the Court of Justice of the European Union decision and sales of Allied Irish bank shares (around EUR 17 billion), which are likely be used for infrastructure investment spending (Government of Ireland, 2024c).

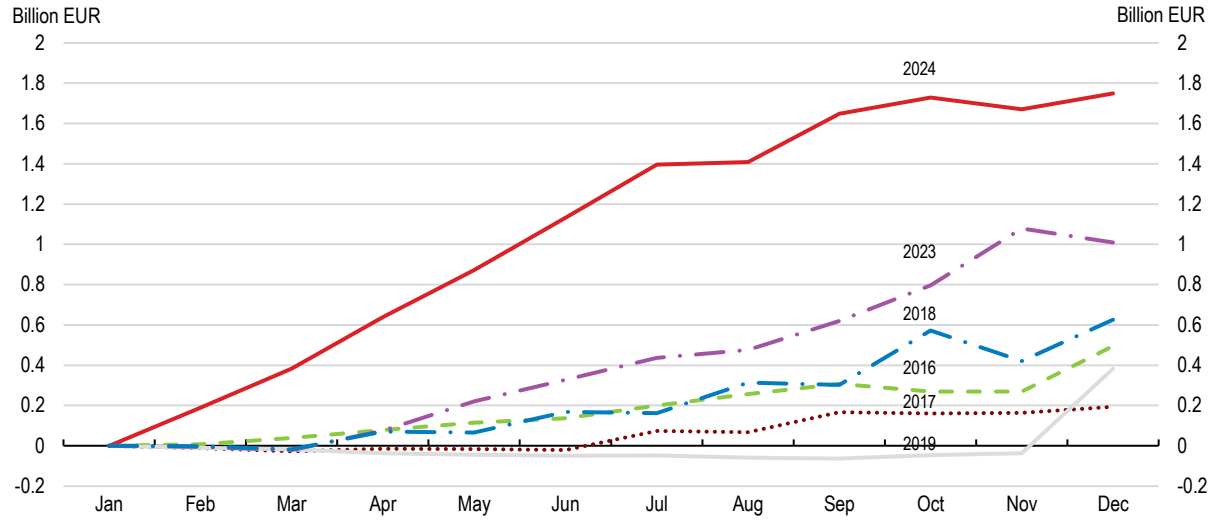
The Fiscal Council recommends that the domestic rule be reinforced, for example by reviewing the level every five years, giving it legislative status, extending its coverage to a general government basis (as it is currently based on exchequer spending, excluding around one-fifth of spending) and linking it to the debt ratio (Casey and Cronin, 2023; IFAC, 2024b). For example, giving it legislative status, as recommended in the *2022 OECD Economic Survey,* accompanied by well-defined escape clauses, could improve its credibility. The Swiss spending rule is in the constitution and includes exemption clauses for natural disasters or severe recessions. In Ireland, clear escape clauses linked to periods of an exceptional deterioration in economic prospects impacting the public finances, to be monitored by the Fiscal Council, could provide flexibility, if the rule is legislated.

Improved spending efficiency, budgeting and management is a priority. Current expenditure overruns, calculated as the difference between the outturn and budgeted gross current expenditures, have risen in some areas, such as health (IFAC, 2024b; Figure 1.16). EUR 3.7 billion of the increase in spending in Budget 2025 was due to overruns compared to Budget 2024 (IFAC, 2024a). Repeated, sizeable spending overruns can negate the efforts to enhance the credibility of the spending rule and ensure the sustainability

of public finances. In addition, financing of regular health spending overruns in the past has reduced incentives to adhere to formally tight ceilings. Unrealistic budget allocations that do not fully account for actual expenditure needs, partly due to poor planning and a lack of adequate modelling, contribute to overruns. In the health sector, for example, higher reliance on more costly agency staff, amidst ongoing challenges in the recruitment and retention of permanent staff, has contributed to larger than planned spending. Recent reforms, such as the establishment of the Health Budget Oversight Group and an improved use of performance budgeting, are welcome. Such efforts to move towards more credible ceilings should be prioritised to increase spending efficiency.

Figure 1.16. Overruns in health spending continue to be a concern

Cumulative monthly health spending overruns



Note: Data for 2020-22 are not shown due to the pandemic. Data for July to December 2023 reflect the transfer of the "Disability" function from the Department of Health to the Department of Children.
Source: Irish Fiscal Advisory Council.

StatLink https://stat.link/eaw90x

Spending reviews, including ex-ante evaluations of proposed policies, are an important tool to prioritise and control government expenditure, boost public sector productivity and better align public inputs with outputs. Initial spending reviews in Ireland (2009-17) were comprehensive, focusing on deficit reduction. They were subsequently replaced by annual ones on specific areas to improve the allocation of public expenditure and broader policy evaluation (Reidy and Oyewole, 2020). The Irish Government Economic and Evaluation Service, established in 2012 as the main responsible body, has increased its collaboration with line ministries over time. While annual reviews are useful, Ireland should also undertake a comprehensive spending review. Comprehensive spending reviews are used in the preparation of a new medium-term expenditure framework in the United Kingdom and before a parliamentary election in the Netherlands (Box 1.4). Spending reviews should also be systematically integrated into budgetary cycles. Currently, the Irish spending reviews are linked to the budget cycle in terms of scheduling, as publication in July can feed into the Autumn Budget. The Budget sometimes includes a discussion of some of the findings of spending reviews, but the exact link between findings and budget decisions is not clear. Strengthening these links would improve the transparency of the process and the overall budget framework.

The Future Ireland Fund (FIF) and the Infrastructure, Climate and Nature Fund (ICNF), established in July 2024 to save part of the estimated windfall corporate tax revenues, have strengthened the fiscal framework (Oireachtas, 2024). The FIF and ICNF received initial endowments of EUR 4.3 billion and EUR 2 billion, respectively, from the dissolution of the National Reserve Fund. The FIF, a long-term savings vehicle to

help meet future spending on ageing, climate and digitalisation, was allocated an additional EUR 4.1 billion in 2024, which will be followed by annual allocations of 0.8% of GDP until 2035. The ICNF, which aims to ensure continued funding of climate change investment, with a potential to use the funds in a downturn, will have a fixed EUR 2 billion annual allocation to reach EUR 14 billion by 2030. Taking into account annual contributions, growth in GDP and potential return in investment, which are assumed to be around 5% per year, the FIF is projected to reach EUR 100 billion by 2040.

Box 1.4. Spending reviews: OECD best practices

Spending reviews can help prioritise and control government expenditure. Despite their growing popularity, spending review outcomes are not always clear, highlighting the importance of better tracking of implementation and effectiveness. Drawing on the experience of OECD countries, Tryggvadottir (2022) identifies the following features as best practices: setting out clear objectives, scope and clear governance arrangements, ensuring integration with the budget process, implementing the recommendations in an accountable and transparent manner, full transparency and regular updates of the review framework.

There are two models of spending reviews: targeted annual reviews focusing on specific topics, and periodic comprehensive reviews, which are not constrained by an ex-ante list of topics. In the Netherlands, spending reviews are conducted both annually and periodically. The Ministry of Finance selects topics for the annual reviews, ranging from ministry-specific (e.g., healthcare innovation) to interdepartmental (e.g., social housing) or government-wide (e.g., subsidies). Prior to each electoral term, the Netherlands also conducts comprehensive reviews, which examine a broader share of the budget and cover substantial policy topics across major areas of spending. In the United Kingdom, spending reviews normally take place every two to four years, as part of the budget process and are linked to the mid-term fiscal strategy.

Source: Tryggvadottir (2022) and UK National Audit Office (2021).

The set-up details of the funds are broadly in line with international standards. The funds will be operated by the National Treasury Management Agency to maximise financial returns and can invest in both domestic and foreign assets. Withdrawals from the FIF are not permitted until 2041, while the ICNF can potentially be drawn down from 2026. There are provisions to lower or suspend payments in case of a deterioration in the economic or fiscal situation. Around half of the estimated windfall corporate tax receipts have been put in the funds, but it would have been more prudent to put all (IFAC, 2024b). Payments above those legislated are possible on the advice of the Minister of Finance and approval of Parliament, but linking them more directly to the size of windfall corporate tax receipts, which are nevertheless difficult to calculate, could be considered.

It will be important to ensure that the operational rules of the funds are consistent with Ireland's fiscal framework. International evidence suggests that a lack of coordination could have unintended consequences, such as fragmentation of public spending (e.g., appearance of parallel budgets), or poorly timed saving-investment decisions (IMF, 2023b). Transparency and clear accountability procedures are also key. Some countries have similar funds fully integrated in the budget. For example, the net allocation of one of Norway's funds is integrated to the budgetary process, with income to and from the fund flowing directly though the central government budget. In addition, some features of the funds, especially the ICNF, are similar to the existing Ireland Strategic Investment Fund, which has the mandate to invest in climate and housing, so overlaps should be avoided. The links between the ICNF, the current and forthcoming spending rules and the National Development Plan (the framework to plan long-term capital needs) have to be carefully outlined to ensure a coherent fiscal framework, with a binding anchor.

Table 1.7. Past recommendations and actions taken on fiscal policy

Recommendations in past surveys	Actions taken since 2022
Target support on the most vulnerable households, while keeping the impact on domestic activity broadly neutral.	Around half of the cost-of-living measures in Budget 2025 are untargeted.
Continue to put excess windfall tax receipts in the National Reserve Fund.	The National Reserve Fund was dissolved following the establishment of the Future Ireland Fund (set to receive 0.8% of GDP from 2024 to 2035) and the Infrastructure Climate and Nature Fund (set to receive EUR 2 billion per year between 2025 and 2030).
Consider strengthening the expenditure rule by giving it legislative status.	The rule has been consistently breached since its introduction in 2021.
Re-introduce the planned rise in the state pension age and link the statutory retirement age to life expectancy at retirement.	Other pension reforms were introduced to improve the long-term sustainability of the pension system, most notably gradual increases in pay-related social insurance contributions (0.7% from 2024 to 2028).
Establish integrated funding and service delivery to offer home care and admission to long-term residential care when needed.	Healthy Age Friendly Homes, a new support coordination service programme to help reduce elderly people's transfer to long-term residential care, started to be rolled out nationally in the second half of 2024, and aims to support 10 500 older persons annually.
Implement the reforms to create Regional Health Areas and rebalance healthcare delivery across primary, community and long-term care and hospitals.	The Health Service Executive's (HSE) governance structure was redesigned to match the new Health Regions, but mid-level management recruitment and staff re-assignments are still underway.
Introduce a Population-Based Resource Allocation (PBRA) funding model, as planned, to improve financial reporting and management and strengthen equity in health outcomes.	In April 2024, an expert group was set up to develop a PBRA methodology, originally proposed in a 2023 spending review.
Prioritise reforms to enhance the take-up of a unique health identifier across health services and centralise governance and appropriate national health information functions within a single independent body.	The Health Information Bill, establishing the legal framework for the digital health system, was published in July 2024. It is expected to build on the use of existing Personal Public Service Numbers as individual healthcare identifiers. Two new bodies will be created to oversee the use of individualised health data.
Accelerate the implementation of the Single Assessment Tool (SAT) across the country in order to move towards more effective person-centred care services.	Operational aspects of the home support service were improved in 2023. HSE has committed to 18 000 SAT assessments in 2025 and to enhance the provision of SAT training to health professionals.

Recommendations on macroeconomic policy

FINDINGS	RECOMMENDATIONS (key ones in bold)
Navigating the changing financial landscape	
The Central Bank of Ireland has increased the counter-cyclical buffer to 1.5% in June 2024.	Adjust the counter-cyclical buffer in line with financial stability risks, as needed.
The interconnectedness of the expanding non-bank financial sector is not fully understood, raising risks of potential spillovers.	**Continue to closely monitor non-banks, with a view to recalibrate macroprudential measures, as needed.**
The domestic banking system remains concentrated, which could lower competition, especially for borrowers with limited financial literacy.	Ease conditions for mortgage switching, including by increasing the obligation to offer information on alternative products.
Ensuring long-term fiscal sustainability	
Given capacity constraints, including a tight labour market, expansionary fiscal policy could lead to overheating.	**Exercise more short-term fiscal restraint, by prioritising expenditures and phasing out remaining one-off cost-of-living measures, in order to continue to build buffers.**
While ageing costs are well-integrated in debt sustainability analyses, there is room to improve the incorporation of other costs, such as achieving climate objectives (not yet costed) and implementing the health care reform (old costing that is likely underestimated).	Regularly update and incorporate the costs of major planned medium-term reforms, such as climate and health care, in fiscal projections.
Capacity constraints and inflation can hinder the timely execution and the value for money of National Development Plan investments.	Effectively prioritise and sequence investment plans across sectors and types of projects, while strengthening public investment efficiency.
Recent pension reforms, which put the burden of adjustment on higher social contributions and incentives for voluntarily working beyond the state pension age of 66, may not be sufficient for the financial sustainability of the system, given high life expectancy.	Raise the statutory retirement age by two thirds of the increase in life expectancy.
Eligibility criteria are complex and vary across publicly-financed health schemes and over time, weighing on transparency and take-up.	Streamline and harmonise eligibility criteria across publicly-funded health schemes.
Achieving efficiency gains from a reduced use of costly hospital services depends on swiftly establishing funding models based on local population needs to effectively ensure quality, patient-centred, and integrated health and social care services at community level.	**Complete the establishment of Health Regions and frontload the introduction of a Population-Based Resource Allocation funding model to move away from a hospital-centred system.**
Progress in the adoption of a unique health identifier and the linking of datasets has been modest. The Digital Health Framework 2024-30 can deliver efficiency and productivity gains through data empowerment and digitalisation, but its costs are not yet quantified.	Speed up the implementation of a national individual health identifier. Quantify the investment cost of the Digital Health Framework and earmark multi-year funding to guarantee its timely implementation.
A relatively narrow tax base and high reliance on tax revenues from multinationals can create risks. Around one-third of income earners do not pay personal income taxes or the universal social charge. Despite a high standard value-added tax rate, the reduced rates lower its yield.	**Develop a roadmap to diversify tax revenues in the medium term, for example by broadening the personal income and the value-added tax bases.**
The introduction of a domestic spending rule net of taxes and the creation of two savings funds strengthened the domestic fiscal framework, but the rule has been breached consistently since its introduction, partly reflecting repeated, sizeable spending overruns, especially in the health sector.	**Establish more binding fiscal guardrails to complement the new EU rules, with stronger political anchoring and well-defined escape clauses.** **Conduct regular comprehensive spending reviews to complement the existing ones on specific areas and link both types of spending reviews to the medium-term expenditure framework and the annual budget process.**
The institutional capacity to fully account for actual spending needs in the health sector is limited.	Enhance spending control, including through improved planning and modelling frameworks.

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2 Maintaining the cost attractiveness of the business environment

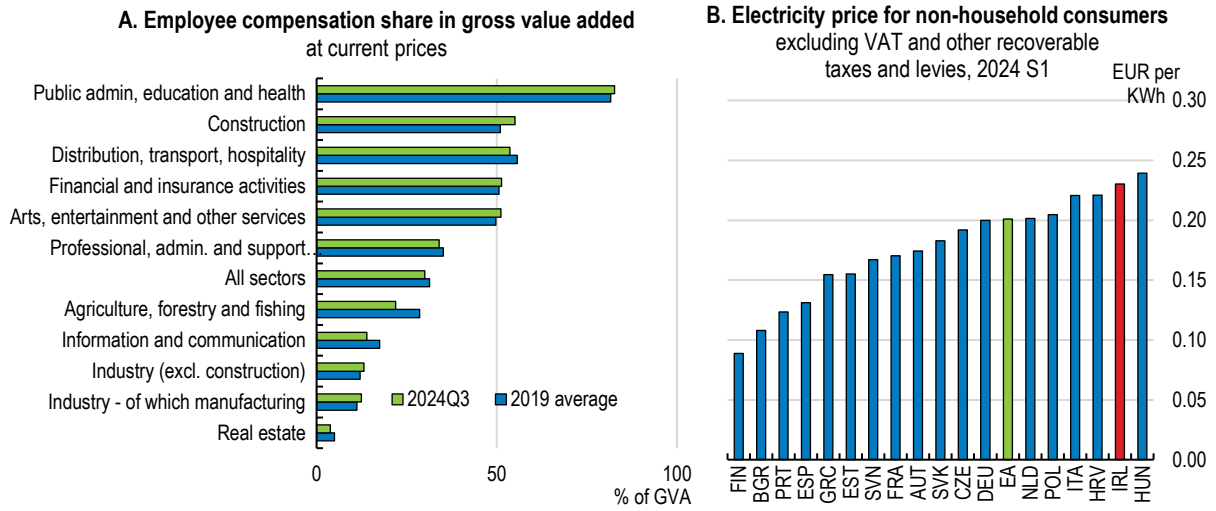
Patrizio Sicari, OECD

Ireland's regulatory framework is one of the OECD's most competition friendly. Even so, skills shortages, high housing and legal costs, and other regulatory constraints pose challenges. In a context of geopolitical fragmentation and deglobalisation, inefficiencies and higher business costs could threaten the country's status as a leading recipient of foreign investment and hence jeopardise investment-intensive agendas like the green transition and affordable housing. To avoid such risks, policy efforts should focus on fostering access to apprenticeships and other vocational training to address labour shortages and ensuring a skilled workforce while containing labour costs. At the same time, the ongoing reforms to improve labour and social welfare conditions should balance equity and long-term economic sustainability concerns. Improving court system efficiency via enhanced digitalisation, easing administrative burdens, and ensuring public integrity will be equally essential to preserve a competitive cost of doing business.

The recent trend towards global geopolitical fragmentation and more protectionist industrial policies (Chapter 1) could challenge Ireland's status as a major foreign direct investment recipient, which has been key to improving living standards and public finances. This may jeopardise investment-intensive policy goals, such as the green transition (Chapter 3) and increasing housing supply (Chapter 4), which partly depend on international capital. While a number of factors affect Ireland's attractiveness to foreign investors, such as the stable political and socio-economic environment, maintaining a competitive cost of doing business and supportive regulations are key to preserving Ireland's competitiveness. At the same time, policies to facilitate the digital transition, through improvements in skills and innovation, as discussed in depth in the *2020 OECD Economic Survey,* would boost productivity growth (NCPC, 2024a).

With respect to costs, the tighter labour market, fuelled by the post-pandemic recovery, has driven compensation of employees above its end-2019 levels in several sectors, in nominal terms (Figure 2.1, Panel A). Moreover, on the back of domestic firms' low productivity (OECD, 2022a), total hourly labour costs have continued to rise across all firm size categories even after mid-2022, when job vacancy rates began to ease markedly. At the same time, infrastructure gaps, due to past underinvestment and rapid population growth, are increasing costs for businesses (NCPC, 2023). This is most evident in the electricity market, where the limited flexibility of the transmission grid could limit the cost savings associated with increased renewable generation capacity (Chapter 3), with negative repercussions on non-residential consumers, currently facing relatively high electricity prices (Panel B). Housing shortages can also be a barrier to multinational enterprises by raising employee accommodation costs and reservation wages (Chapter 4). Comparatively higher interest rates following the global financial crisis (Chapter 1), coupled with costly legal and insurance services (NCPC, 2023), are additional factors weighing on the cost of doing business in Ireland.

Figure 2.1. Cost pressures are non-negligible



Source: Central Statistics Office, "Compensation of employees at current prices" and "Gross Value Added at basic prices" (databases); and Eurostat, "Electricity prices for non-household consumers" (database).

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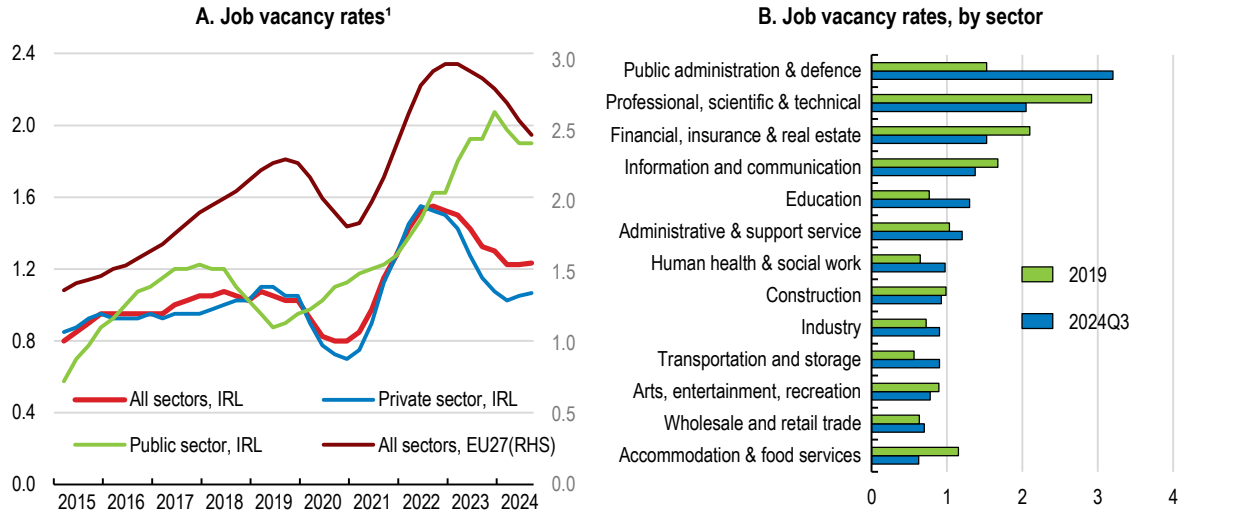
Against this broad background, this chapter will maintain a narrower focus on labour shortages, the cost implications of planned reforms to improve working conditions, the efficiency of the courts system and regulatory improvements to ease the cost of doing business.

Addressing skills and labour shortages

Since the post-pandemic economic rebound, concerns over staff shortages and increased difficulties in recruiting qualified workers have emerged in many sectors. Although lower than in the average EU country, job vacancy rates rose sharply from early 2021 onwards (Figure 2.2, Panel A), despite a tight labour market underpinned by rising employment gains – especially among female, young and older workers – and higher net migration inflows (Chapter 1). As global uncertainties started to weigh on growth, vacancy trends diverged across sectors. As of the third quarter of 2024, following a normalisation of labour demand in the wake of the post-pandemic rebound, combined with restructuring plans in tech multinationals and distress in commercial real estate, vacancy rates had dropped closer to or below pre-pandemic levels in sectors, such as wholesale and retail trade, hospitality services, ICT and construction, which also experienced within-sector employment reallocation away from the slumping commercial real estate sector. At the same time, against the background of strong wage growth, unmet labour demand continued to increase, relative to 2019, in sectors perceived as relatively unattractive due to their less flexible wage structures (Panel B).

Figure 2.2. Labour shortages have generally worsened since the pandemic



Note: 1. The job vacancy rate measures the number of job posts that are vacant as a percentage of all jobs, i.e., vacant and occupied. 4-quarter moving averages are displayed in Panel A.
Source: Central Statistics Office; and Eurostat.

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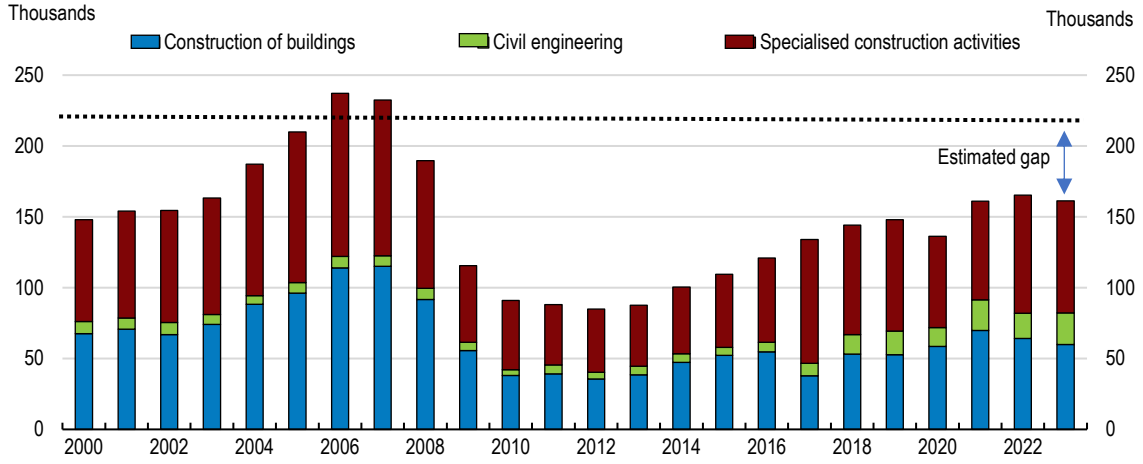
In the longer term, labour shortages risk jeopardising the government's agenda on housing and climate reforms. Official estimates suggest that an additional 50 000 construction workers will be required, starting from 2023, to meet the housing and retrofitting targets by 2030 (DFHERIS, 2022). Moreover, the recent upward revisions to the Housing for All targets (Chapter 4) will further compound the estimated labour shortages. While construction employment has recovered somewhat from its 2012 trough (Figure 2.3), reaching 161 000 workers as of mid-2024, its share of total employment has hovered around 6% in recent years. Hence, increasing employment in the construction is key. With limited housing availability complicating the recruitment of foreign workers in the short term – although construction-related work permits from countries like Brazil and India have recently risen from very low levels – staff requirements will have to be met largely by domestic workers, despite Ireland's relatively weak graduation pipeline in construction-related skills (NCPC, 2024b).

Labour shortages severely hamper SME activities. About one third of Irish SMEs stated that finding and hiring staff with the right skills has been very difficult over the past two years, while half identified difficulties in hiring skilled employees as their most serious concern, similar to the EU average of 54% (EC, 2023a).

Applicants' insufficient qualifications, skills or experience and an outright lack of available candidates are the main reasons for the reported labour and skills shortages, followed by the inability to offer more attractive employment packages than competitors. To overcome these challenges, Irish SMEs tend to make less use of fixed-term and self-employed workers than EU peers, and prioritise training and reskilling of current staff, and improving working conditions to retain and attract talent.

Figure 2.3. The construction sector still needs more people



Note: Specialised activities include those requiring specialised equipment (i.e., pile-driving, scaffolding, etc.); the horizontal dotted line refers to the estimated size of the workforce required, from 2023, to meet the official housing and retrofitting targets by 2030, as in DFHERIS (2022).
Source: Central Statistics Office, Labour Force Survey Time Series.

StatLink https://stat.link/4oq2nz

Irish businesses are active in trying to attract foreign talent. About one fifth of SMEs reported efforts to hire both EU and non-EU workers to bridge skill shortages, which is among the highest shares in the EU. Such efforts capitalise on the capacity of the domestic labour market to rapidly integrate foreign workers, as proven by minimal gaps between the employment and unemployment rates of non-EU and native workers, in contrast to many EU countries (Eurostat, 2024). In this context, well-designed immigration and integration policies remain essential to ensuring that inflows of foreign workers can sustainably help address labour shortages in the short and medium term (OECD, 2024a).

The Employment Permits Act 2024 enabled greater flexibility in attracting non-EEA workers, particularly in sectors affected by shortages of essential skills (e.g., technology, engineering, construction, and healthcare), while strengthening the protection of permit holders. For instance, the agility of the employment permits processing system has been improved by moving operational details (e.g. the labour market needs test) to secondary legislation for easier modification in response to evolving labour market needs. The new Act also enables the transfer of an employment permit to a new employer after nine months, which will improve working conditions, and introduces a Seasonal Employment Permit, which will support the short-term labour needs of certain sectors (e.g. agriculture and hospitality). An indexation provision will ensure salary thresholds for employment permits remain, at least, in line with average wage growth. A roadmap for increasing minimum salary thresholds for employment permit holders was introduced in December 2023, with the first increases implemented in January 2024. However, owing to broader concerns about rising business costs (see below), the roadmap is currently under review, with any further increases put on hold. Other recent measures, including the expansion of the lists of occupations that are eligible for an employment permit and improved pathways to employment for the spouses and partners of employment permit holders, are also expected to enhance businesses' capacity to attract foreign talent.

Overall, the new measures might further enhance Ireland's rank in the OECD indicator for Talent Attractiveness, where Ireland is currently behind Denmark and Canada, but above France and Germany

(OECD, 2023a). However, insufficient housing supply and the resulting affordability challenges could limit the ability to address labour shortages through foreign workers, except for highly-skilled and highly-paid jobs (Chapter 4). In the medium term, enhanced digitalisation, including the expanded use of AI, could also help address labour shortages while supporting productivity growth (OECD, 2023b and 2024a), provided the development of complementary skills is effectively supported, as discussed in the *2020 OECD Economic Survey* (OECD, 2020).

Enhancing lifelong and vocational training opportunities

Equal access to lifelong learning opportunities is key to reduce skill mismatches. 63% of employed persons aged 25-64 in Ireland had engaged in formal and non-formal training in 2022, nine percentage points above the EU average. However, upskilling pathways for low-skilled, unemployed, and inactive adults, whose relative rates of access to training are lower than those of top EU performers, could be strengthened. Spending on training for the unemployed, at 0.13% of GNI* in 2021, was above the OECD average but accounted for less than 6% of total public spending on active labour market policies, which were largely made up of employment incentives. Training to jobseekers is largely provided in institutional settings, although the proportion of integrated programmes, which split training time evenly between a training institution and the workplace, has increased.

Strengthening vocational education could help address labour and skill shortages in the medium to long term. At 68%, the share of firms providing continuing vocational training to their staff is in line with the EU average, but below the 90% attained in Latvia, Norway and Sweden. The provision of formal apprenticeships, largely involving a balanced mix of institutional and workplace-based training to ensure an adequate blend of theoretical knowledge and practical skills, including in higher education, expanded with the 2021-25 Action Plan. The number of women in apprenticeships grew four times faster than men in 2023, although they accounted only for 8.3% of the total 27 470 apprentice population. The expansion of apprenticeships to additional professions also boosted enrolment. Apprenticeship registration increased markedly in the construction sector, especially in programmes with training on Nearly Zero Energy Buildings and retrofitting (DPENDPDR, 2024). The authorities have also opened two large training hubs dedicated to electrical training and expanded electrical, plumbing, and carpentry programmes, including in higher education. However, more is needed to effectively meet the demand for skills.

Overall, the national education system strongly emphasises pathways to higher education, which lessened the appeal and take-up of vocational pathways, despite the fact that secondary and post-secondary non-tertiary vocational education graduates, who feature an 80% employment rate five years after graduation (OECD, 2023c), can easily go to university. Strengthening work-based learning in secondary schools, combined with improved coordination between further and tertiary education institutions to outline and promote attractive vocational career pathways, could help ameliorate people's perspective on apprenticeships. This should be accompanied by greater cooperation with social partners to enhance learning and career guidance services.

Successfully navigating the digital transformation will hinge on broad-based training programmes. Although not among the OECD countries most at-risk of digital job displacement effects, occupations at high risk of automation account for close to 7% of Ireland's total employment, while about 30% of jobs could go through significant changes (Lassébie and Quintini, 2022; Nedelkoska and Quintini, 2018). To preserve the competitive edge of the Irish workforce in the face of automation and digitalisation, enhanced provision of comprehensive training will be essential. This should ensure the development of interpersonal and problem-solving skills, which can enhance complementarities between workers and machines. Skills needed for the adoption of technological innovations should be equally prioritised (OECD, 2023b). At the same time, greater efforts should go towards skill certification in manual jobs with a low risk of automation, especially those of relevant social value (e.g., caregivers), to make them professionally attractive.

Workplace lifelong training aimed at limiting skill depreciation and enhancing reskilling for the digital transition could be financed by the National Training Fund (NTF), especially for SMEs (OECD, 2023d). Funded through an employers' levy, the NTF's surplus increased to about EUR 1.5 billion in 2023, underpinned by strong employment growth and levy rate increases, together with relatively stringent spending rules. Since the NTF is factored into the departmental expenditure ceiling, spending from the Fund automatically reduces other supports allocated to the Department of Further Education and Training (PBO, 2023). Budget 2025 announced a multi-year strategy for use of the National Training Fund from 2025 to 2030, which is welcome.

As population ageing strengthens incentives to work longer careers, senior workers, who are also less likely to participate in training, may see rapid automation depreciate their skills and employability. Better recognition of hard and soft skills acquired on-the-job, together with enhanced provision of training in formats more adapted to older workers' needs, such as same age cohort or in house one-on-one modules, could limit such risks (OECD, 2023d).

Reducing childcare costs to further boost female employment and participation

Further improvements of women's situation in the labour market could also help ease labour shortages. At about 71%, the female employment rate of women aged 15-64 was at its historical high in the third quarter of 2024. However, close to one third of employed women were on part-time contracts in 2022 (eight percentage points above the OECD average), albeit mostly on a voluntary basis (only 6.2% of female part-time employees linked their job status to the impossibility of finding a permanent job, which is below the 12.1% reported by their male peers). Women's overrepresentation in part-time jobs could have adverse effects on their long-term labour market perspectives, since such contracts lead to weaker social security coverage, access to lifelong learning, and career progression. In addition, high incidence of female part-time work pushes Ireland's gender gap in employment rates above the OECD average, once measured in full-time equivalents (OECD, 2022b).

The high cost of childcare creates disincentives for women to work more hours or take part in lifelong learning. Pre-school childcare is privately run in Ireland and, formally, there are no government-imposed caps on fees for kindergartens or childcare services. To help alleviate the burden of childcare costs on families, the government subsidises childcare services for children aged 6 months to 14 years, primarily through the National Childcare Scheme. The scheme offers a universal hourly subsidy upon registration, and a more generous, means-tested subsidy for families with annual incomes below EUR 60 000. Both are deducted by providers from parents' fees. From September 2022, the government allocated additional 'core' funding for registered childcare providers. This funding, also aimed at enhancing capacity, was conditional on maintaining a fee freeze, relative to a 2021 baseline, and using the extra resources to improve staff pay and working conditions, as well as service quality. About 92% of childcare providers have so far enrolled in the scheme, which is in its third year. Core funding base rates have recently been lifted to enable further wage increases and to partly compensate the participating providers for rising costs in the context of a fee freeze. In addition, a new procedure allows some providers to increase fees to approved levels, provided they meet stringent criteria. This is accompanied by the adoption of a common fee structure and the introduction of maximum allowable fees (across the identified fee bands) for new services joining the scheme, while a cap on fees will apply to all services enrolled in the Core Funding scheme from September 2025.

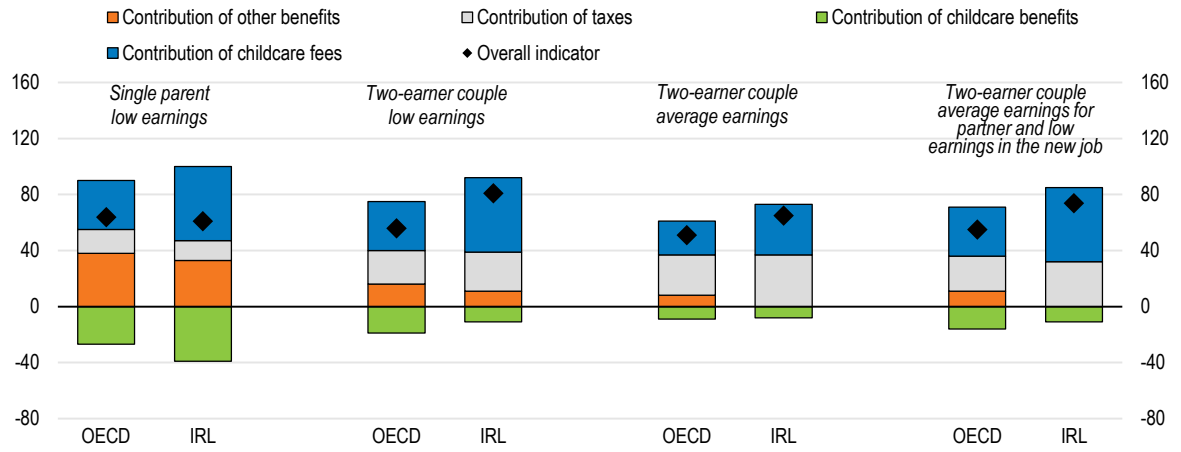
Increased core funding for childcare and hourly subsidies have helped improve affordability, although net childcare cost remains relatively high for middle-income households, especially in urban areas. Data from the OECD Tax-Benefit model, for a two-earner couple with two young children and both adults earning the average wage, show that the out-of-pocket net childcare cost (after having deducted childcare benefits paid by the state) dropped to 22% of the average wage in 2023, down from 29% in 2022. This, however, remains well above the OECD's 12%. Childcare also remains costly for couples earning 67% of the

average wage, but generous public support greatly alleviates its burden on lower income households, especially single parents.

Some benefit recipients face stronger disincentives to enter work or work more, due to the effective taxation associated with the move, namely the cost of childcare, taxes, and withdrawal of certain benefits. For a low-earning family with two young children using childcare facilities, for instance, the effective participation tax for a second earner to move from unemployment to full-time employment (paid at 67% of average wages) will represent 81% of the wage, versus 56% OECD-wide (Figure 2.4). Moreover, disincentives to participate related to the eligibility to social housing add to those resulting from quite high marginal tax rates at different income thresholds (OECD, 2022a), while the lack of affordable childcare appears to be a barrier to young women's participation in training (Mooney and O'Rourke, 2017).

Figure 2.4. The cost of childcare, taxes and withdrawal of benefits create disincentives for employment

Participation tax rate for parents claiming unemployment benefits and using childcare services, %, 2022



Note: The participation tax rate measures the financial disincentives to participate in the labour market for a jobseeker claiming unemployment benefits. It calculates the proportion of earnings that are lost to higher taxes, lower benefits and net childcare costs when a parent with young children takes up full-time employment and uses full-time centre-based childcare. Higher values mean higher financial disincentives. Low earnings refer to 67% of average earnings. Children are aged two and three. The unemployment duration is 36 months.
Source: OECD Tax and Benefit Model.

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The relatively high cost of childcare results in its lower and unequal use. Average usual weekly hours in early childhood education for 0- to 2-year-olds are lower than the OECD average, which partly reflects policy support for parents to care for children at home during the first year. Moreover, 21% of children aged 0-2 years from lower-income households attend childcare, as opposed to 54% from higher-income ones, while participation is also higher among children of tertiary-educated parents. To ease access to childcare, on the backdrop of rising living costs, the government increased the 2025 budget allocation for early learning and childcare by EUR 266 million to EUR 1.4 billion, including a EUR 338 million core funding envelope. Besides boosting the number of childcare places, the extra funds will also cover the increase in the universal hourly subsidy paid to families accessing registered early learning and childcare, which Budget 2024 raised from EUR 1.40 to EUR 2.14 starting in September 2024.

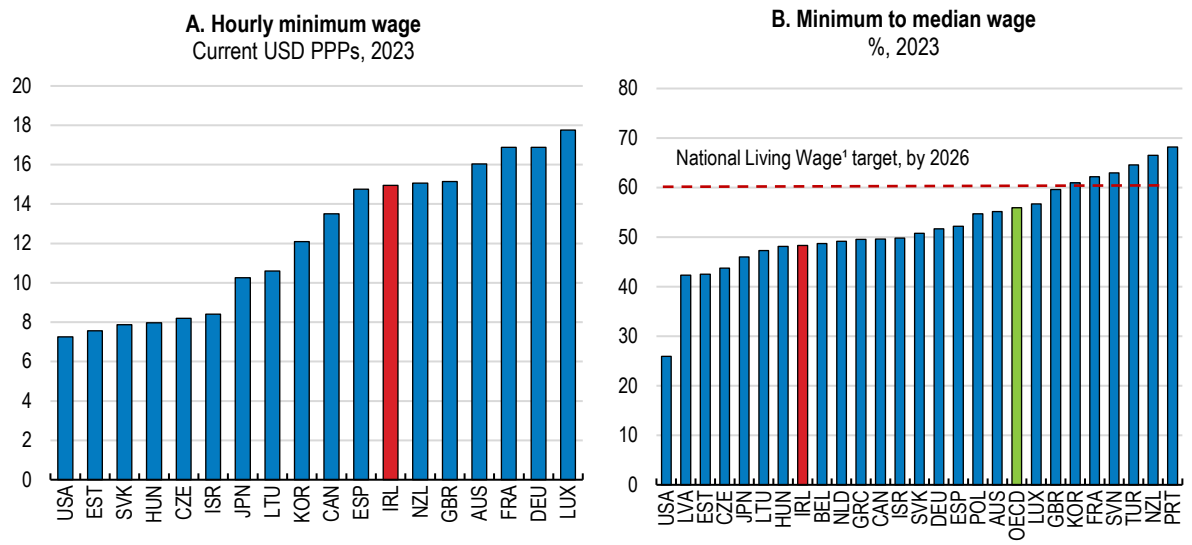
While the above-described measures eased affordability, with childcare costs varying by area (they are considerably higher in the Dublin region), their effectiveness will differ across households. Besides, the universal subsidy entails deadweight losses. Hence, making childcare subsidies more means-tested could be more effective in enabling better access to childcare by households around the middle-income bracket, who are currently less likely to be eligible for targeted income support but are increasingly squeezed by rising living costs.

Effectively balancing equity and cost pressures

Ireland is introducing reforms to improve working conditions. These include the transition towards a national living wage – in line with an EU directive on adequate minimum wages – and the phased introduction of statutory sick pay of up to ten days per year, both by 2026, coupled with improved parental leave, remote working legislation, an additional public holiday, a new pay-related benefit scheme, and the gradual establishment of automatic enrolment into workplace pension savings. While these reforms introduced on the backdrop of a robust domestic economy, consist of measures in line with social protection schemes in most OECD countries and, hence, unlikely to unsettle most foreign investors, there are concerns that their simultaneous implementation may entail some risks to cost competitiveness.

The minimum wage rose from EUR 11.3 per hour worked in 2023, a level already relatively high when measured in purchasing power parity terms (Figure 2.5, Panel A), to EUR 12.7 as of January 2024. In absolute values, this is somewhat above 2024 statutory minimum hourly wages in France (EUR 11.7) and Germany (EUR 12.4), but still below those in the Netherlands (EUR 13.3) and Luxembourg (EUR 14.9), although full data comparability is hampered by slightly differing eligible populations across countries. Given strong wage growth, the planned transition to a national living wage, set at 60% of the median wage, by 2026 suggests additional increases in the near term (Panel B). The transition aims at curbing inequality by boosting disposable income of low-paid workers, on the back of estimates pointing to no significant long-term adverse impact on competitiveness and employment (Low Pay Commission, 2023). Ireland's hourly minimum wage is above the OECD average but remains below those in Australia, New Zealand and the United Kingdom, in real terms. Moreover, recent simulations based on the OECD Tax-Benefit model for 2023 showed that employers' labour costs, at both minimum and median wage levels, were below OECD averages.

Figure 2.5. The minimum wage is set to increase considerably



Note 1. The government agreed, in November 2022, to replace the statutory minimum wage with a new National Minimum Wage, set at 60% of the median wage, by 2026.
Source: OECD, Earnings Statistics (database); Central Statistical Office.

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The automatic enrolment scheme, set to be phased in over the next ten years, will require employers who currently do not provide occupational pension coverage to employees, to increasingly contribute into the system, for up to 6% of employees' gross wage – at full implementation. With only 35% of private sector workers availing of a supplementary pension coverage, the measure will provide higher retirement income

to about 750 000 eligible workers currently lacking any occupational pension coverage (Department of Social Protection, 2022), which is welcome.

The costs implied by the above reforms will largely weigh on smaller businesses in labour-intensive sectors. The economy-wide impact of the combined reforms is an estimated 1.8-2.2% increase in payroll cost by 2026 – relatively limited but uneven between and within sectors (DETE/DSP, 2024). With most businesses, especially foreign-owned companies, paying salaries above the minimum wage, only 7% of employees reported earning the national minimum wage or less in 2022. Of these, about 59% worked in low-wage and labour-intensive sectors, i.e., wholesale and retail trade, and accommodation and food service activities (Low Pay Commission, 2023; Redmond et al., 2023). Furthermore, these sectors have a large prevalence of small businesses (CSO, 2023), which might bear the brunt of reform costs. Stylised case studies point to a combined incremental impact on total costs for a small hospitality business of around 9% in 2024 and 27% by 2026 (DETE/DSP, 2024).

While the combined reforms to improve working conditions will be beneficial in the long term, their cumulated impact on business sustainability in specific and mainly domestic sectors, as well as potential broader trickling up price effects, should be closely monitored, also due to possible indirect repercussions on foreign investor incentives. On the one hand, better working conditions raise living standards, reducing social inequalities and the scope for in-work social benefits, while supporting tax receipts and help attract foreign workers with both high and low skills. On the other hand, if not passed to consumers (with the ensuing inflationary pressures), the cost burden from the simultaneous implementation of the reforms could ramp up insolvencies in retail and hospitality industries, which, due to the cumulated effects of the pandemic and cost-of-living crisis, rose in 2023-24, (PWC, 2025). Some degree of insolvency would improve the efficiency of resource allocation, through the exit of less productive firms and a shift of labour towards higher value-added sectors, provided effective retraining programmes are activated. However, with retail and hospitality accounting for one fifth of total employment, a marked downturn in these sectors could raise uncertainties, which makes a more granular assessment of sectoral cost trends key to consider possible adjustments, as needed.

Reducing burdensome legal costs

A fair and well-functioning legal system is a key framework condition enabling property rights protection, confidence, and the stability required to successfully pursue investment projects. Companies' trust in Ireland's legal and court system is relatively high, with close to 80% reporting themselves very or fairly confident about the effectiveness of investment protection by the law and courts, well above the EU average of 53% (EC, 2023b). Even so, lengthier court proceedings, partly due to pandemic-related backlogs, and high and mounting levels of legal costs, especially of litigation, is a concern (NCPC, 2023). Incomplete digitalisation and fragmented information systems across jurisdictions hamper the production of comprehensive information on courts' performance, which undermines effective service planning and evidence-based policy-making (INDECON, 2023).

According to national accounts data, Ireland's spending on law courts per inhabitant, which includes expenditure on the administration and operation of courts and the broader judicial system (excluding prisons), is the third highest in the European Union. Calculations based on budget allocations for the functioning of courts, however, reveal much lower per capita spending, EUR 31 in 2022, lower than EUR 50 in the United Kingdom and France. This may partly be due to Ireland's low number of judges (3.5 per 100 000 population), the lowest in the European Union, well below the EU average of 20.

Efforts to increase judicial resources have recently been stepped up. Across most levels of jurisdictions, average lengths of civil proceedings had risen markedly after the pandemic (OECD, 2023e). Typical processing times in the High Court, for instance, reached 871 days in 2022, up by about 14% relative to the 2018-19 average. This was largely driven by commercial, judicial review, and personal injury cases,

with the average length of the latter surging to 1 325 days (INDECON, 2023; Courts Service, 2023). To reduce delays in legal proceedings, the government appointed 24 additional judges in 2023 and committed to add another 20, conditional on an impact assessment of the initial appointments (Department of Justice, 2023). These measures, once completed, will increase the headcount of judges by 25% to 217. Draft legislation, currently pending before Parliament, introducing a compensation scheme in case of excessively long court proceedings, could create further efficiency gains.

Cross-country evidence suggests that besides the size of resource endowments, court performance also heavily depends on the efficiency with which judicial resources are allocated (Palumbo et al., 2013). Hence, the effectiveness of the courts service will also hinge on ensuring adequate levels of skilled clerical and support staff (Department of Justice, 2022), together with efficiently designed, cost-effective, and user-friendly processes and operations (OECD, 2023e). Following initiatives taken in some OECD countries, this could include the adoption of AI-based techniques, especially to curb repetitive preparatory tasks and streamline case management (Box 2.1).

Box 2.1. Examples of court automation

In Germany, the Baden-Württemberg region has adopted an AI Higher Regional Court Assistant using Natural Language Understanding, in 2023, which enabled Stuttgart's Court to rapidly ease its backlog of 10 000 cases through more rapid case categorisation and processing. Similarly, Frankfurt's District Court uses an AI system to draft judgment letters in proceedings with a highly repetitive content (e.g., air passenger rights lawsuits), allowing judges to concentrate on more complex issues. AI applications are used to transcript court hearings or remove participants' personal data from court judgments set to be disclosed in Estonia. Moreover, fully- or semi-automated online dispute-resolution systems are in place, or being tested, in the Netherlands (divorce cases), Estonia (small claims) and in Canada's British Columbia and Ontario provinces (digital hearing workspace in civil cases).

Source: Schindler, E. (2024), "Judicial systems are turning to AI to expedite case resolution", *blog*; Härmand, K. (2023), "AI Systems' Impact on the Recognition of Foreign Judgements: The Case of Estonia", *Juridica International*, Vol. 32.

Effective integration of information systems conditions efficient case management and planning. Ireland's courts rely on case management techniques to support their work planning processes but much of the collected data are used mainly in the context of annual reporting and do not necessarily reflect the actual workload of the courts and judges. Cases settled out-of-court following their filing, for instance, are not excluded from the total numbers of cases filed, complicating efficient judicial time management (OECD, 2023e). Moreover, clear common data definitions and data collection standards across the courts, Courts Service (which provides administration and support services to the former) and other relevant jurisdictions are lacking. As a result, the approaches to case and court management often vary considerably across levels of jurisdiction, hindering the accumulation of effective systemic knowledge. A medium- to long-term strategy aimed at the establishment of a single case management system relying on a unified data model was launched in 2021 (Courts Service, 2021). The implementation should be frontloaded, as a comprehensive and integrated data system, which is key to enhancing monitoring and regular evaluation of court performance based on defined indicators, is lacking (EC, 2023c).

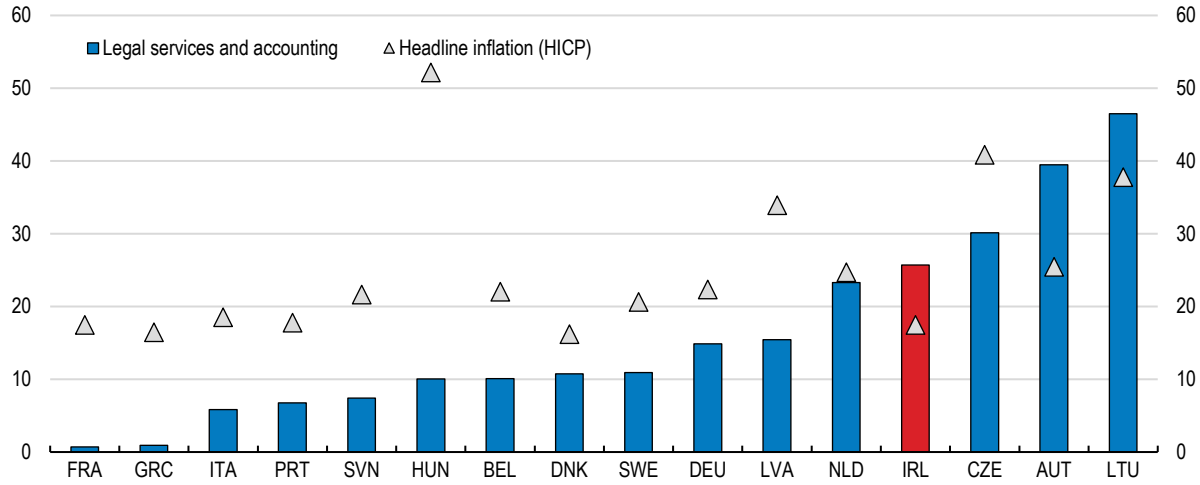
Inadequate data frameworks also hinder the monitoring and assessment of litigation costs, which are perceived as high and may reduce incentives to resort to legal action, when needed. Overall, the costs of litigation are case-specific and vary considerably based on claim size, scale of litigation, and level of jurisdiction. For example, litigation raises the legal costs substantially. Recent evidence, based on micro case data related to motor insurance and employers' liability injury claims in Ireland, showed that legal costs in litigated cases were 2.5 to 4 times higher than in directly-settled cases, accounting on average for about one third of total settlement costs (INDECON, 2023). However, comprehensive information on the detailed components of legal costs by type of litigated and settled cases, and on cost variation by provider and over time is lacking. In addition to hindering evidence-based policymaking, this also increases

inefficiencies, as the information asymmetries generated by weak transparency impose indirect costs on consumers of litigation services due to more muted competition.

Lack of internationally comparable data on legal costs limits the scope for cross-country comparisons. However, the closest service component in Eurostat's harmonised index of consumer prices (HICP), which lacks granularity as it lumps legal and accountancy fees together, and does not provide any information on starting levels, suggests that legal fees in Ireland may have risen faster than the overall HICP over the last five years, in contrast to many other EU countries (Figure 2.6).

Figure 2.6. The cost of legal services has risen substantially

% changes, 2019-24



Note: Legal services and accounting is the most detailed HICP category related to legal fees available in the European Classification of Individual Consumption according to Purpose (ECOICOP); it also includes fees for services of assistance in the payment of income taxes.
Source: Eurostat, Harmonised index of consumer prices (HICP).

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Competition-enhancing reforms could further improve the legal system's efficiency and help reduce legal costs. The Courts and Civil Law Act, passed in July 2023, paved the way for the establishment of partnerships between barristers and solicitors, an option already available in the United Kingdom and other common law jurisdictions. The joint provision of such legal services is expected to improve the quality and variety of the expertise offered to customers, and help contain legal fees. Regulatory reforms easing the setting up of multi-disciplinary practices in the legal remit could also boost competition. By integrating the supply of complementary services, multi-disciplinary practices can cater to more complex and interrelated needs, potentially increasing service innovation and efficiency.

Extending the option of a Limited Liability Partnership status to multi-disciplinary practices, as foreseen for existing solicitor firms and legal partnerships, could improve their rather low take-up because of partners' current unlimited joint liability. Likewise, while the provision on conveyancing services for property transactions is currently monopolised by solicitors, the introduction of a new profession of conveyancer would strengthen competition. Evidence from other common law jurisdictions suggests that the introduction of conveyancers led to lower legal service prices and more compressed fee structures (CCPC, 2022). Supervisory and regulatory powers over the profession should be held by an independent and self-funded professional organisation – tasked as well with overseeing a conveyor indemnity insurance system – placed under the oversight of the Legal Services Regulatory Authority, which is responsible for complaints investigations.

Ensuring fair and effective regulation

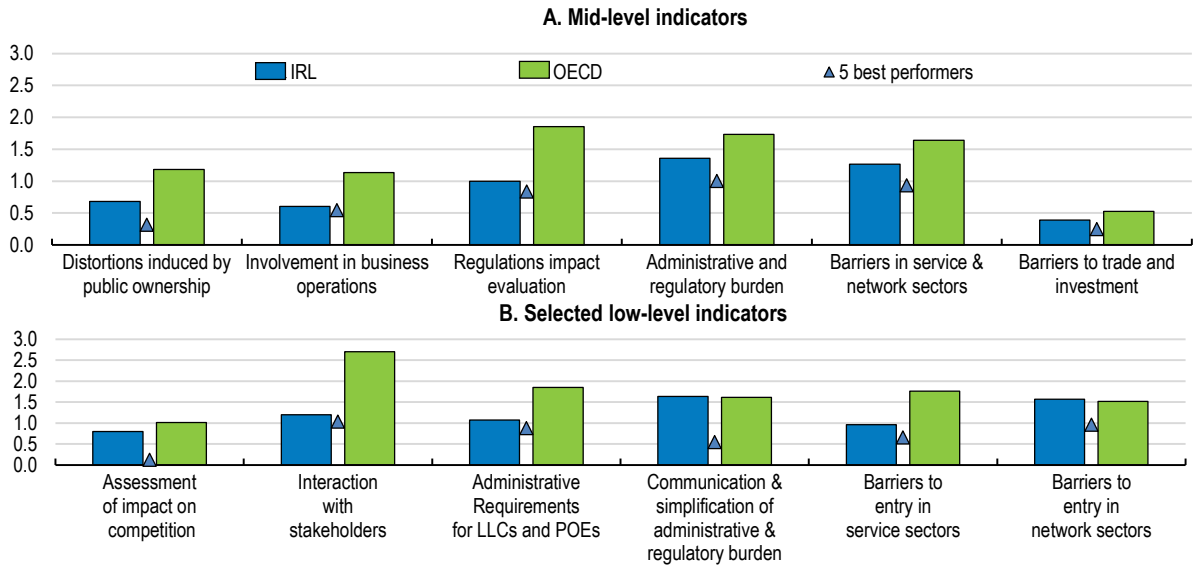
Easing the administrative burden on businesses

Ireland's regulatory framework is among the OECD's most competition-friendly (Figure 2.7, Panel A). Even so, entrepreneurial activity and innovation diffusion continue to face regulatory obstacles, while gaps to best practices persist, for instance, in areas like regulatory impact assessment and barriers to entry in services and network sectors (Panel B). Eliminating remaining regulatory constraints and moving closer to the frontier of best practice could enable more efficient resource allocation and enhanced organisational processes. This, on aggregate, may lower the cost of doing business.

Establishing a business is relatively straightforward in Ireland, with limited administrative requirements and costs attached to the registration of new firms (Figure 2.7, Panel B). However, the licensing and permitting requirements for a business to become operational vary considerably – in number and complexity – across sectors and a centralised inventory of all the licenses and permits issued to businesses by public bodies is lacking. An integrated application service, set up in 2014 to allow businesses to renew and apply for licenses online, has fallen short of covering the full range of necessary licences, due to the absence of links with other main licensing portals, including that of the Revenue Commissioner (OECD, 2020). Making participation in the one-stop application service mandatory for all licensors would help enhance the system's transparency and alleviate the administrative burden on entrepreneurs. Considering the introduction of a 'silence is consent' principle to settle applications, following a certain delay, may contribute to easing application backlogs, which have recently risen.

Figure 2.7. Some regulatory areas require further simplification

OECD Product Market Regulation 2023 indicators



Note: The indicators range from zero (least stringent) to six (most stringent). Panel B shows low-level indicators for the following medium-level ones: regulations impact evaluation, administrative and regulatory burden, and barriers in service and network sectors. LLCs and POEs stand for Limited Liability Companies and Personally-Owned Enterprises, respectively.
Source: OECD Product Market Regulations Statistics Database.

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Strengthening public integrity

Perceived risks of corruption in the public sector have eased somewhat since 2021 (Figure 2.8, Panel A). Likewise, control of corruption is more effective than in the average OECD country (Panels B-D). However,

according to the European Commission's Eurobarometer survey, 59% of Irish citizens consider that corruption is widespread, against an EU average of 70%, and 43% think corruption levels have increased in recent years. At the same time, 60% of Irish citizens consider corruption as an integral part of the country's business culture, while 65% of them state that the practice hampers business competition, broadly in line with the EU average (EC, 2023d). On the side of businesses, only 28% of companies consider corruption as widespread, versus 65% EU-wide (EC, 2023e).

Ireland openly cooperates with other tax authorities (Panel E) and features a relatively effective anti-money laundering framework, although room for improvement remains on the side of confiscation, investigation, and prosecution settings (Panel F). The Central Bank's efforts to develop a money laundering risk assessment framework, to enable simulation-based estimates of the possible level of money-laundering in the country, are welcome and should improve the assessment of financial stability risks.

Efforts to strengthen the public integrity system are ongoing. Ireland is among the 12 OECD countries that have put in place the data collection infrastructure needed to adequately monitor the implementation of the public integrity framework, although information gaps persist in some areas (OECD, 2024b). Ireland ranks as a top performer among OECD countries with reference to comprehensive regulation on lobbying and standards on public information, including access to open data (OECD, 2024c). Supported by generalised and effective internal audit proceedings across public sector entities (OECD, 2024c), new legislation enhancing the investigative, sanctioning and enforcing functions of the Standards in Public Office Commission is set to improve the authorities' capacity to detect breaches to the code of conduct, provided the institution is adequately resourced.

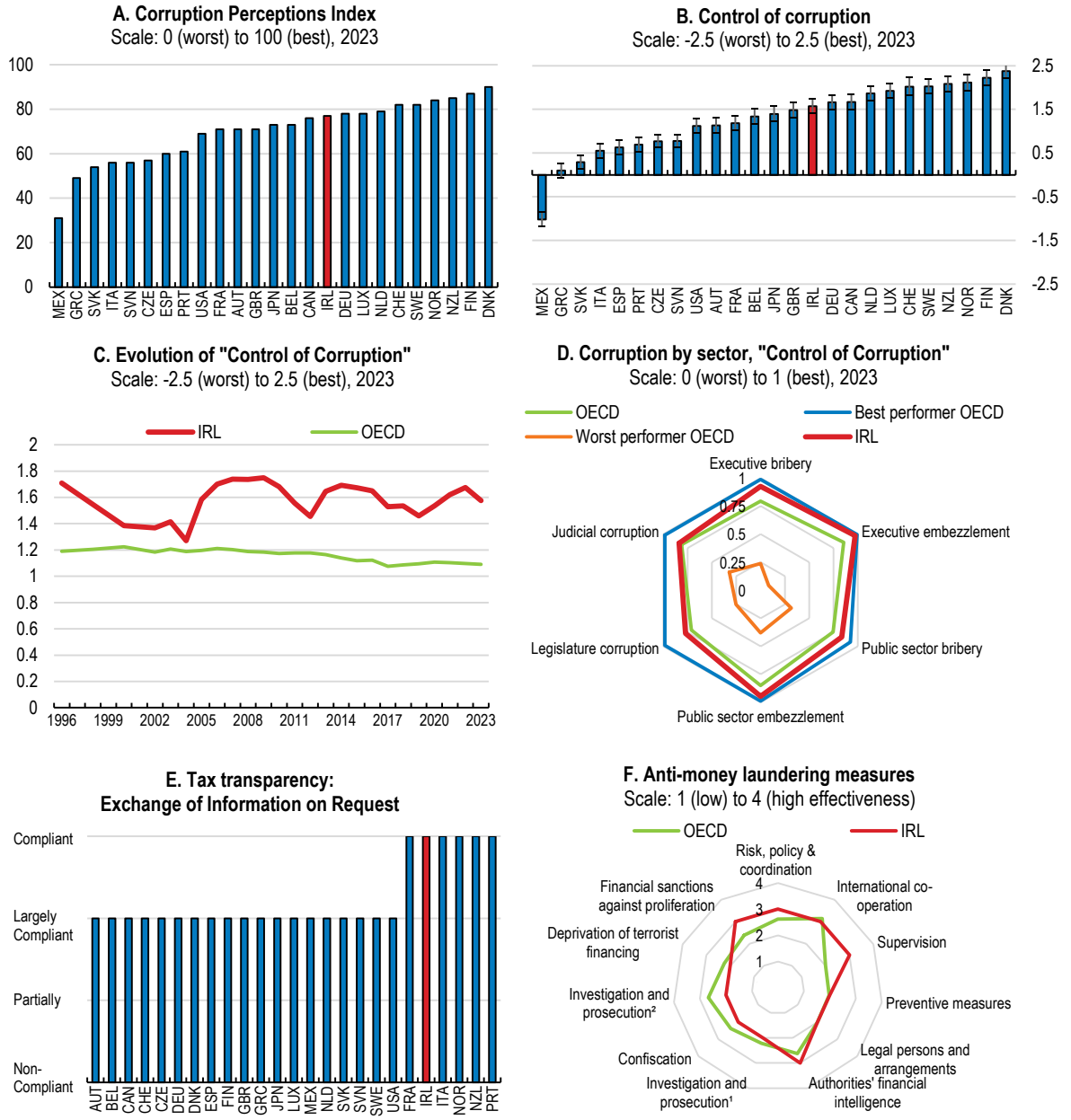
Despite significant improvements, the policy action to tackle corruption and preserve integrity in public offices has been lacking an integrated strategic approach. The authorities, however, are committed to launch a multi-year strategy to tackle corruption in a whole-of-government approach. Coordinated by the stakeholder Advisory Council against Economic Crime and Corruption, the strategy, which will integrate inputs from public consultations held in 2024, is currently under development.

Persisting information gaps should be closed to ensure more effective enforcement of public integrity standards. A 2022 review of the framework for ethics in public office recommended more streamlined and efficient processes for interest disclosure (Department of Public Expenditure and Reform, 2022), which is currently required for members of parliament and local authorities, as well as for most categories of high-ranking officials. In addition, it proposed extending the disclosure regime to all relevant public office positions, with requirements scaled to responsibility and potential for conflict. Digitalising interest and asset disclosures for all civil servants and promoting the collection, verification and publication of the information submitted could markedly enhance regulatory compliance and boost trust in public institutions. Tighter political financing and interest disclosure rules, as well as enforcement of lobbying and revolving doors regulations will also be key to ensuring the resilience of public integrity frameworks in the face of the policy-making challenges posed by the green transition (OECD, 2024c). The close interrelation between public and private sector actors, which is a necessary corollary of climate change and decarbonisation policy efforts, can enhance the risk of collusive behaviour and lead to suboptimal use of funds for climate projects, undermining transition goals (Resimić, 2022).

The regulatory framework has been improving. Supported by new legislation making bid-rigging a criminal offence, as well as by the release of detailed official guidelines to ensure well-managed, fair and transparent competition (Office of Government Procurement, 2023), public procurement regulations are largely in line with international best practice. However, rules enabling the use of bid-screening techniques to detect – and deter – irregularities are still missing (CCPC, 2023). Similarly, the competition authority's investigative and merger control powers, including the ability to 'call in' mergers below the revenue thresholds requiring a notification, manage an administrative leniency policy, and impose interim measures and administrative financial sanctions – albeit subject to court approval, were enhanced in September 2022. By tackling larger companies' practice to maintain market dominance by absorbing innovative start-

ups, the new prerogatives should support innovation diffusion and more competitive markets, especially at the local level (Treacy and Ryan, 2023).

Figure 2.8. The gap to best performers in addressing corruption remains



Note: Panel B shows the point estimate and the margin of error. Panel D shows sector-based subcomponents of the "Control of Corruption" indicator by the Varieties of Democracy Project. Panel E summarises the overall assessment on the exchange of information in practice from peer reviews by the Global Forum on Transparency and Exchange of Information for Tax Purposes. Peer reviews assess member jurisdictions' ability to ensure the transparency of their legal entities and arrangements and to co-operate with other tax administrations in accordance with the internationally agreed standard. The figure shows results from the ongoing second round when available, otherwise first round results are displayed. Panel F shows ratings from the FATF peer reviews of each member to assess levels of implementation of the FATF Recommendations. The ratings reflect the extent to which a country's measures are effective against 11 immediate outcomes. "Investigation and prosecution¹" refers to money laundering. "Investigation and prosecution²" refers to terrorist financing.

Source: Panel A: Transparency International; Panels B & C: World Bank, Worldwide Governance Indicators; Panel D: Varieties of Democracy Project, V-Dem Dataset v12; Panels E & F: OECD Secretariat's own calculation based on the materials from the Global Forum on Transparency and Exchange of Information for Tax Purposes; and OECD, Financial Action Task Force (FATF).

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Table 2.1. Past OECD recommendations on activation and regulatory policies and actions taken

Recommendations in past surveys	Actions taken since 2022
Continue to reduce the administrative burdens on SMEs by creating a Single SME portal, as planned.	Enterprise Ireland has designed a single entry-point with information on all available public support to SMEs, the National Enterprise Hub, which has been recently put online as a beta version.
Complete the overhaul of the anti-corruption legislation and the reform of the statutory framework for ethics in public life.	A multi-year strategy to tackle corruption in a whole-of-government approach is under development. Following a 2022 review of the public ethics framework, the government is to present its reform proposals in the coming months.
Continue to couple adequate public financial support for childcare with measures to expand childcare capacity.	Core funding for childcare support rose 15% to EUR 331 million from September 2024, enabling improved service quality and staff working conditions, as well as a freezing of parents' fees. The National Childcare Scheme was enhanced, including a 53% increase of the minimum hourly subsidy rate and its extension to cover the costs for childminders. EUR 89 million has been allocated to meet childcare infrastructure needs in 2023-26.
Continue to support training and apprenticeships in areas of the economy where labour supply is in high demand.	Establishment of the National Apprenticeship Office will deliver a unified apprenticeship system. Budget 2024 allocated EUR 67 million to support craft apprenticeships. The total allocation for VET was close to EUR 300 million.

Recommendations on maintaining the cost attractiveness of the business environment

FINDINGS	RECOMMENDATIONS (key ones in bold)
Addressing labour and skill shortages	
Labour shortages have worsened in many sectors since the pandemic and there is room to improve access to training for the low-skilled, unemployed and inactive.	Continue to support training and apprenticeships in areas of the economy where labour shortages are high.
The National Training Fund has a large surplus, but the deployment of funds is limited by stringent spending rules.	Increase the use of the National Training Fund to boost lifelong training to enhance up- and re-skilling in the digital transition.
Despite marked increases in childcare subsidies, access to childcare remains constrained for some groups due to high costs, adversely affecting female employment opportunities.	**Make public financial support for childcare more means-tested and couple it with continued measures to expand childcare capacity.**
Effectively balancing equity and cost pressures	
Ireland is introducing to improve working conditions, which, coming on top of lingering post-pandemic fragilities in some sectors, have triggered businesses' concerns over excessive cost pressures.	**Closely monitor the combined cost impact of reforms to improve working conditions on sectoral business sustainability, and adjust the sequencing as needed.**
Reducing burdensome legal costs	
Inadequate and siloed data frameworks hamper effective court case management and obscure the actual causes of high legal costs.	Frontload the implementation of an integrated data system to enhance the monitoring and assessment of court performance and litigation costs.
Competition-enhancing reforms could help reduce legal costs by increasing service innovation and the legal system's efficiency.	**Enhance competition in legal services by easing the setting up of multi-disciplinary practices with a Limited Liability Partnership status.** Establish a new conveyancer profession.
Ensuring fair and effective regulation	
While registering a new business is easy, licensing and permitting requirements to start operations remain complex. Not all licensors are integrated in the existing online business licensing service.	Expand the coverage of the one-stop application service for business licensing by making participation mandatory for all licensors. Consider introducing a 'silence is consent' principle.
Lobbying and public procurement regulations are among the best in the OECD, but some information gaps persist due to limited digitalisation.	Digitalise interest and asset disclosures and gradually extend them to all relevant civil servants. Enable the use of advanced data screening tools to fight bid-rigging in public procurement.

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3 Reducing greenhouse gas emissions and adapting to climate change

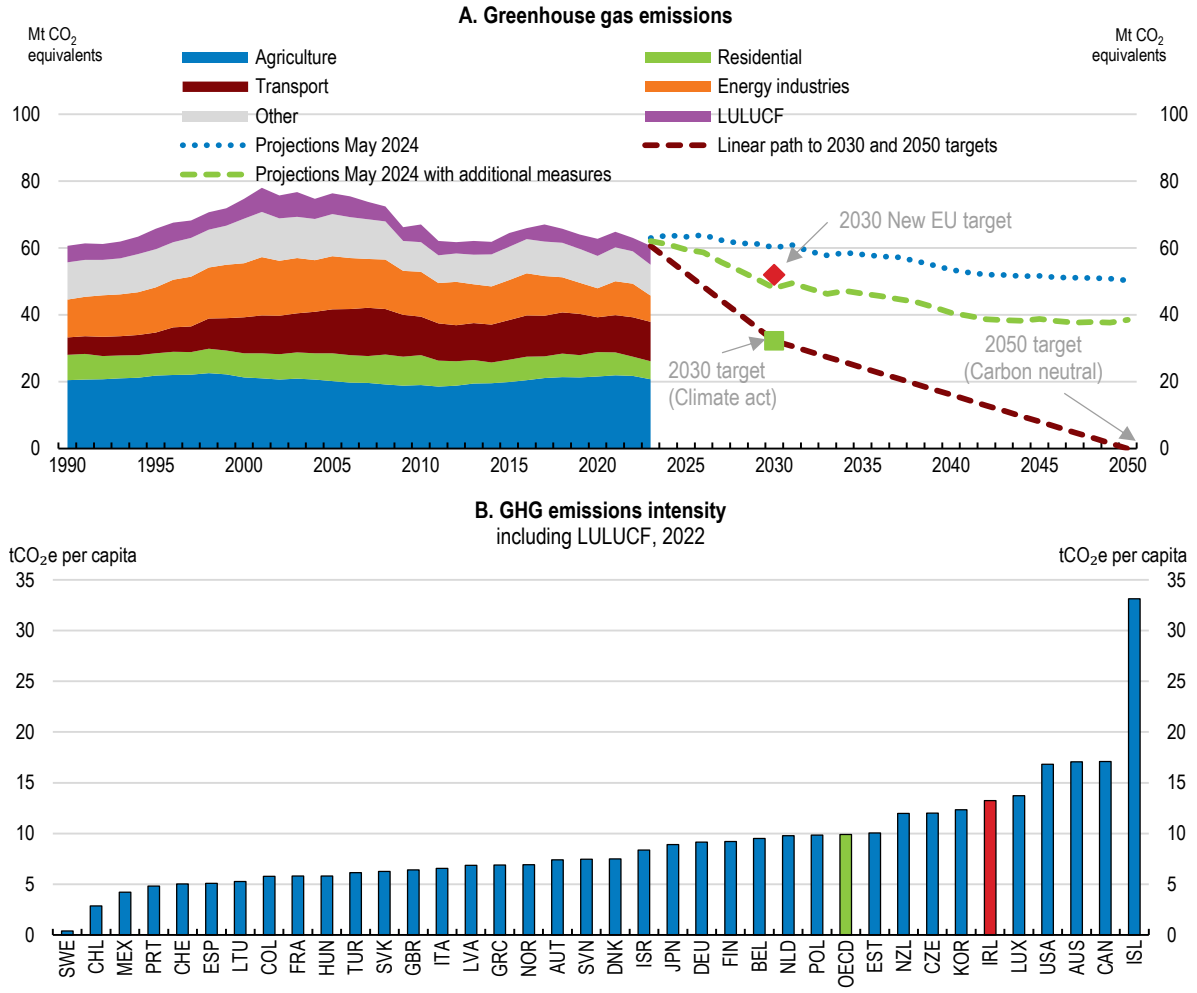
Müge Adalet McGowan, OECD

Ireland has ambitious climate targets, including cutting greenhouse gas emissions by 51% from 2018 levels by 2030 and climate neutrality by 2050. However, the speed of implementation and compliance with sectoral limits should improve to meet intermediate targets. The expansion of renewable electricity will be key to lowering dependence on fossil fuels to support the green transition and boost energy security. Electricity demand is projected to increase due to data centres and the electrification of heating and transport, which requires improved flexibility and demand management. Given the high share of transport, buildings and agriculture in Irish greenhouse emissions, reducing emissions in these sectors should be prioritised. Carbon taxation should also be made more uniform across sectors. It will also be important to build on the new national adaptation framework to increase resilience to extreme events by standardising monitoring and risk assessment.

Accelerating the implementation of climate action plans

Ireland has adopted a strong legislative climate action framework linked to ambitious national targets of cutting greenhouse gas (GHG) emissions by 51% from 2018 levels by 2030 (against an EU target of reducing emissions by at least 42% by 2030 versus 2005 levels) and achieving climate neutrality by 2050 (Figure 3.1, Panel A). These targets are aligned with Ireland's obligations under the Paris agreement via the Nationally Determined Contribution tabled by the EU on behalf of its Member States. However, emissions per capita remain among the OECD's highest (Panel B), and robust economic and population growth over the past decade has slowed the trend of emission reductions. In 2023, GHG emissions, excluding land-use change, and forestry (LULUCF) declined by 6.8% from a year earlier, which is welcome. The newly-established Infrastructure, Climate and Nature Fund (Chapter 1) can help facilitate the investment needed to reach targets.

Figure 3.1. Meeting the ambitious targets will be challenging



Note: Panel A: 2030 national target is based on the Climate Act that aims to reduce emissions by 51% compared to 2018 levels, while the 2030 new EU target aims to reduce emissions by 42% versus 2005 levels.
Source: Environmental Protection Agency; IEA, Environment Statistics (Air and Climate) – GHG emissions database.

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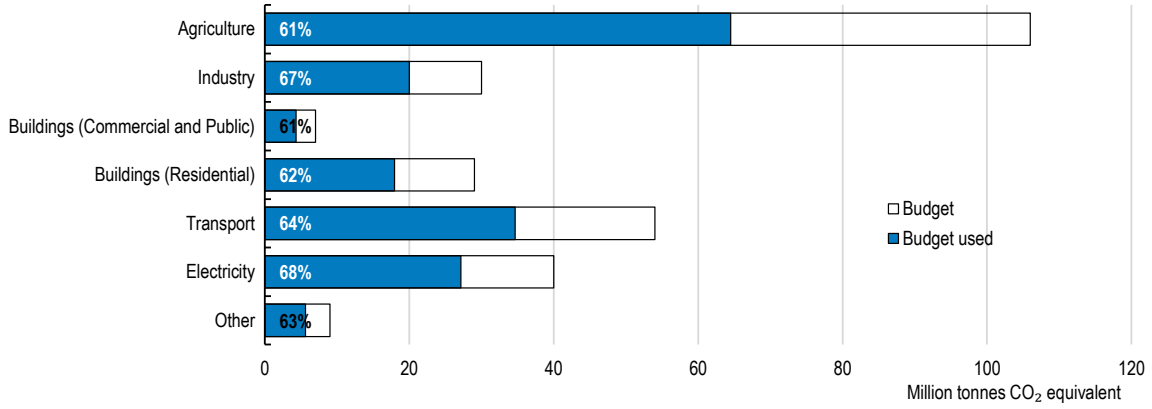
Ireland is not on track to meet its 2030 targets (with a 7.8% reduction in 2023 compared to 2018) and needs to make progress in putting emissions on a sustained downward trend (EPA, 2024a and b). In line

with the Climate Act 2021, carbon budgets of three five-year periods were set in 2022, with sectoral limits of emission reductions of 75% in the electricity sector, 50% for transport, 45% for buildings, 35% for industry and 25% for agriculture by 2030 (compared to 2018 levels). If current trends continue, the first carbon budgets will be exceeded in some sectors, with 64% of the allocation already used in the first three years (EPA, 2024b; Figure 3.2). The cost of purchasing compliance from other over-performing EU Member States in order to meet EU targets were estimated to be around EUR 8 billion for the effort-sharing regulation alone, with exact costs dependent on progress in reducing emissions across EU Member States and on future prices (CCAC, 2024a). There are also some concerns about the availability of credits required to demonstrate compliance given that other EU countries could be reluctant to trade as it is anticipated many will face difficulties in meeting their targets (CCAC, 2024a).

Figure 3.2. Sectoral carbon budgets are likely to be exceeded in some sectors

First sectoral ceilings 2021-25 and usage



Note: Budget used refers to 2021-23.
Source: EPA (2024b), *Ireland's Provisional Greenhouse Gas Emissions, 1990-2023*, Environmental Protection Agency.

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There is a need to shift from planning to implementation, with a focus on delivery of concrete actions. The Environmental Protection Agency's inventory and projections reports, which inform the monitoring of actions, do not incorporate some of the announced measures in their modelling due to lack of details on concrete implementation or a realistic chance of achievement within the stated timeframe (EPA, 2024c). An assessment of the draft National Climate and Energy Plan was also difficult due to the lack of concrete implementation pathways (EC, 2024). The preparation of extensive annual climate action plans to monitor progress and assess the actions and budget needed takes up significant resources (IEA, 2025), with the latest plan at 420 pages (Government of Ireland, 2024a). The short timeframes also prevent significant changes between plans to be informed by technical engagement and scientific, infrastructural and policy progress (EPA, 2024c). Reducing the frequency of such plans and focusing instead on delivering concrete actions could speed up progress towards targets.

Ensuring consistency across sectoral plans and further clarifying the framework for sectoral carbon budgets would also improve implementation. It is not transparent to most energy users or entities how their operations and associated emissions count towards the relevant sectoral emission ceilings and how overall management of the ceilings is being coordinated (CRU, 2023). For example, more clarity is needed on whether emissions assessment of a development is to be carried out at the planning stage and what assessment is required post-planning approval (e.g., how and by whom are emissions measured and monitored throughout the life of an asset/project). Hence, improved guidelines and guidance on the framework should be provided.

As highlighted in the *2022 OECD Economic Survey,* given the major investment needs (retrofitting, infrastructure for renewables), planning and permission delays (Chapter 4) and labour and skill shortages (Chapter 2) can be potential barriers to meeting climate goals. For example, estimates suggest that 50 000 additional workers will be needed in the construction sector from 2023 to 2030 to meet the housing and retrofitting targets, of which 45% are for retrofitting (DFHERIS, 2022). Meeting the offshore wind targets can require at least 19 500 full-time equivalent employees up to 2030 (Wind Energy Ireland, 2024). The recommendations of the Expert Group on Future Skills Needs on boosting green skills to promote renewable energy, residential retrofits and electric vehicles should be followed through (EGFSN, 2021).

Improving electricity demand management and accelerating renewables

Fossil fuels make up most of the energy mix, with natural gas, of which 70% was imported in 2022, accounting for around one third of total energy supply. Ireland also experienced significant tensions over electricity supply in 2022, and concentrated energy infrastructure links (gas and electricity) with the United Kingdom create risks. Ongoing plans to increase interconnectors, beyond the current two (with Northern Ireland and Wales), with four more planned, including that with France to be completed in 2027, are welcome. Ireland published its first energy security strategy in November 2023, which emphasises moving from an oil- and gas-based energy system to an electricity-led system, maximising the renewable energy potential, flexibility and being integrated into Europe's energy system (DECC, 2023). Plans to decrease gas dependency via biomethane and low-emission hydrogen are progressing, as Ireland has the potential to replace about 20% of its natural gas consumption with biomethane (EC, 2023), but the trajectory of growth in their production remains uncertain (IEA, 2025). Improved flexibility and demand management in the electricity sector and acceleration of renewables are key in the near term. All investment in energy generation should be subject to cost-benefit analysis to ensure value-for-money in meeting targets.

A significant challenge is balancing the increasing immediate demand for energy due to economic growth, including expanding digital infrastructure (DETE, 2022), and meeting climate targets. Indeed, electricity demand increased by 11% in Ireland, compared to a fall of 7% in the European Union, between 2018 and 2023 (EMBER, 2024). Service sector buildings account for around half of electricity demand (Figure 3.3, Panel A), with data centres consuming 21% of Ireland's electricity in 2023, a four-fold rise from 2015 (CSO, 2024; Box 3.1). Furthermore, energy demand is forecasted to grow significantly by 2032 (Panel B), driven by data centres and the electrification of heating and transport. Until sufficient renewable energy generation and appropriate infrastructure are in place, meeting climate targets will be challenging.

Box 3.1. Data centres are increasing electricity demand

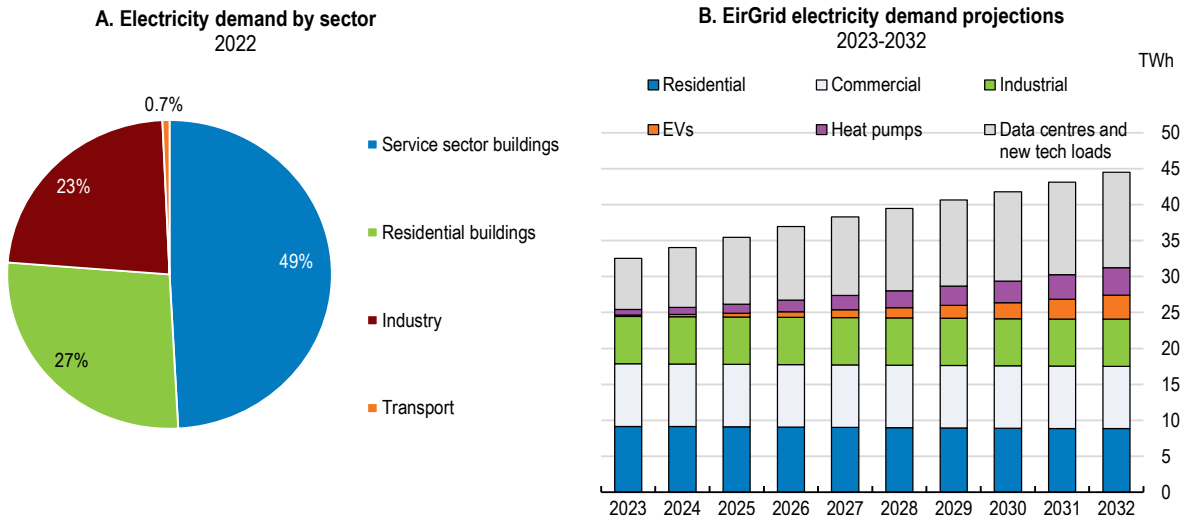
Ireland currently has 82 operational data centres, 14 under construction, 40 whose planning has been approved and 12 that applied for planning (Bitpower, 2023), with most of them clustered around the greater Dublin area. In late 2021, the Commission for Regulation Utilities issued directions to EirGrid and ESB (electricity and energy operators) networks to assess any new applications from data centres against several criteria: the location of the proposed data centre; the ability to install onsite dispatchable generation and/or storage capacity at least equivalent to the demand of the data centre; the ability of the data centre to provide demand flexibility, if needed, by using their dispatchable capacity; and by reducing consumption to support security of supply and avoid system alerts. Since then, EirGrid has imposed a de facto stop on connecting any new data centres to the grid in the Greater Dublin Area until 2028, which is not applicable to those that have already received their permits.

Source: IEA (2025), *Energy Policy Review*, forthcoming.

Improvements in demand management should be prioritised as Ireland's electricity system currently has limited demand flexibility (CRU, 2023). A quick completion and accelerated implementation of the Electricity Demand Side Strategy, which was delayed from 2022, are key. This should take into

consideration the ongoing consultation process on the connection policy for large energy users to the electricity and the gas grid (CRU, 2024). One option under consideration is the requirement that data centre applicants can provide onsite generation and/or storage equal to or greater than their demand. This can create the risk that high on-site emission generation is utilised to meet the envisaged target of 15-20% demand flexibility by 2025. It will be important to ensure that this flexibility is achieved primarily by shifting demand to times when carbon emissions are low, for example via price incentives (CCAC, 2024b).

Figure 3.3. Electricity demand is projected to increase



Note: In Panel B, electricity demand projections assume that Climate Action plans are 100% met relative to electric vehicles (845 thousand passenger and 95 thousand commercial EVs by 2030) and heat pumps (650 thousand residential and 50 thousand commercial heat pumps by 2030). Data centre and new technology load energy demand is assumed to reach 1 543 MVA by 2032 from 734 MVA in 2022. Real GNI and personal consumption are assumed to grow by 3.0% and 2.5% per annum in 2024-32. Residential refers to electricity consumption for cooking, water heating and electricity use for home appliances.
Sources: IEA (2023), World Energy Balances; and EirGrid (2024), *Generation Capacity Statement Data.*

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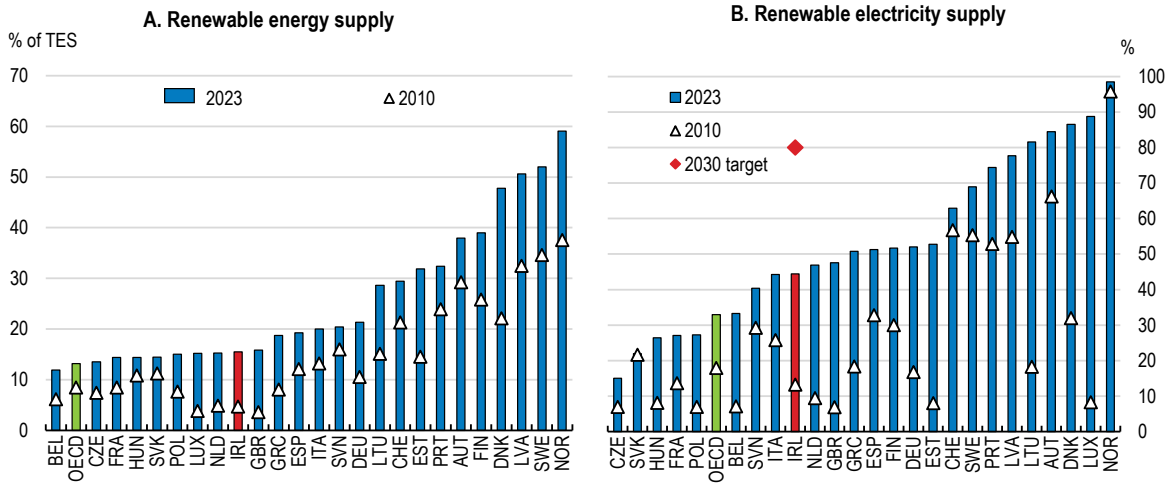
Official and mandatory information on data centres' exact electricity consumption and the extent of their onsite generation can improve the accuracy of energy use data and planning for future grid enforcements. All new data centre applications should be required to provide electricity data and data related to onsite generation (SEAI, 2024). The Climate Action Plan 2024 aims to implement an enhanced emissions reporting framework for electricity emissions for large energy users. The government should swiftly identify which institution should be tasked with creating and maintaining a register as part of an enhanced emissions reporting framework while ensuring the confidentiality of sensitive commercial information (IEA, 2025). Defining a trajectory for the connection of large energy users would allow the necessary grid infrastructure, generation and flexibility resources to be put in place.

Ireland also aims to improve demand management via the use of smart meters, of which 1.9 million have already been installed. However, the uptake of time-of-use or smart tariffs incentivising customers to adjust their electricity use voluntarily has been low at 330 000 households in March 2024. There is a need for a clear legislative basis to support access to smart metering data (CCAC, 2024b). The preparation of the Smart Metering Data Access Code, which would allow making consumption data available to third parties, should be prioritised. Creating the legal basis for third-party and customer access to smart meter data in real time would enable price signals to incentivise demand-side responses. The potential benefits could be further increased by requiring the installation of smart communication-enabled equipment when providing funding for heat pumps and electric vehicle charging equipment.

The share of renewables in energy supply is lower than the EU average and renewable electricity generation was around 44% in 2023, above the OECD average, but well below the 2030 target of 80%

(Figure 3.4). Accelerated deployment of renewables, such as onshore and offshore wind, requires faster permitting and grid connection processes, upgrades in transmission, distribution and storage infrastructure, as recommended in the *2022 OECD Economic Survey* (OECD, 2022a), and a more efficient appeals and judicial review process. The planning of grid extensions should strike a balance between the available renewable energy potential and the projected grid costs. Efforts to strengthen public acceptance of the infrastructure needed for the energy transition by engaging actively with citizens, explaining the benefits of and the need for the infrastructure should also be continued. The Planning and Development Act 2024 (Chapter 4) and the forthcoming transposing of the EU Renewable Energy Directive, which introduces renewables acceleration areas with shorter and simpler permitting, are expected to improve the process.

Figure 3.4. Achieving 80% renewable electricity by 2030 requires substantial reforms



Note: Provisional 2023 estimates in both panels.
Source: IEA (2024), World Energy Balances.

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The National Planning Framework (NPF) provides the general policy framework for the alignment of local and county development plans and local authority climate action plans to mandated national targets. However, some local authority climate actions have limited or no spatial mapping or specific targets for renewable electricity (CCAC, 2024b). Ensuring that trickling down of the revised NPF to lower levels of government is speedy, with the provision of sufficient zone areas at the county level, will be key.

Ireland's offshore wind industry is set to undergo a major transformation, with ambitious targets to install 5 GW of offshore wind energy capacity by 2030, up from less than 0.1 GW in 2023. Progress has been made with the award of the first Maritime Area Consents under the new Maritime Area Planning Act at the end of 2022, the first offshore renewable electricity auction in April 2023 and publication of the Offshore Wind Industrial Strategy in March 2024 (DETE, 2024).

Investment in supporting infrastructure for the development of offshore wind should be accelerated to reach targets. However, the existing port infrastructure does not have the facilities and capabilities to support such development, with Belfast the only port fully equipped to serve as a construction base for offshore wind farms (Wind Energy, 2022). Funding and skill gaps and planning delays can also be important barriers (IEA, 2025). Hence, the establishment of a panel of marine and offshore renewable energy consultants at *An Bord Pleanála* (the national planning body) is welcome (CCAC, 2024b). Prioritising planning applications related to renewable energy, including port infrastructure, could also help. The National Ports Policy, expected in 2025, should assess the opportunities to attract the necessary finance to the sector, increase marine planning capability and capacity, and introduce measures to upskill and diversify the maritime labour force to support the development of offshore wind projects (IEA, 2025).

Lowering emissions in selected sectors

Land-use and agriculture

Agriculture accounts for more than a third of GHG emissions, second only to New Zealand among OECD countries. Emissions are dominated by methane and nitrous oxide from livestock farming and the use of nitrogen fertilisers. Agricultural emissions are projected to decrease by only 1% and 18% from 2022 to 2030, under existing and additional measures scenarios, respectively (EPA, 2024a). The mitigation measures outlined in the agricultural "Marginal Abatement Cost Curve" (Teasgasc, 2023) can help lower emissions. These include the management of and reductions in the use of nitrogen fertilisers, a reduction in the average finishing age of cattle, the use of feed additives to reduce enteric methane in half of dairy cows and the uptake of diversification options to displace 140 000 livestock units. This will require providing appropriate incentives and support, including advisory services, training and resources (CCAC, 2023a).

The current policy mix focused on increasing production efficiency could be complemented with pricing instruments (see below), as recommended in the *2022 OECD Economic Survey,* but may face measurement and political economy challenges. For example, New Zealand's plans to tax agricultural emissions have been delayed until the right technology (better on-farm measurement and techniques to reduce emissions) becomes available (OECD, 2024a). Hence, improving on-farm measurement of emissions and continuing R&D to develop emission reduction technologies and inventory adjustments are key to prepare the groundwork for pricing of agricultural emissions. Transitory compensation measures could help maintain farmers' income security and improve acceptance (NESC, 2023). Another example is Denmark, where a carbon tax will be introduced on emissions from livestock (Carbon Brief, 2024).

Net emissions for the land use, land-use change, and forestry (LULUCF) sector increased significantly in 2023 and are projected to rise by 23% between 2022 and 2030, even with additional measures (EPA, 2024a), making it challenging to achieve the EU emissions reduction target for the sector. The abatement plans in the National Climate and Energy Plan (DEEC, 2024) need to be fully implemented. As a priority, the ongoing Land Use Review to ensure optimal land-use options, including a clear and detailed implementation plan, should be completed (CCAC, 2024c).

The rate of afforestation, which has been the major policy measure to increase the sink capacity in the LULUCF sector in the past, remains well below the annual 8 000 hectares target, with 1 651 hectares planted in 2023, despite improvements in administrative processes and incentives. Estimates suggest that 18 000 hectares per annum are needed to meet the 2050 targets (O'Donoghue, 2022). The uptake of afforestation schemes has declined since 2013 and the gap between approvals and implementation remains high (DAFM, 2024a). The new Forestry Programme 2023–27 (EUR 1.3 billion), launched in April 2024, aims to increase Ireland's forest cover from 11.6% in 2022 to 18% (DAFM, 2024b). The government should swiftly put in place the necessary resources to streamline and accelerate processes to implement the new programme (CCAC, 2023a). Efforts to overcome the cultural preferences for land use by farmers and local communities should also be continued (Henderson, Frezal and Flynn, 2020).

Incentives for afforestation could also be improved via pricing mechanisms. Under New Zealand's emissions trading scheme (ETS), farmers and firms can earn credits for carbon removals generated by forests they own and firms can buy credits generated by forest removals. Using forests to offset methane emissions could be considered in Ireland as biogenic methane has a far more powerful heating effect but also is a shorter-lived gas than CO_2 and therefore better matched to the lifetime of many tree species. A well-designed and correctly priced system can create the right incentives. For example, the New Zealand system faces some challenges as forest generated credits can also be used to offset other types of emissions by firms and there are no limits on the quantity of afforestation units that may enter the ETS market (OECD, 2024a). Hence, it is welcome that Ireland is developing a domestic framework, following the 2024 EU provisional agreement on the Carbon Removals and Carbon Farming Regulation, which

created the first EU-wide voluntary framework for certifying carbon removals, carbon farming and carbon storage in products.

Transport

Transport emissions need to decrease significantly to achieve the 2030 target of roughly halving emissions relative to 2018, which is projected to be missed even under the additional measures scenario (EPA, 2024a). Ireland has plans to decarbonise the transport sector by adopting an "avoid-shift-improve" approach to reduce the need for travel, shift to more efficient transport modes (public transport, walking and cycling), and improve the energy efficiency of vehicles. While the increases in public transport journeys and the licensing of new electric cars from 16 000 in 2022 to 23 000 in 2023 are steps in the right direction, challenges remain, partly due to dispersed and low population density and travel preferences. In 2023, there were around 93 000 electric vehicle (EVs), but reaching the target of 845 000 EVs by 2030 will require a faster transition. Furthermore, the targets for EV deployment and modal shift might need to be revised up given strong population and economic growth. Hence, intermediate milestones on implementation should be set to allow the adoption of corrective measures, if needed (IEA, 2025).

Ireland has committed significant funding to support low-emission vehicles through the National Development Plan (almost EUR 500 million for the period 2021-25) and the Climate Action Fund. EVs benefit from a lower rate of the annual motor tax and vehicle registration tax. In 2023, EUR 110 million was allocated to grants for EV purchases and support for charging infrastructure. The subsidies for EVs have become more progressive with the introduction of caps and restrictions on lower-cost vehicles (OECD, 2022a). The number of charging stations is relatively low at around 3 000, with low recharging power per vehicle (EAFO, 2024). The planned schemes to support the roll-out of publicly accessible EV charging infrastructure should be accelerated to ensure that the charging infrastructure keeps up with the expected growth in EVs (IEA, 2025). It will also be important to encourage and enhance private sector participation to ensure the development of a competitive market for en-route EV charging (NCPC, 2024).

In March 2024, the government launched a new demand management strategy to improve the efficiency of the transport system (Department of Transport, 2024a and b), reflecting the conclusions of a 2022 OECD review that highlighted the need for a transformation of the sector (OECD, 2022b). This will complement existing measures, such as support for transition to EVs and investment in public transport. The draft plan focuses on creating a 'polluter pays' taxation principle, giving local authorities the ability to tailor plans to their specific needs, and improving the efficiency of the freight and haulage sector. Speedy implementation will be crucial to realign transport policies to reduce private car ownership and facilitate the use of low-or no-carbon travel alternatives, as recommended in the *2022 OECD Economic Survey.*

To reach climate and housing targets, enhancing the coordination of housing, urban and transport policies is key. The planned improvements to the public transport system should be delivered in full and on time to support a behavioural shift away from cars to reach the target of reducing the share of daily journeys made by private cars from over 70% in 2022 to 50% in 2030. To prevent urban sprawl, the draft revised NPF has a compact growth target of 30-50% of new homes within the 'existing built-up footprints'. There are some proposals that targets should be increased for environmental reasons (Expert Group on NPF, 2023; CCAC, 2023a), but this would need to be complemented with a regulatory environment, including an efficient planning system, to support so-called "brownfield" housing development (Chapter 4).

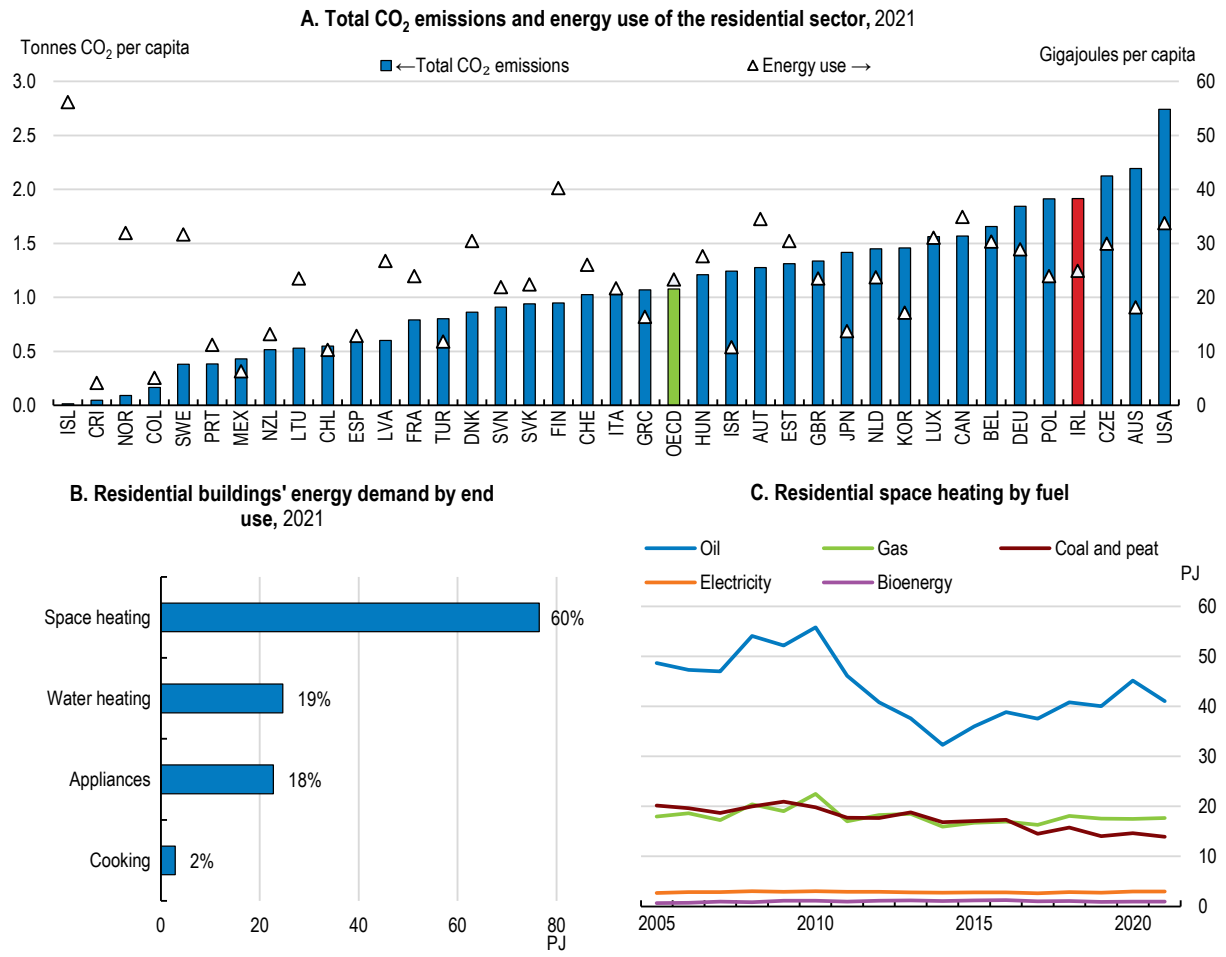
While improving public transport should be the main priority, one policy option to reduce car travel could be the introduction of congestion or distance-based charges (OECD, 2023a and 2021; CCAC, 2023a). Congestion charging is an efficient demand-side instrument to curb peak-time congestion and can reduce environmental externalities from private passenger transport (ITF, 2018). Besides its environmental impact, it can also support fiscal sustainability (Commission on Taxation and Welfare, 2023), as additional tax revenues will be needed, with a full EV fleet and the loss of fuel taxes potentially reducing revenues by 8% (Parliamentary Budget Office, 2021). To increase public acceptability, the distributional impact will have

to be considered carefully, especially given the large urban sprawl and lack of adequate public transport in some areas (OECD, 2023a; Lindsey et al., 2023).

Buildings

Emissions in the building sector decreased by 7.1% in 2023, due to high heating costs, a mild winter and some energy efficiency improvements, but a significant roll-out of decarbonised heating systems will be needed to sustain these reductions (CCAC, 2024d). Emissions from the residential sector (around 60% of total emissions from buildings), driven mainly by a high reliance on fossil fuels, in particular the use of oil in space heating, are elevated (Figure 3.5). Ireland has targets of retrofitting 500 000 homes to a building energy rating (BER) of B2 by 2030, installing 400 000 heat pumps in existing homes to replace less efficient heating systems by end-2030, and attaining Near Zero-Energy Building standards by 2025 and Zero-Emission Building standards by 2030 for new buildings.

Figure 3.5. Energy efficiency in the residential sector needs to improve



Source: IEA, Greenhouse Gas Emissions from Energy database; IEA, Extended World Energy Balances database 2023; IEA, Energy End-Uses and Efficiency Indicators.

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Ireland's retrofit policy includes support to ease the financial burden of retrofitting, including a new lower VAT on heat pumps, improved data collection through smart meter rollout and prioritised grant support for the least energy-efficient dwellings. Retrofit uptake has been increasing steadily, with the installation of 10 596 heat pumps and upgrading of 132 721 homes (of which 36 126 reached BER B2) between 2019

and 2023. However, the number of B2-equivalent upgrades would need to increase to 75 000 per year from 17 601 in 2023 to meet 2030 targets. Achieving these ambitious targets will face challenges from both demand and supply perspectives, in terms of capacity in the construction sector and households' willingness. The introduction in 2022 of a one-stop shop scheme offering a start-to-finish project management service, including access to financing, is welcome. Ensuring that this scheme keeps up with demand by expanding the pool of registered service providers will be essential to achieve retrofitting targets (CCAC, 2024d). Waiting times for free upgrades for vulnerable households have declined from 27 months in 2022 to 20 months in 2023, while project completion times range from five to eight months for the other schemes.

Ireland has a number of grants targeted to the most vulnerable households (around 60% of the total retrofitting budget) and approved housing bodies, and recently launched the Home Energy Upgrade Loan Scheme. Some schemes (e.g. the Warmer Homes Scheme and the Local Authority Energy Efficiency Upgrade Programme) target poorly-performing homes. However, some cohorts who live in less efficient dwellings (elderly, people with a disability) may not meet the criteria for fully-funded upgrades and further financial mechanisms are needed for those just above the threshold for energy poverty who cannot afford a deep retrofit (CCAC, 2024d). Energy performance certification applies to new buildings and those for rental or sale and is being extended to buildings undertaking renovations as part of the EU Energy Performance of Buildings Directive. In 2023, 57% of domestic buildings had a BER certificate. Certifications should be made mandatory for all buildings, which can help target worst-performing buildings. The renovation of old houses with the lowest energy performance, which tend be heated by oil or solid fuels, such as peat, wood or coal, should also be prioritised.

District heating can help decarbonise the building sector (Hoeller et al., 2023; Box 3.2). In 2021, district heating accounted for less than 1% of Ireland's heating needs, while it has the potential to supply as much as half of heating demand in buildings (SEAI, 2022a). In Dublin, 87% of heat (538 983 homes and 41 394 businesses) could be supplied through district heating by 2050 (Codema, 2021). Building on the mapping of Ireland's heat and demand potential for district heating (SEAI, 2022b), feasibility assessments of the most suitable places to establish cost-effective district heating networks should be conducted. As implementing a district heating network requires substantial infrastructure development and financial investment, it will be important to set up the legislation and governance framework swiftly. This should include a regulatory framework to utilise the potential for cost-efficient heating from low-carbon energy sources (IEA, 2025). In addition, how capital expenditure for the network infrastructure can be mobilised and district heating network deployment might interact with other major infrastructure projects should be clarified (CCAC, 2023a).

An important element will be the mapping of potential heat sources, especially waste and renewable energy, to be compliant with European Commission directives on "efficient" district heating. Data centres can be designed to capture waste heat for distribution and reuse (Pärssinen et al., 2019), as is the case in Denmark and Finland. Waste heat from a data centre has been used successfully at the Tallaght district heating scheme in Ireland, but most of the potential from its large data centres remains untapped and should be used to increase the use of cost-efficient waste heat in district heating networks. Large energy users, including data centres, could be obliged to supply their excess heat to local communities to support district heating schemes, while the heat demand mapping can be used to guide the planning of the location of large electricity consumers.

Box 3.2. Decarbonising the building sector through district heating

District heating systems – i.e., systems that generate heat in a centralised location and then distribute it to residential buildings, businesses and industry in a local area – are powerful tools for decarbonising buildings. Modern district heating networks with low operating temperatures can effectively integrate up to 100% of renewable sources to supply energy efficient buildings. Additionally, compared to individual

heating systems, district heating systems benefit from economies of scale, which result in lower production costs. This implies that when transitioning to renewable energy sources, upfront investment costs and CO_2 abatement costs are reduced.

Central Stockholm has one of Europe's largest district heating and cooling systems, with a distribution system of 3 000 km. Close to 90% of the city's buildings are connected to the district heating network, which uses several innovative energy sources, such as excess heat and wastewater. The district heating technology, which has been in operation since the late 1870s, has evolved over time, giving rise to improved energy efficiency, lower operating temperatures, better storage and facilitated integration of renewable energy sources, such as geothermal heat or biomass.

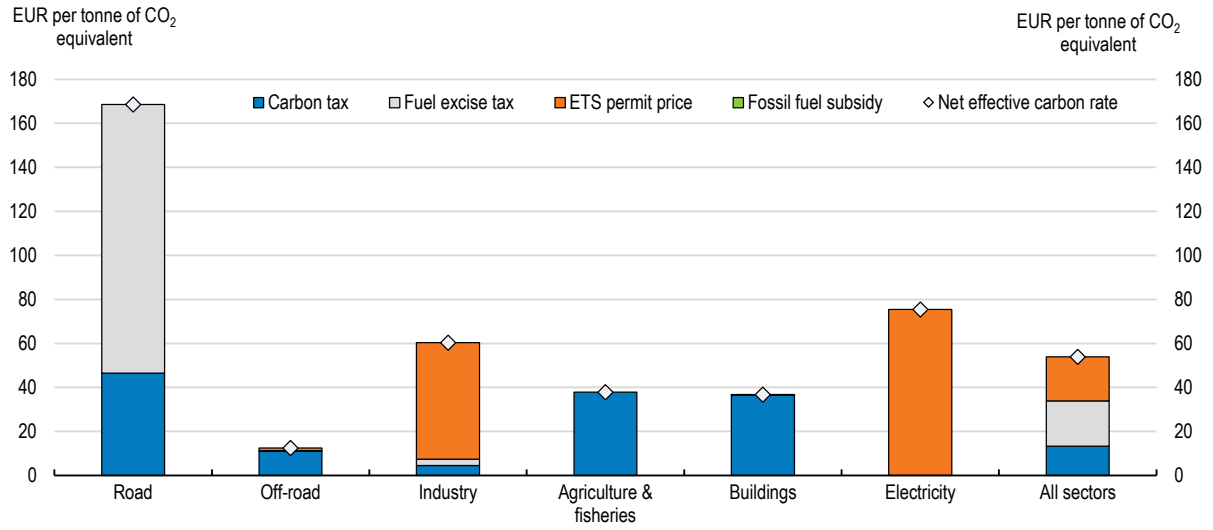
Source: Hoeller et al. (2023).

Pricing emissions more uniformly

There is room to make carbon taxation more uniform across sectors and strengthen the polluter-pays principle. Environmental taxes at 0.9% of GDP (1.6% of GNI*) in 2022 were lower than the EU average of 2% of GDP. The carbon tax, currently at EUR 63.5 per tonne of CO_2 emissions and set to gradually reach EUR 100 by 2030, will support price signals, despite the temporary decreases in fuel excise taxes to help households and businesses to cope with the energy shock (OECD, 2023b). The revenues (EUR 3 billion between 2019 and 2023 and projected at EUR 8.8 billion over 2024-30) are being used for retrofitting, targeted social welfare payments to address fuel poverty, just transition and sustainable agricultural practices (Government of Ireland, 2024b). In 2022, energy (including transport fuels), transport and pollution and resource taxes accounted for 61%, 39% and 0.4% of total environment taxes, respectively (CSO, 2023). Across sectors, total environment taxes were split among households (56%), services (31%), industry (11%) and agriculture (1.3%). Carbon pricing is highly uneven across sectors, reducing incentives to reduce emissions (Figure 3.6). Carbon prices and tax polluting activities should be further aligned in line with their environmental impacts, accompanied by compensatory measures for vulnerable households.

Figure 3.6. Carbon pricing differs considerably across sectors

Sectoral distribution of net effective carbon rates, 2023



Note: See Garsous et al. (2023), "Net effective carbon rates", *OECD Taxation Working Papers*, No. 61 for the methodology.
Source: OECD (2024), *Pricing Greenhouse Gas Emissions 2024: Gearing Up to Bring Emissions Down*.

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Fossil fuel subsidies accounted for EUR 3.5 billion in 2022, of which diesel for transport use accounted for the largest share (OECD, 2023c). For example, the lower excise tax rate on diesel compared to petrol, with a gap of 9.6 cents per litre and estimated foregone revenues of around EUR 400 million per year (Department of Finance, 2024), undermines the environmental impact of the carbon tax (IEA, 2025; Commission on Taxation and Welfare, 2023). Removing seven major fossil fuel subsidies could reduce emissions by 20% by 2030, with a modest impact on GDP and households (Bruin and Yakut, 2023). Hence, the 2023 review of climate harmful supports, including fossil fuel subsidies (Kevany and Foley, 2023) and the commitment to developing a roadmap for transition away from fossil fuel tax subsidies in the transport sector are welcome. The phase-out of fossil fuel subsidies should be implemented swiftly, given that transport is the second-largest source of emissions.

Table 3.1. Past OECD recommendations on environmental policy and actions taken

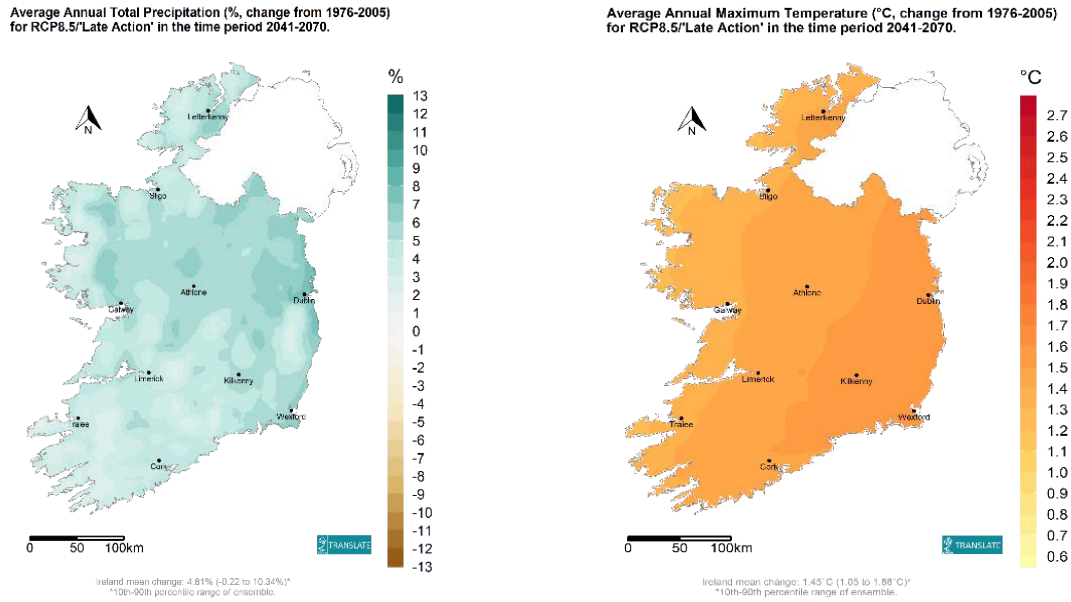
Recommendations in past surveys	Actions taken since 2022
As a matter of urgency, expedite the planning process to reduce uncertainty concerning major investments in wind turbine capacity.	The Planning and Development Act to streamline the planning process was enacted in October 2024. A review of the wind energy development guidelines is underway. The revision of the National Planning Framework will seek to support climate policies.
Realign transport policies to reduce private car ownership and facilitate the provision and use of low- or no-carbon travel alternatives.	The transport policies in the Climate Action Plan 2024 are based on an avoid-shift-improve framework, taking into account OECD's review of transportation policies. In March 2024, a demand management strategy setting out a roadmap to complement the existing supply side measures was launched. A National Policy Statement on Shared Mobility, building on the current Sustainable Mobility Policy, is under preparation. In August 2023, a new campaign to improve public engagement was launched.
Ensure that farmers face stronger economic incentives to reduce emissions in line with the rest of the economy, such as by pricing methane emissions.	The main fuel used in agriculture (marked gas oil) is subject to a carbon tax rate of EUR 151.81 per 1 000 litres, following increases in Budgets 2023 and 2024.

Adapting to climate change

Recent extreme weather events in Ireland (2023 being the warmest year and July 2023 being the wettest July on record) and projected increases in such events (Figure 3.7) highlight the importance of adaptation policies. The main risks in Ireland are increased sea levels, frequency of storms and intense precipitation events, with associated flooding and damage to agriculture, the built environment and infrastructure (EPA, 2024d). More than half of the population lives near rivers and coasts, where risks are the highest. Ireland had EUR 3.5 billion in losses and 68 fatalities due to extreme weather and climate-related events between 1980 and 2022 (EEA, 2023). Additional fiscal costs due to more frequent and adverse extreme weather events (flooding and wildfires) could be around EUR 0.5 billion (0.2% of GNI*) (Casey and Carroll, 2023). The government has allocated EUR 1.3 billion over 2021 to 2030 under the National Development Plan to flood risk management measures to lower the risk of damages (OPW, 2024).

Ireland's adaptation policies have been progressing with the publication of the second national adaptation framework (NAF) and local authority climate action plans in 2024. The new NAF has increased its focus on mainstreaming adaptation policies across existing and new plans and cooperation across sectors (Government of Ireland, 2024c). As implementation of adaptation policies has been slow and fragmented in the past (EPA, 2024d; CCAC, 2023b), ensuring implementation will be key. The new framework should also be complemented with more comprehensive and consistent reporting on cost and investment needs for adaptation. For example, a national climate damage risk register could be established to monitor the financial and spatial impacts of extreme events in a uniform and standardised manner.

Figure 3.7. Climate change is expected to bring more extreme weather



Source: Climate Ireland.

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As Ireland's adaptation framework is less centralised than its EU peers', the 13 sectoral adaptation plans, to be finalised by September 2025, need to be ambitious and effective and include performance indicators to measure progress (CCAC, 2024e). Each government department is responsible for ensuring that project proposals align with environment goals, but lack of coherence and consistency across sectoral policies is a risk. Hence, the plans to facilitate inter-sectoral dialogue, including through the National Adaptation Steering Committee, are key. The new NAF has added two new sectors, tourism and building and planning, although a formal adaptation plan for the latter is delayed until a scoping exercise is conducted. Including business sectors, beyond the current agri-food and seafood and tourism sectors, such as financial and business services, should also be considered (Deignan et al., 2019; EPA, 2024e).

Effective reporting on implementation and evaluation are key to cost-efficient adaptation policies (OECD, 2024b). The Climate Change Advisory Council's scorecard for progress of sectoral adaptation plans has identified gaps in some sectors due to insufficient data and human and financial resources, and an overall lack of measurable targets, costed actions and key performance indicators (CCAC, 2024e). A methodology was recently developed to create indicators for the transport sector (only national roads and light rail so far), but implementation will not be immediate and will require further consultation and identification of the necessary resources (EPA, 2024f). An assessment of this pilot study has identified some lessons for other sectors, which will be obliged to develop indicators according to the new NAF. These include the need to start the process early, benefit from international best practice, identify future data needs and ensure proper resourcing (EPA, 2024f). Recent evaluation reports, including from Finland and the United Kingdom (Government of Finland, 2021; Committee on Climate Change, 2021) may help inform Irish adaptation policies by illustrating implementation and evaluation challenges.

Ireland's major cities are all on the coast and the share of the population living in coastal areas has increased to 62%. Likewise, much of Ireland's industry and general infrastructure, notably power stations, communications and transport hubs, are coastal. The sea level around Ireland has risen by approximately 2 to 3 mm a year since the early 1990s. Scenario analysis suggests that the cost of flood damage at Limerick City and Environs could go from EUR 83 million in 2019 to EUR 1 billion (OPW, 2019). Hence, a strong emphasis on the protection of the coastline is needed. Following the publication of a scoping report

(DHLGH, 2023) and the establishment of an Inter-Departmental Working Group, the development of Ireland's first National Coast Management Strategy should be prioritised (CCAC, 2024e).

While the adaptation plan of the transport sector will improve the climate resilience of new transport network investments, ensuring the resilience of the existing network is also crucial (Barrett and Curtis, 2024). Ireland currently lacks a common risk assessment approach to inform adaptation planning for transport infrastructure owners and operators, and local authorities to help determine adaptation planning and justify associated costs (OECD, 2021). This requires filling the information gaps about exposure and vulnerabilities of transport infrastructure to climate hazards and conducting a full priority impact assessment to identify critical national assets and costs of adaptation actions. Hence, the assessment of road drainage systems and the ongoing development of the National Climate Change Risk Assessment framework, which will feed into the forthcoming adaptation plan in the transport sector, set to be completed by September 2025, are welcome.

Information on climate threats can be provided to communities and policymakers through climate risk assessments and vulnerability maps (OECD, 2024b). By examining factors such as construction materials, age, maintenance practices and retrofitting measures, areas where buildings may be particularly susceptible to climate impacts can be identified to prioritise interventions (Scott and O'Neill, 2022). For example, information on flood risk can be provided by certifications akin to energy efficiency certificates as in Germany or requirements by sellers to disclose information on compensation paid in the past due to a natural disaster as in France (Oakley and Ahern, 2020). Ireland's National Meteorological Service is creating climate maps to guide the design and construction of future building projects (Met Éireann, 2023), which should be reflected in building regulations to enhance resilience. The planned scoping exercise should be conducted swiftly to pave the way for the preparation of the sectoral plan.

Natural catastrophe insurance is provided only by the private sector in Ireland. Such insurance is voluntary but mandatory for new mortgages as part of the real estate property insurance. Estimates suggest that Ireland has among the lowest insurance protection gaps in the European Union for floods, but the gap is higher for coastal floods (EIOPA, 2022; Radu, 2022). Nevertheless, there exist some small pockets of vulnerabilities for overall flood insurance, with around one out of 20 buildings likely to have difficulty accessing flood insurance today, and flood protection is relatively concentrated geographically (CBI, 2024). The majority (89%) of the cost of inland flooding arises for buildings with limited access to insurance, as insurance companies typically exclude flood cover for properties in high-risk flood zones. The government provides emergency support through the Humanitarian Assistance Scheme, an income-tested scheme, in case of severe weather events, such as significant flooding.

Greater collaboration between the government and insurance companies is needed to quantify climate-related risks and to collect and share information. While insurance companies see climate change as a major risk, further work is required in order to fully integrate climate risk into risk management frameworks, including stress testing or scenario analysis (CBI, 2021). Hence, the issuance of the guidelines for insurance companies by the Central Bank of Ireland is welcome (CBI, 2023). Data availability and limitations in risk models and a need for staff training are the biggest challenges and should be addressed (Climate Forum, 2024a and 2024b). Identifying segments that may have difficulty obtaining insurance protection, and are therefore financially vulnerable, as was done recently for flood insurance by the Central Bank of Ireland, would help inform adaptation priorities. A government consultation process found that making flood insurance mandatory could lead to insurers pricing prohibitively for high-risk properties, an increase in the pricing of low-to-medium risk properties and the risk that insurers decide to withdraw from the market (Oireachtas, 2024). Nevertheless, making insurance against disaster risks (especially flooding) mandatory could be considered, alongside establishing a national catastrophe insurance programme as in France and Switzerland. These programmes often benefit from government co-insurance, reinsurance or a guarantee (ECB and EIOPA, 2023). A state guarantee ensures that damages from extreme events can be covered. An advantage of the French system is that it provides complete coverage and affordable premiums while keeping a large role for private insurers, with benefits in terms of cost effectiveness.

Recommendations on reducing emissions and adapting to climate change

FINDINGS	RECOMMENDATIONS (key ones in bold)
Improving implementation towards ambitious targets	
Greenhouse gas emissions in 2023 were only 7.8% lower than 2018, as against the national target of a 51% reduction by 2030.	**Shift from planning to faster implementation in terms of climate plans, with a focus on delivery of concrete actions within stated timeframes.** Improve guidelines and guidance on the carbon budget framework.
Improving electricity demand management and accelerating renewables	
The electricity system has limited demand flexibility. The electricity emissions for large energy users, such as data centres, are projected to rise. The installation of smart meters is progressing, but the take-up of time-of-use or smart tariffs remains low.	Accelerate the completion and implementation of the Electricity Demand Side Strategy. Establish a register with an enhanced emissions reporting framework for large energy users. Create the legal basis for third-party and customer access to smart meter data in real time, while complying with data protection standards.
The development of renewable electricity projects depends on planning and implementation, including at local levels.	**Expedite permitting and grid connection processes and upgrades in transmission, distribution and storage infrastructure.** Ensure that local climate plans provide sufficient spatial mapping and specific targets for renewable electricity.
Meeting the ambitious targets for offshore wind will require investment in supporting infrastructure.	Prioritise planning applications related to offshore wind, including port infrastructure.
Lowering emissions in selected sectors	
The land-use sector is a net emitter of greenhouse gas emissions. Afforestation rates remain low.	Streamline and accelerate processes to implement the new Forestry Programme.
Decarbonisation of the transport sector, in particular by transitioning towards sustainable transport modes, remains key to an overall reduction in greenhouse gas emissions.	Improve the consistency of housing and transport policies to promote compact settlements with easy access to transport links. Implement the planned improvements to the public transport system in full and on time to support a behavioural shift away from cars.
Untargeted renovation grants could disproportionally benefit higher-income households. There is a need to prioritise the renovation of the worst-performing buildings.	Continue to target grants to low-income households living in the most inefficient buildings. Extend mandatory energy certificates to all buildings.
Heating in residential housing is responsible for a high share of emissions.	Create a district heating strategy, with a regulatory framework to utilise the potential for cost-efficient heating from low-carbon energy sources, including waste heat from data centres.
Pricing emissions more uniformly	
Carbon prices are highly uneven across sectors, reducing incentives to reduce emissions. Ireland has various forms of direct support to end-users' fossil fuel consumption.	**Further align carbon prices across sectors in line with their environmental impacts and phase out fossil fuel and other environmentally harmful subsidies.**
Adapting to climate change	
While the new National Adaptation Framework plans to increase consistency and monitoring of sectoral plans, a standardised approach to monitoring adaptation is lacking.	**Establish and use a set of national adaptation indicators and timelines to monitor implementation.**
There is a need to enhance resilience to adaptation risks in the transportation and building sectors.	Accelerate the development of a common risk assessment approach to inform adaptation planning for existing transport infrastructure. Use climate maps and data in future building regulations.
Expanding private insurance coverage for climate-related disasters could reduce burdens on the public budget.	Conduct regular evaluations of the private insurance coverage for climate-related disasters. Consider mandatory insurance for climate-related disasters while assuring affordability, for example through public re-insurance for catastrophic losses and support for vulnerable groups.

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4 Making housing more affordable and resilient for all

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Housing affordability and availability continue to fall short in Ireland, which affects both the well-being of certain segments of society and the economy's competitiveness. Recent policies have increased housing completions, but continued imbalances between housing supply and demand reflect structural impediments to a well-functioning housing market. Given the dynamism of the Irish economy and growing population, regular updates of housing needs are needed. Higher tax rates on residential dwellings and land can support tax neutrality, by reducing homeownership bias, while strengthening incentives to develop land and build. Improving the data framework and digitisation of the planning process, and recruiting a sufficient supply of skilled planners, including at the local level, should complement the new Planning and Development Act. Reforms to increase housing density, ensure land-use regulations meet housing needs, and lower costs and improve productivity in the construction sector are key to boosting housing supply. Reducing the complexity and restrictiveness of rent legislation and providing greater certainty for investors would help increase rental housing supply. Ensuring adequate supply and funding for the construction and operation of social housing is crucial to improve living conditions for the most vulnerable.

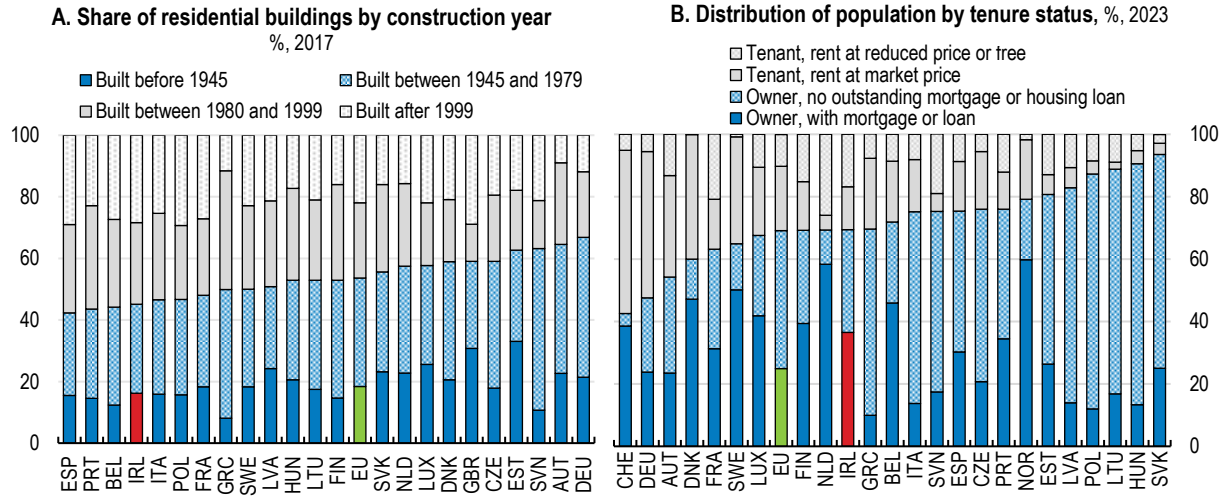
Introduction

In a context of strong demand, past under-investment, and constrained supply, mainly driven by high costs and low productivity in the construction sector, delays in the planning and permission processes and inefficient land-use, house prices in Ireland have increased significantly after the global financial crisis and affordability and availability challenges have emerged. Continued imbalances between housing supply and demand risk further exacerbating affordability, with societal and distributional implications for individuals. There are also aggregate consequences on the competitiveness of the Irish economy, as the lack of sufficient housing, at affordable prices and in locations close to economic activity, is affecting employers' ability to attract labour and their decision on where to grow and invest. Hence, the government has prioritised housing policies, notably within the 2021 Housing for All Plan.

Housing construction fell far behind population growth in the wake of the global financial crisis

Ireland's housing stock is relatively recent in international perspective, with only around one-third of existing dwellings built before 1970 (Figure 4.1, Panel A). Single houses made up 42% of all dwellings in 2022, while apartments and flats, typically preferred by younger and more professionally mobile individuals, accounted for 14% of all housing (CSO, 2023), the lowest share among EU countries and well below the OECD average of above 40% (OECD, 2022a). Hence, the housing stock is not perfectly suited to accommodate the flexibility needed to meet an increasing demand for housing, due to population growth and the rising number of single-person households, particularly in urban areas.

Figure 4.1. The housing stock is relatively recent and not excessively skewed towards home ownership



Source: European Commission, EU Building Stock Observatory database; and Eurostat, Housing Conditions database.

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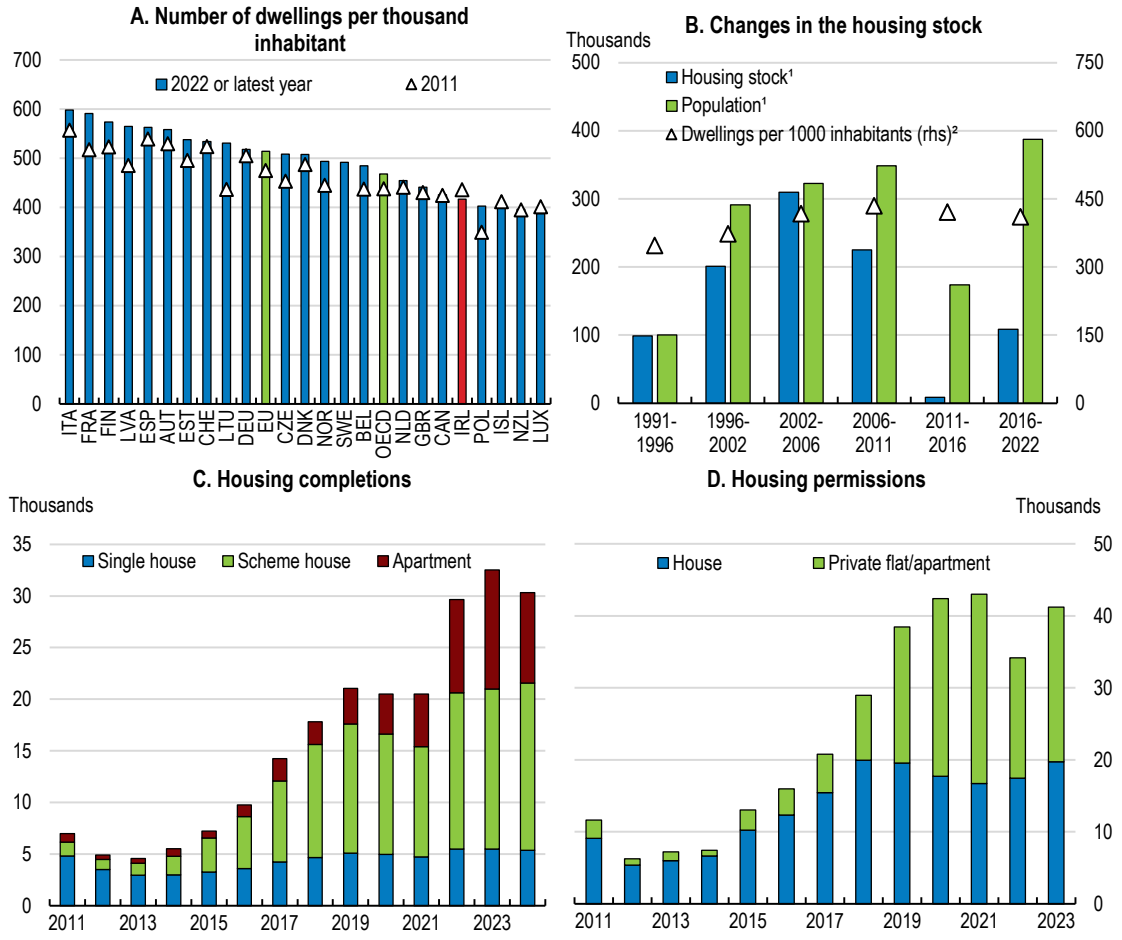
Home ownership rates have declined from the 2004 peak of 82% to 69% in 2023 (Figure 4.1, Panel B). They vary by region and household characteristics, with significantly lower rates in larger cities and among lower-income households (both below 50%), and a high share of outright owners older than 65 (84%), who largely fall in the lowest income quintiles (Disch and Slaymaker, 2023). Combined with high transaction costs, home ownership can limit residential and labour mobility (Causa and Pichelmann, 2020) by making moving more expensive than renting. It can therefore also affect transitions from unemployment to employment and exacerbate skills mismatches or regional disparities (Blanchflower et al., 2013). Even so, there are concerns that those who prefer to be homeowners are not able to do so in Ireland.

The market-price rental sector is relatively undersized. Well-functioning private rental sectors ensure greater variety in housing services. For instance, they are better placed to meet the demand for flexible accommodation coming from newly formed households, lone parents, 'digital' self-employed and students, or to provide adequate opportunities to households with incomes only slightly above social housing eligibility thresholds. Overall, Ireland's tenants account for about 30% of the population, which is around the EU average. Of these, 61% pay reduced rents to local authorities or approved housing bodies on properties the latter own outright or on which they lease, under certain conditions, from private landlords. Hence, only less than 12% of Ireland's population had secured housing based on market rents, which is the second lowest share in the European Union (excluding Eastern European countries).

After the global financial crisis, housing investment did not keep up with the pace of population growth. In contrast to trends in the average EU and OECD countries, the number of dwellings per 1 000 inhabitants decreased from 436 in 2011 to 416.5 in 2022, which is relatively low (Figure 4.2, Panel A). This reflects a long spell of underinvestment in housing, while population continued to grow (Panel B). While more than 550 000 people were added to the resident population between 2011 and 2022, the overall pool of residential dwellings expanded only by 117 000 units, as new housing permissions and completions slumped in the wake of the global financial crisis (Panels C-D). The rebound in housing supply from 2014, driven by the strong economic recovery, stalled with the pandemic, but the number of dwelling completions, especially flats and apartments, has been increasing again recently, supported by the Housing for All Plan.

Figure 4.2. Increases in the housing stock fell short of population growth in the last decades



1. Changes relative to previous census.
2. The measurement refers to the end of period (for example, 1996 for the 1991-96 period).
Source: OECD, Affordable Housing database; and Central Statistics Office.

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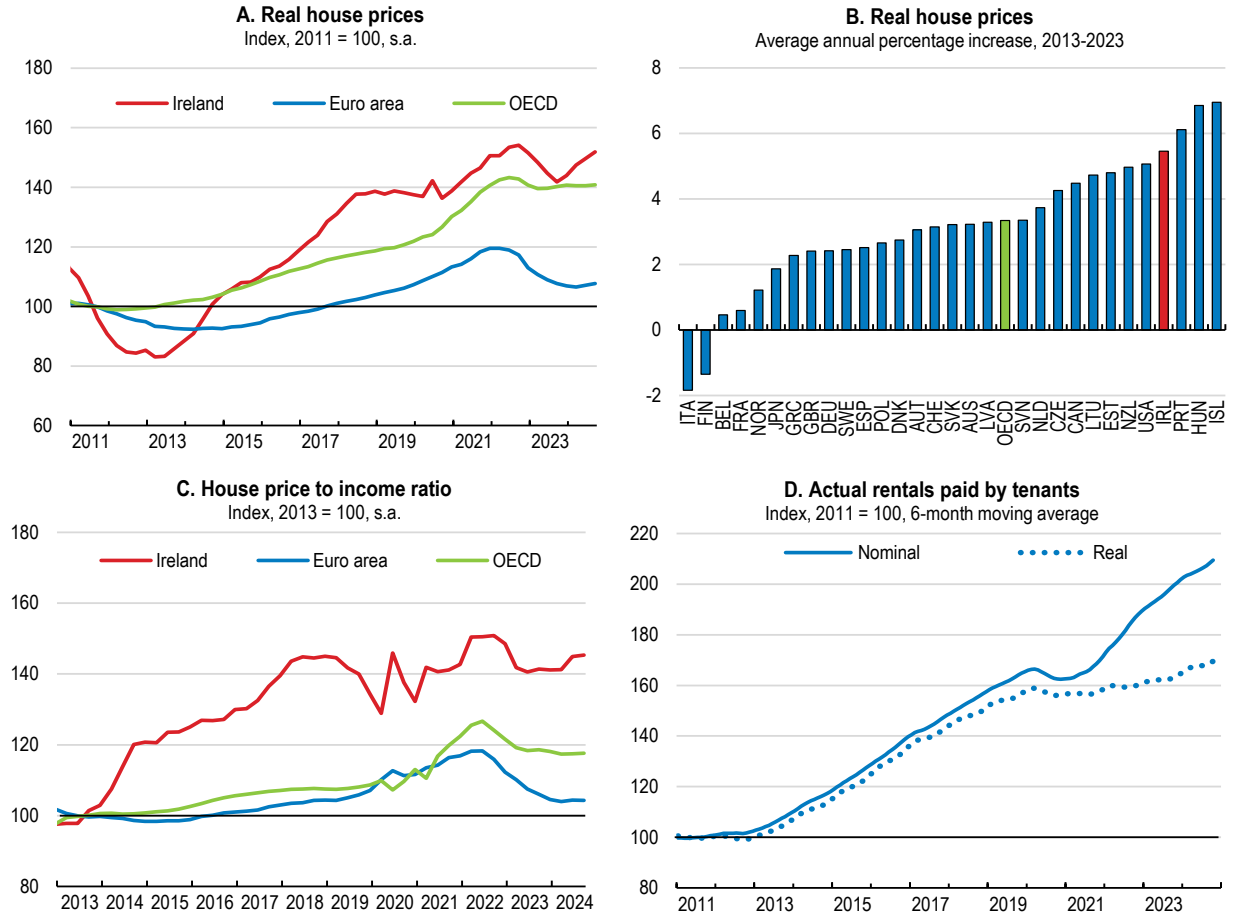
Large housing demand-supply imbalances triggered affordability challenges

The decoupling of housing stock dynamics from population growth led to marked pressures on house prices. Given the constrained supply, when household incomes started rising in 2013-14 with the strong economic recovery, the increased demand for housing – in a low interest rate environment – led to a marked upward correction in real house prices (Figure 4.3, Panel A). Real house prices grew at an average annual rate of 5.5% over the 2013-23 period, one of the fastest paces in the OECD, and above the rate of household disposable income growth (Panels B-C), triggering affordability concerns.

Significant price tensions also emerged in the private rental market, with real rents paid by tenants for their main residence increasing at an average annual rate of 4.6% over 2013-23 (Panel D). The rental market also faces challenges from low volumes of available properties according to non-official sources, but changes in official reporting requirements hinder comparisons across time (see below). The affordability of private rentals deteriorated, particularly for younger and lower-income households in the post-pandemic period, which reduced the scope for worker and student mobility (DHLGH, 2023a). In this context, public support for social housing, including housing assistance payments, has increased considerably, reducing the share of low-income households in the cohort of market-price private renters (Disch and Slaymaker, 2023).

Figure 4.3. Housing price pressures have risen



Note: Panel A: nominal house prices deflated by the private consumption deflator. Panel C: nominal house prices divided by nominal disposable income (household disposable income after taxes and transfers divided by population), per person. Panel D: rental payments for main residence, deflated by the overall HICP index; actual rentals do not include imputed rents.
Source: OECD, Analytical House Price Indicators; and Eurostat, Monthly Harmonised Index of Consumer Prices.

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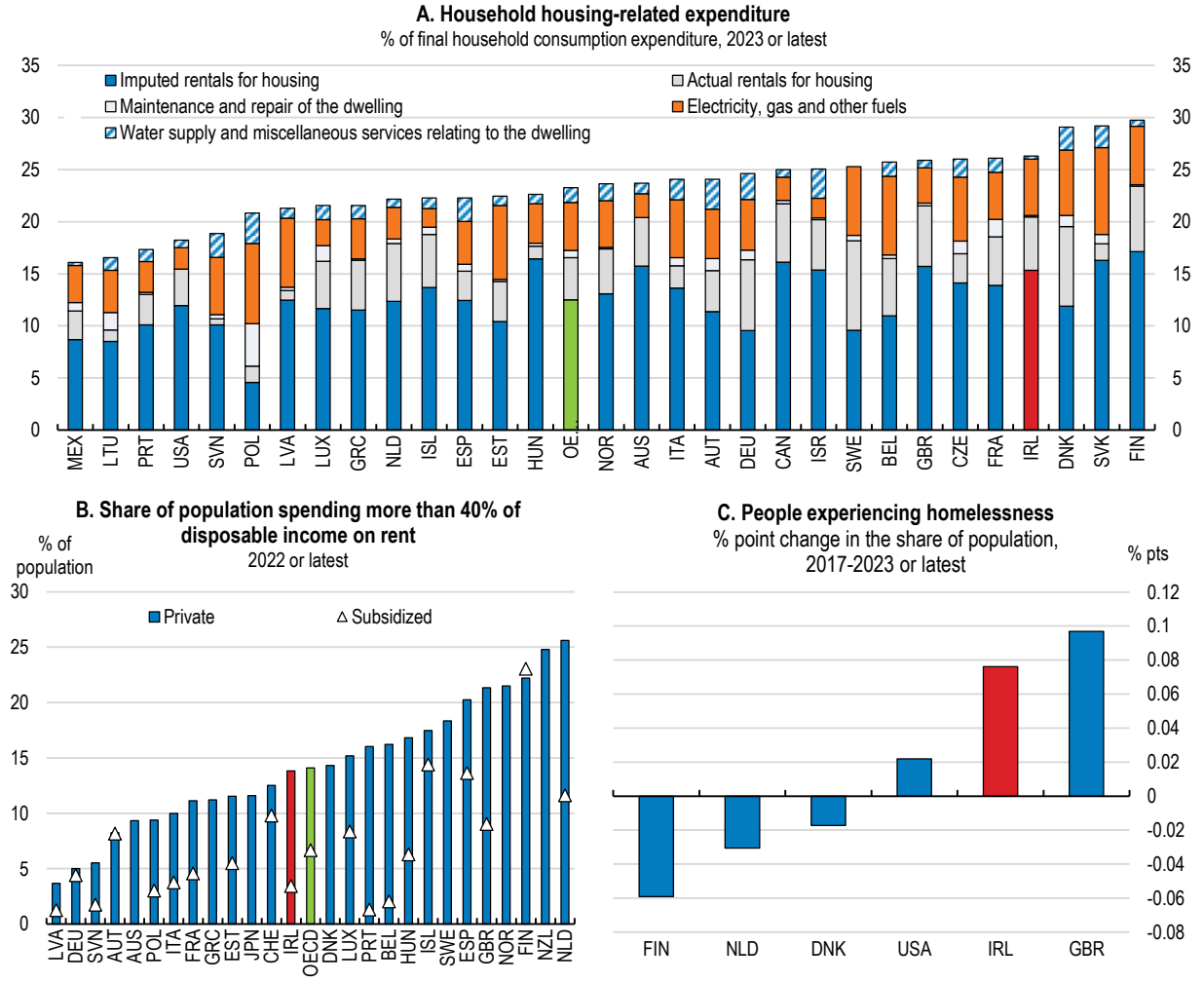
Rising house and rent prices have exacerbated long-standing affordability issues, which can lower well-being and competitiveness. Housing-related costs at 26% of household final consumption expenditure in 2023 exceed the OECD average (Figure 4.4, Panel A). The share of private renters spending more than 40% of their disposable income on total housing costs is around the OECD average, but generous public support limits the affordability challenges for those on subsidised rents (Panel B). High housing costs are also among the main determinants of housing exclusion across the OECD (Baptista and Marlier, 2019; Horowitz et al., 2023; OECD, 2021a). In addition, the extent of homelessness has been growing (mostly in the Dublin area; Panel C), with the estimated number of homeless people reaching a record-high of 0.25% of the population at end-2023 (DHLGH, 2023b).

Figure 4.4. Housing affordability is an important challenge



Note: For further methodological information on Panels B and C, refer to HC 1.2.3. and HC 3.1.4 in the Housing conditions indicators. In Panel B, private households include those receiving housing allowances for rents paid to private landlords.
Source: OECD National Accounts Statistics; and OECD Affordable Housing database.

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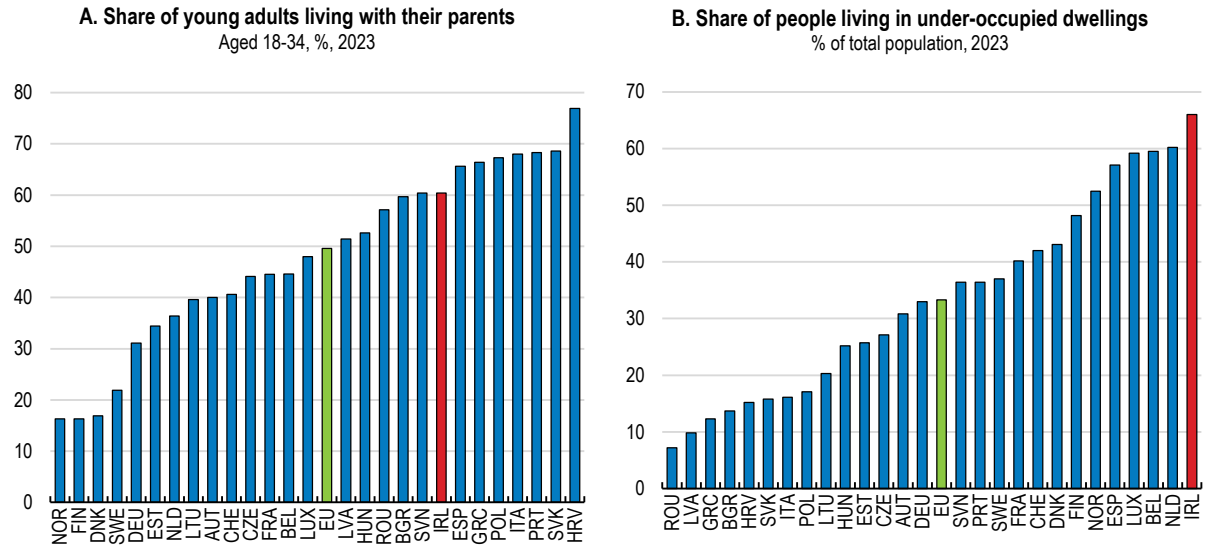
There is also some evidence of misaligned resource allocation in the housing sector. As they are more likely to be in temporary or low-paid permanent jobs, younger workers tend to find it harder to afford a mortgage or outright homeownership (Cournède and Plouin, 2022). Indeed, given the underdeveloped private rental market, Ireland has a relatively high share of young adults living with their parents (Figure 4.5, Panel A). At the same time, many people live in homes that may be too large for their needs, with the highest rate of housing under-occupation in Europe (Panel B), suggesting that the national housing stock

is not being used in an efficient manner (Housing Europe, 2023). Hence, the market-price rental sector's capacity to offer the flexibility required by an expanding and diversified demand for housing appears hampered, which can undermine the credibility of broader affordability and mobility policy goals as well as Ireland's ability to attract foreign capital and talent.

Figure 4.5. While many young adults live with their parents, most dwellings are larger than needed



Note: A dwelling is defined as under-occupied if the household living in it has at its disposal more than the minimum number of rooms considered adequate for its needs.
Source: Eurostat, EU-SILC database.

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The Housing for All Plan is progressing

The government launched the Housing for All Plan in September 2021 to address housing market challenges, with a target of adding around 300 000 homes by 2030 (170 000 homes for the private market, 90 000 social housing units, 18 000 cost rental properties -- a new form of affordable housing (Box 4.1), and 36 000 affordable purchase units). While private sources provided 82% of development finance to deliver around 30 000 houses in 2022 (Government of Ireland, 2024a), significant public funding has also been allocated (around EUR 4 billion a year until 2030), with an overall financing of EUR 12 billion in direct Exchequer funding, EUR 3.5 billion through the Land Development Agency and EUR 5 billion through the Housing Finance Agency. The Plan aims to increase the delivery of affordable homes to either purchase or rent at subsidised prices and social housing, simplify planning legislation, increase funding for land acquisitions and infrastructure spending by local authorities, introduce urban development zones and activate vacant land for residential purposes (Box 4.1). In addition, Ireland has ambitious targets to improve the energy efficiency of buildings (Chapter 3).

Box 4.1. Housing for All

The Housing for All Plan, launched in September 2021, had an initial target of adding 33 000 homes per year on average until 2030, updated to an average of 50 500 per year in November 2024. It has four pathways with many policies, some of which are summarised below and in Table 4.1 and throughout the chapter:

- **Supporting homeownership and increasing affordability:** this pathway will enable the implementation of the Affordable Housing Act 2021 to support people on low to moderate

incomes in purchasing their first home through a local authority-led affordable purchase scheme and a first-home affordable purchase shared-equity scheme. It also introduces a new form of rental tenure (cost rental), where rent is based on the cost of provision rather than profit maximisation, and a new guarantee to enable local authorities to restrict a minimum proportion of homes in a new development to owner-occupiers, increases the mandatory allocation of newly-built developments to social housing, and plans a reform of the private rental sector.

- **Eradicating homelessness, increasing social housing delivery and supporting social inclusion:** the policies include introducing targets for social housing by local authorities, increasing funding for approved housing bodies and use of public private partnerships to deliver social housing in cities, and strengthening the Mortgage to Rent Scheme to meet the needs of those in long-term mortgage arrears. The expansion of the Housing First Scheme aims to provide long-term, unconditional housing solutions to people experiencing homelessness with high service needs.
- **Increasing new housing supply:** the policies will concentrate on increasing land availability for housing (provision of state land to the Land Development Agency, a new system of land value sharing), boosting the efficiency of the planning and judicial review processes, improving productivity of the construction sector and addressing labour shortages.
- **Addressing vacancy and efficient use of existing support:** the main initiatives include the introduction of a vacant property tax and requirement for short-term and holiday-lets to register with Failte Ireland, and several schemes to bring vacant homes on the market for sale or rentals.

Table 4.1. Selected government housing initiatives

Supply support	
Project Tosaigh I and II	Strategic partnership of the Land Development Agency with landowners to intervene in slow or stalled developments.
Croi Cónaithe (Cities) Scheme	A fund to support the building of apartments for sale to owner-occupiers in areas where there is a viability gap.
Croi Cónaithe (Towns)	A fund for grants to refurbish vacant properties in towns and villages.
Development Levy Waiver Scheme	Temporary waiver of levies charged by local authorities on new housing developments until the end of 2024.
Cost Rental	Rents charged only cover the cost of developing, financing, managing and maintaining the homes such that households with a moderate income can rent at least 25% below market value.
Demand support	
Local Authority Affordable Purchase Scheme	Homes will be available to primarily first-time buyers at the average purchasing price of EUR 250 000, corresponding to a subsidy of around EUR 100 000, depending on location and need. The local authority retains a stake of up to 30% in the home.
First Home and Help-to-Buy Schemes	First Home Scheme is a partnership with the banking sector to support first-time buyers by taking an equity stake in the home. An area-based ceiling price for houses and apartments, based on open market prices, will be set and up to 20% equity support will be available to purchase these homes (30% if the Help-to-Buy scheme is not utilised simultaneously). The Help-to-Buy Scheme provides a tax refund of up to 10% of the purchase price under certain conditions.
Taxes and planning	
Vacant Homes Tax	Introduced in 2022, the tax applies to residential properties which have been in use as a dwelling for less than 30 days of a 12-month period.
Residential Zoned Land Tax	The annual tax to activate serviced and residentially zoned land for housing is set at 3% of the market value of the land.
Land Value Sharing	A new contribution of 25% on the difference between the existing use value and the market value on land zoned for residential development.
Planning	The introduction of new Urban Development Zones to provide a coordinated and plan-led approach to residential and urban large-scale development of strategic delivery sites, and reform of the planning system and judicial review process.

Source: Government of Ireland (2021a), *Housing for All: A New Housing Plan for Ireland*.

The Housing for All Plan has been progressing in terms of policies and outcomes. Around 95 000 dwellings were completed between the third quarters of 2021 and 2024 and around 1 000 cost rentals were made available in 2023 (Government of Ireland, 2024b). Resources provided to local authorities to boost affordable housing have increased. Several schemes have been implemented to have construction on state land, increase the viability of apartments and improve productivity in the construction sector (Government of Ireland, 2024a). Most notably, the Planning and Development Act was enacted in October 2024 to reduce planning delays (see below). In addition, quarterly progress reports and the use of performance metrics to monitor progress improve transparency and accountability.

The Housing Commission's May 2024 report takes a long-term strategic view and sets out recommendations for creating a more sustainable housing system (Housing Commission, 2024). The report highlights that Ireland's housing deficit needs to be addressed through emergency action, including by establishing a time-limited Housing Delivery Oversight Executive to oversee the delivery of housing and associated infrastructure. The 83 recommendations cover themes such as increasing housing supply, and creating an appropriate housing composition (private rented, social housing, first-time buyers etc.) in an environmentally-friendly and inclusive way, which depends on effective coordination of the planning system, land availability, infrastructure development and finance. The Commission was also tasked with and submitted a report with proposed wording for a potential referendum on housing.

Housing policies should take a long-term perspective

The political economy of housing can be challenging, as some ineffective and cost-inefficient policies tend to be popular, protecting certain segments of society or stakeholders (Hilber and Shoni, 2022). In addition, time lags in outcomes associated with some policies seeking to boost housing supply can create pressures for short-term demand-side policies that can lower long-run supply, with potentially undesirable distributional effects. Given the growing size of the public sector in the housing market, the large number of schemes and the frequency of policy changes, monitoring and evaluation to create an efficient framework for investment certainty will be key to facilitate a faster housing supply response.

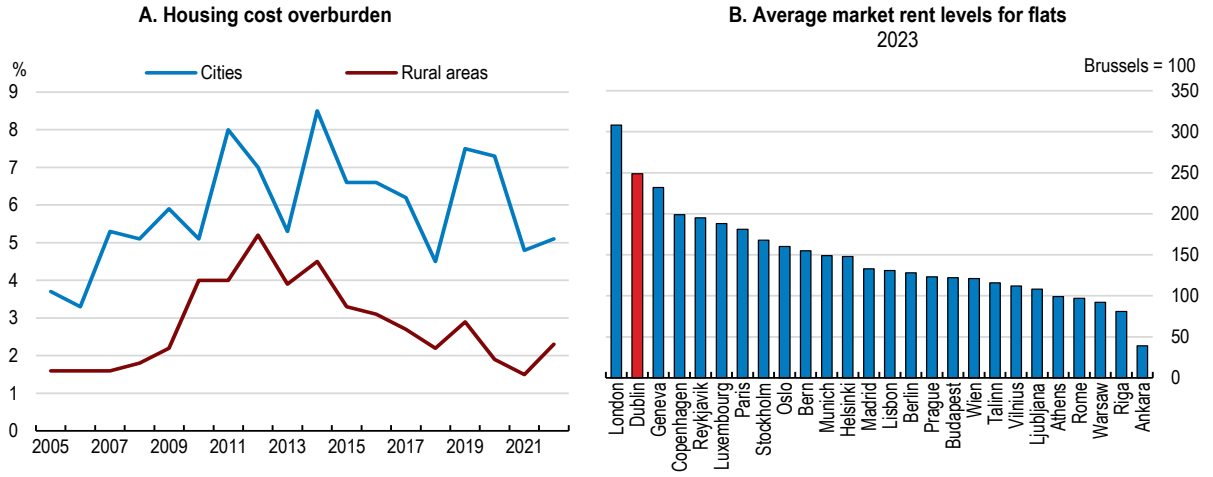
Lack of affordable housing can constrain competitiveness

Ireland's economic model is based on its capacity to attract internationally mobile foreign-owned businesses and labour, and the potential spillovers to boost the performance of domestic SMEs. Multinational-dominated sectors currently account for about 45% of Ireland's gross value added, around 14% of total employment and a sizeable share of tax revenues. Despite a competitive starting position, Ireland faces significant challenges to securing its attractiveness as a location for foreign direct investment (FDI) and talent into the medium to long term, such as infrastructure deficits (NCPC, 2024a; IDA, 2024). Housing gaps can also impact firm costs directly through wages and indirectly through the price of Irish goods and services (NCPC, 2024b and 2023; NCC,2016) and constrain labour mobility. Indeed, prolonging the imbalance between housing demand and supply increases the cost of living, and in turn the cost of doing business, ultimately damaging competitiveness over the medium term (CBI, 2024). Such effects should be a strong focus in the design of long-term housing policies.

Housing pressures are highest in cities (Figure 4.6, Panel A), with rents in Dublin high in an international perspective (Panel B). FDI in Ireland is concentrated in several urban centres (services in Dublin, pharmaceuticals in Cork and medical device manufacturing in Galway). Hence, high housing costs are becoming a barrier to the recruitment of international staff for multinational enterprises (MNEs) (Committee on Budget Oversight, 2024; American Chamber of Commerce, 2024; IBEC, 2023). In addition, more transient workforces, such as those in many ICT companies in Dublin and other cities, require smaller, centrally located accommodation. Hence, it will be important to improve the supply and affordability of

appropriate housing, i.e. smaller housing units or apartments in urban centres, by lowering construction costs and boosting brownfield investment (see below).

Figure 4.6. Housing pressures are high in urban centres



Note: Panel A: The housing cost overburden rate is the percentage of the population living in households where total housing costs ('net' of housing allowances) represent more than 40 % of disposable income ('net' of housing allowances). For homeowners, the housing cost calculation includes mortgage interest payments net of any tax relief, and gross of housing benefits. For tenants, the calculation includes rental payments gross of housing benefits.
Source: Eurostat; and International Service for Remunerations and Pensions (2023), *2023 Current Market Rents*.

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There are also concerns that the domestic economy and the public sector are unable to retain staff (ex. nurses, teachers), especially in big cities (INMO, 2023). Private companies have become landlords to provide rental accommodation for their employees (Business Insider, 2024), while some hospitals are considering similar options (Irish Times, 2023). The need for MNEs to do likewise reduces the relative attractiveness of Ireland as an investment location.

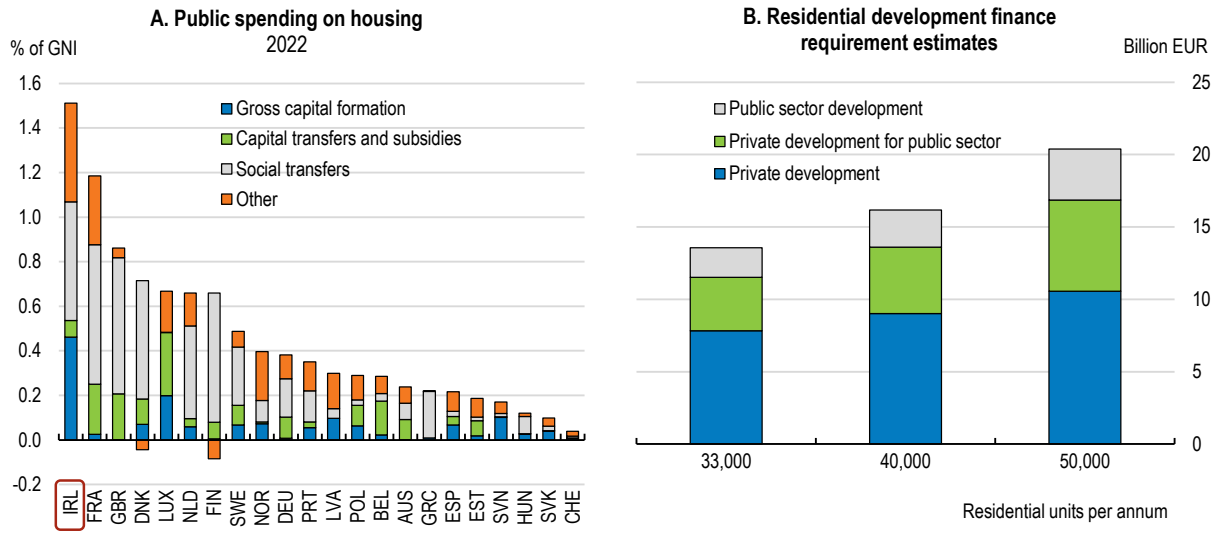
Rising house prices can also shift the balance of labour market adjustment from employment to wages (Duffy, Fitzgerald and Kearney, 2005). High rents can lead to higher wage demands, lowering competitiveness as labour costs are around 61% of total expenditures for MNEs in Ireland (IDA, 2024). Lack of affordable housing can also limit economic opportunities linked to residential mobility and contribute to labour shortages (OECD, 2022b; Causa, et al., 2021). International evidence suggests that housing affordability constraints can distort locational patterns, leading to spatial misallocation (Maclennan, Ong and Wood, 2015), by reducing labour mobility towards more developed, productive regions, lowering productivity growth (Gholipour et al., 2023; Mclennan et al., 2019). Furthermore, instead of increasing local employment, productivity growth in housing-constrained cities primarily pushes up house prices and nominal wages (Hsieh and Moretti, 2015). Given these long-term potential adverse effects, housing policies should take a long-term view, based on sound data and cost-benefit analysis.

Meeting high housing investment needs requires policy certainty

Housing finance comes from a variety of sources. Public spending on housing as a share of national income is high (Figure 4.7, Panel A). In 2022, around 30 000 new homes were developed. Excluding the funding for 5 000 self-build homes financed from a combination of mortgage finance and the homeowner's equity, development finance (debt and equity) for the remaining houses was EUR 9.6 billion, of which 82% was from private sources (Department of Finance, 2024). The sources of debt finance (EUR 5.4 billion) were split between secondary lenders and alternative debt funds (43%), domestic banks (28%),

international banks (4%) and the state (25%). The state provided only 9% of the equity finance (EUR 2.4 billion), with the rest sourced from international equity providers (61%), and domestic equity providers and developers' own equity (30%).

Figure 4.7. Current and future estimated housing expenditures are high



Note: Panel A: Public spending refers to spending on housing development, excluding community amenities, and social protection spending on housing. "Other" refers to other spending, such as compensation of employees, intermediate consumption, and acquisitions less disposals of valuables.

Source: OECD, Annual Government Expenditures by Function database; and Department of Finance (2024), *Report on the Availability, Composition and Flow of Finance for Residential Development*.

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While overall access to finance for residential development for viable projects is not a major issue, despite higher interest rates and costs, pockets of challenges remain (Department of Finance, 2024). First, land which is zoned but does not have planning permission faces funding challenges due to uncertainty, highlighting the importance of an efficient planning process. Second, new apartment development without a committed purchase from the state can also face funding gaps, as high development costs have driven up the yields required. International investors (private equity funds, sovereign wealth funds, etc.) tend to focus their financing on higher density apartments in centrally-located areas (Department of Finance, 2019). Indeed, the institutionally-owned share of the Dublin private rental stock has risen from 6% in 2016 to 17% in 2022 (Daly, 2023). Hence, attracting such investment in the Irish housing market, which faces competition from other global assets, whose yields have been increasing, will be key. Finally, projects which require significant infrastructure development can have difficulty obtaining funding (see below).

Projected residential development finance needs from the private sector to meet higher housing targets are high (Figure 4.7, Panel B). Most stakeholders highlight the importance of long-term consistency and a stable and predictable policy regime for private investment. Indeed, repeated large-scale changes to the fiscal and regulatory framework might lower the attractiveness of Ireland for long-term investment capital for housing (KPMG, 2022). Hence, all policy, legislative, and regulatory proposals should be subject to rigorous regulatory impact and cost-benefit assessment, which requires granular data to assess and monitor trends. Ex-post evaluation, given that some policies can be expensive and may not always be effective in delivering results, is also crucial.

Water and electricity infrastructure is important to attract capital and meet housing targets (NCPC, 2024c; Housing Commission, 2024; Department of Finance, 2024). Uisce Éireann, the water utility provider, has warned that water shortages in Dublin are a major concern. Hence, long-term planning in infrastructure

should be closely aligned with long-term housing policies, with close cooperation between the government, industry stakeholders and regulatory bodies. The establishment of a working group in December 2023, which includes the major utility and infrastructure providers, to align delivery programmes, is welcome. The planning reforms will help, but there is also room to improve the accuracy of both cost and time estimates in the capital programme of Uisce Éireann to meet targets (NCPC, 2023). Better delivery strategies through mature risk allocation, collaborative work, adoption of new technologies, apprenticeship schemes and graduate training programmes can grow supply chain capacity, maximise value and optimise the delivery of projects and programmes (Irish Academy of Engineering, 2023). While Ireland has improved its water governance, investment needs to update an ageing infrastructure and meet future demand are large. The current funding model is based on setting policy objectives and associated costs across different government departments, without household water charges, except for certain thresholds. The funding model for water services could be assessed to see whether it is sufficient to cover the high investment costs (OECD, 2021b).

Efforts to improve data consistency and policy evaluation should be continued

Linking of different databases and availability of consistent data could be improved through greater standardisation and coordination among data-collecting bodies. For example, different methodologies and samples deliver inconclusive results on the size of the private rental sector (CSO, 2024) and whether small private landlords are exiting the rental market (DHLGH, 2024a; RTB, 2023). Data limitations can also cloud the assessment of the extent of the role of the state in the housing market. The publication of reliable and consistent nationwide estimates of the number of accommodations provided by local authority and approved housing bodies, whose balance sheets constitute part of general government debt, can be improved. Official estimates of the cost of maintaining and managing local authority housing are no longer published (Doolan, Roantree and Slaymaker, 2022). A better understanding of the current status can help guide the design of an extensive reform of the social housing sector (see below), as recommended by the Housing Commission.

As policies to boost supply can take time to deliver results, demand side measures to improve access to finance for first-time buyers (First Home) and tax refunds (Help-to-Buy) have been introduced. Such measures in a context of supply-demand imbalances can contribute to demand pressures and translate to higher house prices or rents over the medium term, and be costly and hard to reverse. While the schemes have increased access to homeownership for some, several reviews have highlighted their increasing fiscal costs and their regressive nature (Department of Finance, 2022a and 2021: Parliamentary Budget Office, 2022), but the Help-to-Buy scheme has been extended to 2029 in Budget 2025. Such schemes should be kept narrowly targeted and limited in size, as recommended in the *2022 OECD Economic Survey*. Close and regular monitoring of these demand-based measures will be crucial so that they can be quickly adjusted if any inflationary pressures arise.

An accurate assessment of housing needs is crucial for policy design

Ireland will require one of the largest increases in the housing stock between 2020 and 2050 in the OECD at 40 percentage points (Cournède, Ziemann and De Pace, 2020). The initial housing targets of 33 000 per year in Housing for All were based on Census 2016 (Bergin and Garcia-Rodriguez, 2020) and did not fully take into account pent-up demand from the property bust era or a change in household size over time, by design. At the time, alternative assumptions on population increases, household size and/or obsolescence implied a need for around 50 000 units per year (Lyons, 2021; Conefrey and Staunton, 2019). Hence, it is welcome that the government revised targets for the 2025-30 period to 303 000 new homes by 2030, with an average of 50 500 per year rising to an annual delivery of 60 000 by 2030 (Government of Ireland, 2024c). These estimates are based on demographic and econometric modelling

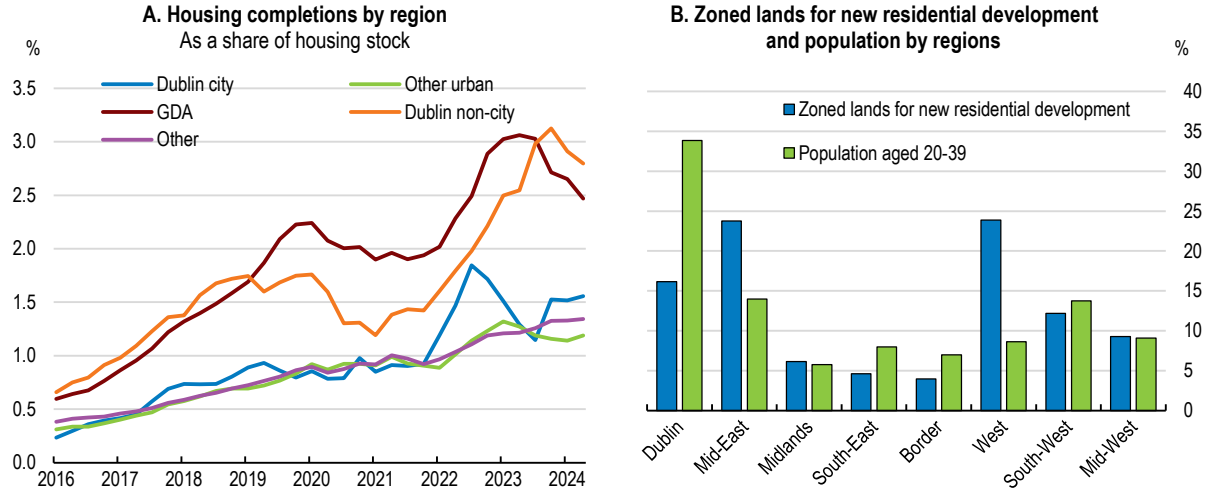
using Census 2022 in Bergin and Egan (2024), and include different scenarios of migration, obsolescence and household size.

As estimations of housing needs based on assumptions on future population growth or average household size can be subject to uncertainty, they should be revisited periodically, in light of incoming data, especially to the extent that such estimates are then translated into targets for public policy. For example, net inward migration has often been underestimated in Ireland, which could be the case again as population growth since Census 2022 has already exceeded the annual average assumed in the "high migration" scenarios (Goodbody, 2024a). In addition, while the new scenarios around household size and obsolescence may indirectly account for some of the past housing deficit, other estimates of pent-up demand (e.g. Housing Commission, 2024) are much higher.

To apply national targets at the local level, each local authority prepares a Housing Need and Demand Assessment (HNDA), based on the Housing Supply Target methodology, for the next six years. In principle, this tool facilitates long-term planning and incorporates modelling based on population projections, age structures, tenure types and affordability considerations. The government is undertaking work to translate the new national target into targets broken down by tenure type.

Availability of fully serviced, residentially-zoned land in the correct locations is key to meet housing targets. The setting of local targets follows from the National Planning Framework's regional balanced growth scenario, which could be underestimating the need in large urban areas, most notably in Dublin. For example, housing supply has been more responsive in commuter belts than in urban centres (Figure 4.8, Panel A). Dublin does not have adequate volumes of zoned land relative to its population, while the Mid-East region has an excess. The data to assess this across the country are incomplete, but recent analysis based on data created for the introduction of a residential zoned land tax shows that the distribution of zoned land does not match the distribution of demand (Panel B; CBI, 2024).

Figure 4.8. Housing supply and demand mismatches are higher in some urban areas



Note: Panel A, annual completions by region divided by 2022 Census estimates of households in permanent dwellings (a proxy for the housing stock). Regions defined as follows: Dublin city given as Dublin City Council area separately. Dublin non-city (Fingal, DLR, South County); GDA (Meath, Kildare, Wicklow); Other urban (Galway, Cork, Limerick, Waterford).
Source: CBI (2024), *Quarterly Bulletin, 2024Q3*, Central Bank of Ireland.

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The determination of local targets has not been sufficiently sensitive to regional economic and social contexts and its results have been inappropriately referenced to argue for a cap on housing development in some localities (Housing Commission, 2024). This can lead to undersupply as planning permissions do not always translate into home completions (Savills, 2022; AIB, 2022; Lyons, 2021) due to judicial reviews,

viability challenges, and lack of infrastructure. Local authorities are allowed to make land available for housing 25% above that indicated by the Housing Supply Targets (HST) methodology. However, historically, only one in three or four units that get permission are built due to changing finance and viability issues, servicing and access challenges and planning objections via courts (KPMG, 2023). Some stakeholders have argued for a buffer of at least 40%, which should be higher in urban areas, where there is a larger proportion of brownfield sites (Goodbody, 2024a). Ongoing reviews of the framework for determining local targets are warranted, ensuring the outputs are appropriately implemented, while preventing them from being interpreted as ceilings on housing supply in particular areas. The HST results should be treated as minima, like in Scotland.

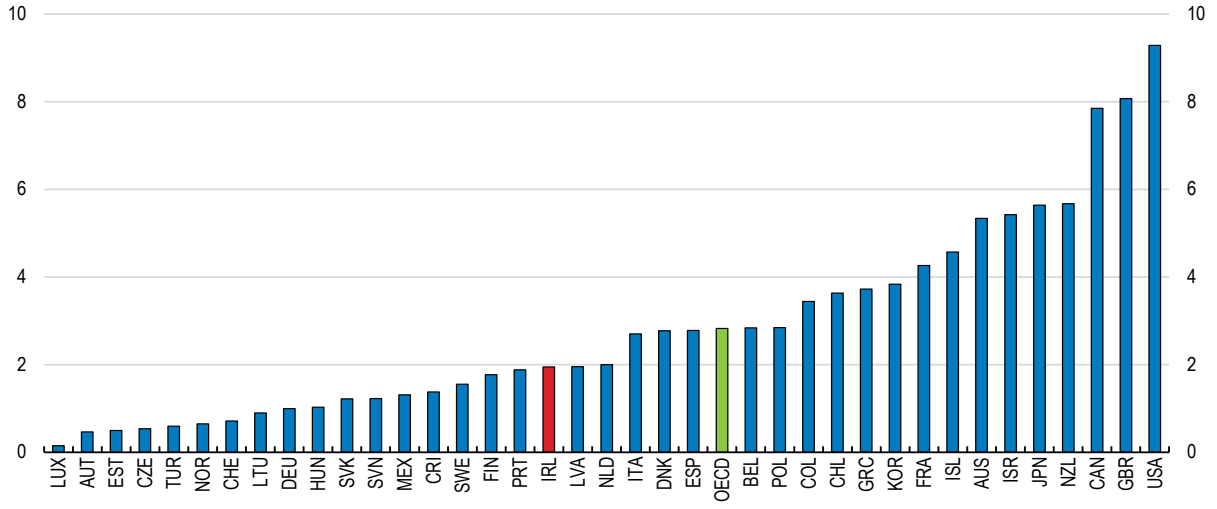
Ensuring a fairer and more effective functioning of the housing market

Reforming housing taxation to ensure greater neutrality across types of tenure

Receipts from property taxation are relatively modest. As of 2022, recurrent taxes on immovable property accounted for about 0.8% of GNI* and 1.9% of general government total tax receipts, below the OECD average (Figure 4.9), contributing to the reduced overall tax burden on housing. Like many other OECD countries, Ireland exempts tax-imputed rents and capital gains from main residence sales (Leodolter et al., 2022; Norregaard, 2013), increasing housing inequality between those who own a house and those who are renting (Kilgarriff et al., 2019).

Figure 4.9. Revenues from recurrent taxes on immovable property are low

Share of revenue from recurrent taxes on immovable property in general government tax revenues, %, 2022



Note: OECD unweighted average.
Source: OECD Revenue Statistics database.

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Recent changes to the local property tax (LPT) have had a limited impact on its yield. Introduced in 2013, the functioning of the LPT was initially affected by delays in property revaluations. In 2021, a new reform reduced rates, expanded the base, and required taxpayers to update their self-assessed property valuations every four years. Additionally, previously exempt houses constructed since 2013 were brought into the scope of the tax (Irish Tax Institute, 2021). The reform was expected to increase the recurrent property tax burden for about a third of taxpayers, although LPT rates remain comparably low. To support lower-income households, the reform broadened eligibility to property tax deferrals and lowered the interest

charged on deferred tax payments. The net effect of all these changes was a limited increase in nominal LPT revenues to EUR 500 million in 2022 (0.2% of GNI*), corresponding to a 4% decrease in real terms relative to 2019. In part, this stemmed from some local authorities' attempts to protect their residents from the reforms' net tax cost by exercising the option to reduce LPT basic rates.

The temporary mortgage interest relief scheme introduced in Budget 2024, two years after the end of the version launched after the 2008 housing bubble burst, was extended by one year in Budget 2025. The scheme grants homeowners who borrowed to purchase or retrofit their main residence a 20% tax credit on the extra interests paid in 2023, relative to the previous year, provided they are in compliance with planning regulations and interest and property tax payments. The relief scheme is not specifically targeted and applies on a relatively large range of outstanding mortgage balances (EUR 80 000 – EUR 500 000). While the measure was to help against higher interest rates, recent estimates show that a rebound in mortgage switching activity and new fixed-rate loans ensuring a rapid rebalancing, left only about one fifth of borrowers exposed to rises in interest repayments (Byrne et al., 2023; Chapter 1). In addition, mortgage-interest reliefs for owner-occupied housing tend to be regressive, while potentially leading to higher house prices (OECD, 2022c). Hence, the scheme should not be extended further.

Recent budgets also introduced tax incentives for landlords and tenants to improve affordability and increase rental supply. The ceiling for the rent tax credit for tenants was gradually increased from EUR 500 to EUR 1 000 in Budgets 2024 and 2025. While such measures aim to lower housing affordability challenges for middle-income renters, they are not targeted. Rental support for households should be provided through welfare measures based on income criteria and needs assessment rather than via untargeted tax incentives. As in other OECD countries, landlords are already eligible for tax deductions for various expenses against rental income for 100% of mortgage interest payments, repairs and maintenance and the cost of any property management fees or service charges. The additional temporary rental income tax relief of 20% to support private landlords from 2024 to 2027 is expected to reduce the tax on rental income up to EUR 600 in 2024, EUR 800 in 2025 and EUR 1000 in 2026, provided the landlord does not leave the rental market during the four years. Such tax reliefs tend to favour higher-income households, who are more likely to own rental properties, and can be distortionary (OECD, 2022c). Hence, the new incentives should be phased out and should not become a permanent policy tool.

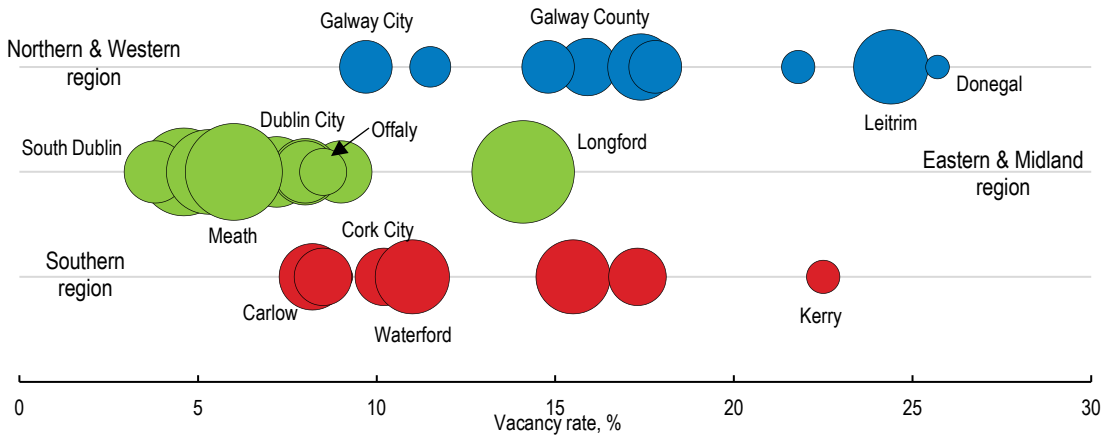
Taxes, such as VAT for construction materials and development levies, account for around 16% of the cost of a typical new home, which has led to calls for waivers to reduce development costs. For example, a waiver for development levies was extended until the end of 2024, which can help in the short run. However, tax incentives during the property boom (e.g., tax deductions for mortgage interest payment, no taxes on property values, capital gains or imputed rents) created long-term negative externalities, including misallocation of housing, deadweight losses, and significant fiscal costs (Department of Finance, 2022b). The impact of such tax incentives on supply and prices are likely to be limited in the context of structural rigidities in the housing market (Barrett, Duffy and McQuinn, 2015). In line with the 2022 report of the Commission on Taxation and Welfare, tax expenditures and measures aimed at the short-term stimulation of construction activity should be avoided. If utilised, they should not be broad-based and without an expiration date.

The Vacant Homes Tax introduced in 2023 is set to increase. According to 2022 Census data, the total number of vacant dwellings decreased by about 20% since 2011, to 163 000 vacant homes (-29%) and 67 000 unoccupied holiday homes (+13%), although the vacancy rate's variance across counties is high (Figure 4.10; CSO, 2023). The tax is levied on liveable dwellings that have been occupied for less than 30 days over 12 months, a threshold broadly in line with France's, but less generous than in England, where a charge is levied on houses left unoccupied for over two years. The tax rate was increased to five times the dwelling's basic rate of local property tax, up from three times, and is set to rise to seven times with Budget 2025. Initial data on the tax returns revealed that out of 50 000 properties reported to revenue commissioners, for the period to November 2023, 5 000 were declared vacant, of which only 60% ended up liable (Department of Finance, 2023). This was in line with the modest revenues (EUR 3-4 million)

expected by the government at the onset. Evidence from existing vacant home taxes, however, shows that their capacity to increase the stock of housing depends on extensive monitoring, compliance checks, and fine systems, which are all administratively costly (OECD, 2022d). The government should thus assess whether the measure's largely signalling effect warrants an additional layer of complexity in the tax system, as well as whether the goal to bring more private housing in the market could be more effectively attained through land use control regulations.

Figure 4.10. Housing vacancy rates vary considerably across the country

Vacancy rates in 2022 and % population changes since the 2016 Census



Note: The vacancy rate is the proportion of vacant dwellings in all housing. The size of each circle shows the per cent increase in population over 2016-22, which varies from 5% in Donegal and Wexford counties to 14.4% in Longford county.
Source: Central Statistics Office.

StatLink https://stat.link/d56gk1

Replacing the Vacant Site Levy, the Residential Zoned Land (RZL) tax will become operational in 2025, following the final approval of the draft zoning maps released in early 2024. The tax will charge owners of land zoned and serviced for residential purposes but lacking any building liable for the local property tax, at an annual rate of 3% of the self-assessed land's market value. However, landowners with a genuine economic activity (e.g. farmers) on land liable to the tax will be provided with the opportunity to apply for its rezoning and be exempted from RZL tax liabilities in 2025, while the authorities will soon publish guidance to help planning authorities in dealing with such requests. Administered by revenue commissioners and imposing on landowners the burden of proving their land is not properly zoned or serviced, after having filed an amendment request to local authorities, the new tax should ensure greater operational efficiency. While the tax is broader in scope and administratively less costly, the applied rate is well below the 7% Vacant Site Levy (OECD, 2022d). The government could thus consider increasing the RZL tax rate. At the same time, at relatively low rates applied to self-evaluated values, the capacity of the tax to trigger additional housing by activating unused planning permissions on undeveloped land might be less than expected. Outstanding planning permissions far exceeding the number of housing completions could mask hoarding of land mainly in individual or family ownership, including via multiple – preventive – planning permissions on the same site, suggesting that many non-activated planning permissions are likely to be unviable (Sweeney, 2022).

A holistic approach to housing tax policies could pave the way for a more efficient and equitable housing market. To ensure a more neutral tax treatment across types of tenure, higher Residential Zoned Land taxes would weaken land hoarding and speculative incentives, boosting housing supply. Greater use of effective technologies to monitor self-assessed land and property values, combined with LPT rates and tighter conditions on local authorities' ability to decrease basic LPT rates, can further enhance tax efficiency. Means-testing can prevent placing an excessive burden on house-rich but low-income

households. Additional options to broaden the tax base in an equitable way could include capping the capital gains tax exemption on the sale of main residences and tightening the tax treatment of secondary homes (Commission on Taxation and Welfare, 2022), for instance by applying higher LPT rates than for primary residences, as is the case in Italy. To streamline the system, this can be accompanied by the removal of stamp duties, even though they are not too high in international comparison. Budget 2025 raised stamp duties on properties worth above EUR 1.5 million and on bulk purchases of at least 10 homes. Overall, higher taxes on immovable properties could improve the equity and efficiency of housing taxation, for example by lowering the homeownership bias and boosting residential mobility, which is currently mainly hampered by the lack of available housing.

Ensuring more effective and timely handling of planning applications

Effectively navigating through existing planning regulations became arduous over time, as the legal framework, anchored on the 2000 Planning and Development Act, was made increasingly complex by scores of successive amendments. As a result, in 2021, the government launched a comprehensive review of the national planning legislation involving extensive stakeholder engagement, whose conclusions informed the Planning and Development Act 2024.

The Act, which is the third largest in Ireland's history at 906 pages, aims to streamline the system, burdened by a considerable backlog of pending proceedings, to make it more user-friendly, while enhancing its overall coherence through clearer and more consistent planning decisions across all tiers of administration. Roles and responsibilities of national, regional, and local planning actors are also more clearly outlined. In addition, the alignment of local planning cycles – currently at six years – with the 10-year census-data cycle and the lifespan of the National Development Plan (NDP) and the National Planning Framework (NPF), the two key documents guiding Ireland's development policies, will make designing and implementing the latter more effective. At the same time, local authorities' mandate to review their plan performance after five years will preserve some flexibility. The system's governance is also overhauled through the adoption of National Planning Statements, i.e., government-approved guidelines and directives with which regional and local planning authorities are mandated to align, although some degree of flexibility is provided on implementation (DHLGH, 2023c). Moreover, the requirement for all planning documents to adhere to the planning statements will enable greater uniformity in planning strategies nationwide.

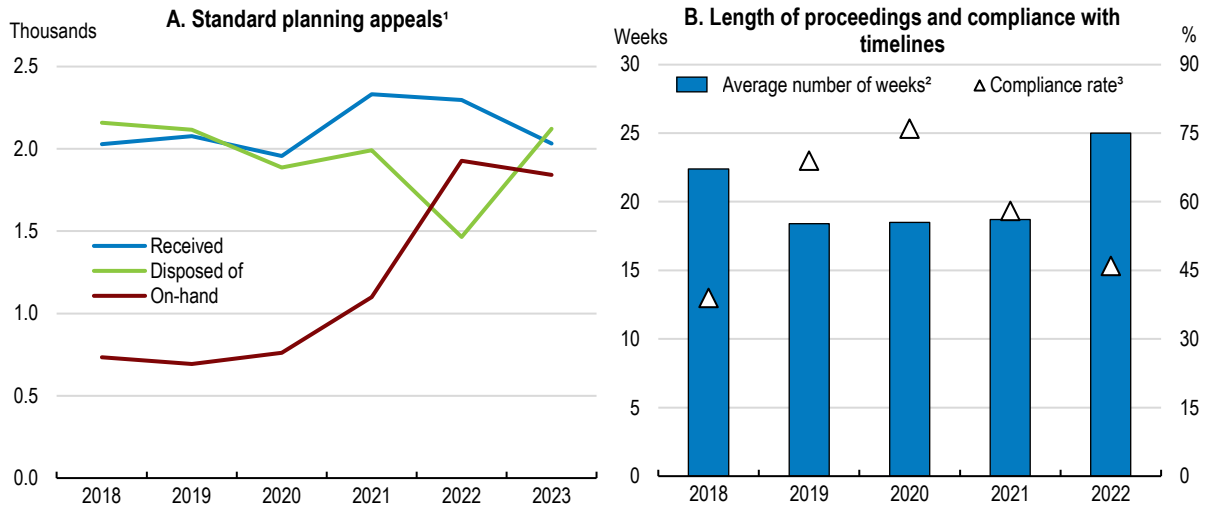
In a bid to enhance the operating efficiency of planning processes, *An Bord Pleanála*, the independent quasi-judicial statutory body determining appeals on planning decisions made by local authorities and deciding on direct applications, which are authorised in more complex cases, like for strategic infrastructure developments, will be restructured. The Act renames the institution as *An Coimisiún Pleanála* (Planning Commission) and subjects it to a clearer separation of quasi-judicial decision-making, governance, and corporate functions. Planning commissioners, operating under the oversight of a newly established chief planning officer, will be primarily responsible for decision-making on appeals and direct applications, which is expected to reduce procedural times and increase absorption of existing backlogs. The overall governance, setting strategic directions, and organisational oversight will pertain to the governing board, while a corporate unit, overseen by a chief executive officer ensuring accountability, will support all other functions and promote coordination across departments (Oireachtas, 2023). The new set-up is supported by an increase in human resources (see below).

Paving the way towards faster decision-making

Extending the adoption of statutory mandatory timelines to the Planning Commission's decisions will increase certainty in planning consent processes, especially in the case of more complex infrastructure and housing projects. According to the new Act, standard planning applications will be determined by local planning authorities within eight weeks (12 weeks if requiring environmental assessments), in line with previous legislation. If no decision is made within these terms, and the applicant does not consent to

extending the period, the application will be deemed to be refused and the applicant may appeal it to the Commission. For the first time, however, specific timelines will also apply to the Commission's determinations, ranging from 18 weeks for appeals of locally refused planning permissions (26 weeks, if involving an environmental impact assessment report) to 48 weeks for more complex direct applications, e.g., those related to strategic infrastructure developments. This is welcome, but highlights the challenges the new body will face, considering *An Bord Pleanála*'s ongoing struggles in effectively tackling a rapid increase in its caseload of standard planning appeals (which made up 75% of all cases submitted to the body in 2022) since 2020 (Figure 4.11, Panel A). This has led to lengthier proceedings and a significant reduction in the number of appeals disposed of within 18 weeks (Panel B). The timelines, though, will be introduced on a phased basis, starting with longer ones for strategic infrastructure development.

Figure 4.11. The accumulation of planning appeals has weighed on compliance rates



1. Appeals arising from decisions by local planning authorities on applications for permission for the development of land.
2. Average number of weeks to decide planning appeals.
3. Computed relative to the statutory objective timeline of 18 weeks applying to standard planning appeals not involving an environmental impact assessment report.
Source: An Board Pleanála (2023), *2022 Annual Report and Accounts*.

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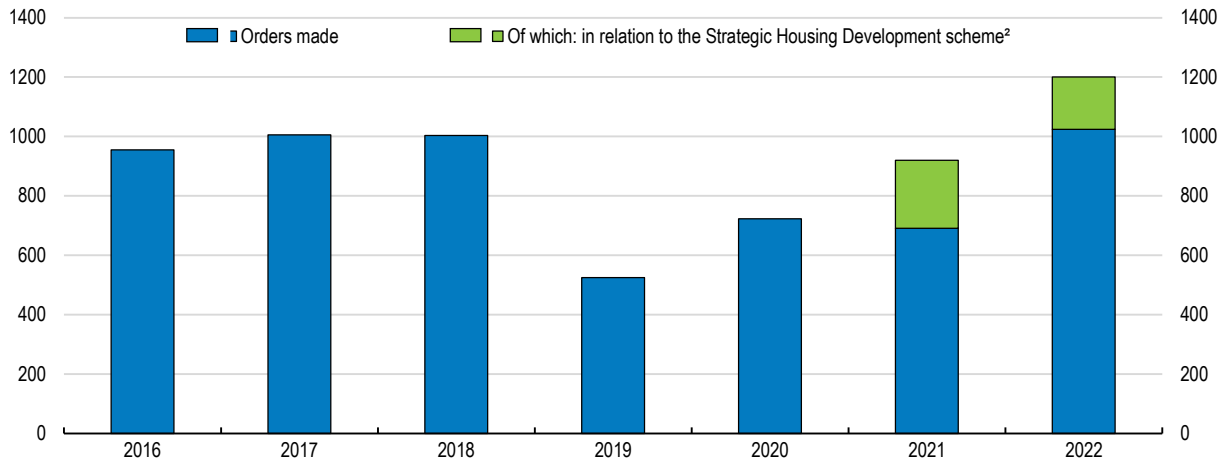
The increase in *An Bord Pleanála*'s caseload since 2019 occurred against the background of rising numbers of high court judicial reviews (Figure 4.12), partly driven by the side-effects of the Strategic Housing Development (SHD) scheme. Launched in 2017, the SHD scheme fast-tracked planning processes for the delivery of larger housing and student accommodation projects by allowing concerned developers to bypass local authorities and file their applications directly with *An Bord Pleanála*, whose decisions could only be challenged by judicial review (SHD Review Group, 2019). The move triggered a growing recourse to legal action, largely grounded on environmental objections. Moreover, decided cases were overwhelmingly ruled in favour of appellants. As of 2021, SHD-related high court judicial review orders accounted for one quarter of those of all non-asylum-related ones (Figure 4.12), which led the government to replace it with the Large Scale Residential Development scheme. The latter reinstated local authorities as primary planning decision-maker but made only limited changes to other SHD parameters (Office of the Planning Regulator, 2023). According to industry sources, out of the 150 000 housing units proposed under the SHD scheme, about 20 000 are awaiting decision from *An Bord Pleanála*, due to average processing times having mounted to 95 weeks (Planning Permission Ireland, 2024).

A system of proportionately escalating penalties is to be implemented to reduce the scope for procedural delays. In cases in which the Commission fails to decide within the described mandatory time limits and to agree with the applicant on a new term, the Commission will avail of three possible additional time

extensions – up to a maximum of 10 weeks for standard planning applications. Further violations of these sequentially extended timelines, though, will expose the Commission to a suite of proportionately escalating penalties, which include notifying the delay in the decision – and its causes – on its website, penalty payments to the applicant, and, finally, informing the Minister, who may request a review of the Commission's performance (Oireachtas, 2023).

Figure 4.12. Judicial reviews increased the High Court's workload

Number of orders made by the High Court[1]



1. Data refer to the total number of orders made by the High Court with reference to judicial reviews unrelated to asylum applications.
2. The SHD scheme aimed at fast-tracking the planning process to accelerate the approval of large-scale housing projects comprising 100 or more residential units or student accommodations with 200 or more beds.

Source: Courts Service, *Annual Reports*.

StatLink https://stat.link/e7gu58

Provisions for penalties or compensation for undue delay in planning processes exist in other OECD countries, such as the United Kingdom and most North-European countries, although details vary with the specifics of the legal and administrative frameworks. Similarly, efficiency improvements in the Dutch planning system, resulting from the recent centralisation of planning applications in the Environment and Planning Portal (Government of the Netherlands, 2024), will be supported by existing rules providing citizens with the right to a periodic penalty payment for a public authority's failure to take a timely decision (De Graaf et al., 2020). At the same time, concerns have emerged over the possibility that the imposition of penalty payments for delays in determining planning applications might result in rushed decision-making, opening the door to subsequent judicial reviews (Joint Committee on Housing, Local Government and Heritage, 2023). In this context, the full impact of the Act will only be seen over time, due to its complexity, while the process will remain open to potential hurdles. To better 'enable' the Act and ensure more streamlined and effective planning processes, the government should rapidly put in place the needed framework of secondary regulations and stand ready to flexibly adapt them, were evidence of misalignments with the Act's objectives to emerge. Enhanced monitoring capacity will also be key. The Act's requirement for the Commission to publish data on the number of appeals decided within the headline period and the additional ones (Oireachtas, 2023) is welcome, but the adoption of smart advanced digital monitoring systems – including AI-based – across proceedings, would increase procedural effectiveness.

Ensuring timely housing development while safeguarding judicial review rights

Frequent recourse to judicial review delays the delivery of larger housing developments. Although most standard planning applications are approved in reasonable times, complex infrastructure or housing development projects often trigger lengthy judicial reviews (Garcia et al., 2023). In addition to a tendency

of third parties to resort to judicial reviews, such legal challenges partly result from a growing willingness of courts to intervene in detailed planning procedural issues (NCPC, 2023). This results from underlying tensions between the rules-based approach of EU directives on environmental matters and the Irish common law system, in which public participation in planning traditionally involves the right to challenge the authorities' administrative decisions. Judicial reviews thus prolong the planning process, leading to increased costs and lower investment certainty. 2023 survey data pointed to residential developers identifying planning-related issues as the main obstacle to their activity, while 46% of them considered a judicial review would add at least 21 months to their proceedings (Knight Frank, 2023). Hence, the Planning and Development Act aims to provide a balanced solution on judicial reviews by reiterating citizens' right to access justice for planning decisions affecting the environment, but also by better qualifying their standing rights to legal action to avoid potential abuses (Box 4.2).

Box 4.2. The Planning Act's take on judicial reviews

The Planning Act preserves citizens' right to access justice and review procedures on decision-making with respect to the environment. This includes a new scheme supporting eligible applicants in dealing with legal costs, combined with the introduction of a scale of fees to reduce their level, lower court times through the removal of the requirement for a preliminary assessment of applications, and procedural changes to qualify the standing rights of those seeking to take judicial review proceedings and speed up the process. Applications for judicial reviews will only be legitimate if the applicant is materially affected by the underlying matters and, except for a specified set of bodies, has already exhausted any other available legal and administrative alternative. Moreover, to curb the risk of additional delays, courts will be bound to only consider the merits of the grounds raised in the initial application for judicial review, with limited criteria to allow for subsequent amendments. Similarly, while the Act maintains the right of environmental NGOs and unincorporated residents' associations to apply for judicial review regardless of how they are affected by the matter, it tightens the governance criteria they are to meet to do so.

Source: House of the Oireachtas (2023), Planning and Development Bill 2023, Explanatory Memorandum.

Following the recommendations of a 2022 review to strengthen procedures and restore public confidence, *An Bord Pleanála* has improved capacity and governance. Over 117 positions have been created since late 2021, bringing the body's staff up to an all-time high of 250 in 2023. The governance framework was enhanced with the introduction of a new code of conduct in September 2023 and the appointment of a dedicated ethics officer. Similarly, the effectiveness of decision-making was improved through the recruitment of staff providing specific legal support and advice and the development of written decision-making procedures. In early 2023, against the background of a half-vacant ten-member Board, the government filled the vacancies with temporary assignments and expanded the Board to 15 members. This helped reduce the Board's overall pending caseload by about one-third over 2023 (Office of the Planning Regulator, 2024). In 2024, a full-term chair and ten full-time board members were appointed via competitive processes and the maximum number of ordinary board members was temporarily raised to 17 to the end of 2024.

The adoption of digital tools, particularly to modernise the body's case management system, which is largely paper-based, should be enhanced (Houses of the Oireachtas, 2023). Deeper data collection frameworks are also needed for more effective process monitoring. Furthermore, accelerating the national adoption of e-planning – originally foreseen by 2022 (The Journal, 2022), by building on the Local Government Management Agency's pilot system, currently enabling 12 local authorities to manage their planning applications and proceedings online (LGMA, 2024), would help streamline the planning process. This would enable faster turnaround times for applications and decisions, reduced administrative costs, closer integration and collaboration with local planning authorities and other public institutions involved in planning and reduce applicants' administrative burden, while ensuring a more user-friendly experience.

Effectively enhancing local authorities' gatekeeping role

The complexity of the Planning and Development Act 2024 makes assessing its capacity to effectively streamline Ireland's planning system challenging. Moreover, in Ireland's common law-based system, different interpretations of the law by courts may set precedents that could potentially lead in directions not necessarily foreseen by the legislator. Amidst these uncertainties, the reform's success will hinge on providing local planning offices with the resources, expertise and technologies needed to effectively exert their gatekeeping role to reduce the necessity for judicial review. Faced with increasingly complex environmental and legal frameworks requiring multi-disciplinary approaches, persistently under-resourced local planning authorities, especially within rural areas, may let their decision timelines expire on more complex applications to shift the burden on the authority responsible for appeals.

Staff recruitment has proven increasingly challenging for local planning authorities. Their powers and functions weakened in recent decades due to increased centralisation of the national planning system (Irish Planning Institute, 2022). Almost half of the country's public planning authorities had a shortfall of staff in 2023, with around 90% of the declared vacancies in planning positions in local authorities (Irish Planning Institute, 2023). Moreover, 62% of public planning services declared they were faced with severe difficulties in both retaining and attracting new planners (Universum, 2023), with overly long application processes cited as a barrier to new entrants. An in-depth review of human resources in the 31 local authorities' planning functions identified a shortfall of 541 staff, including non-planner positions in 2022 (Joint Committee on Housing, Local Government and Heritage, 2023). Filling that gap would involve a 35% increase in 2022 total staff levels (1 550), at an estimated annual fiscal cost of EUR 40 million.

To help scale up the resourcing of decentralised planning offices rapidly and sustainably, Budget 2024 included a EUR 8 million allocation earmarked to establish an additional 100 staff positions in local planning authorities in 2024 and to finance training for existing staff. A ministerial action plan, aimed at ensuring a sustainable pipeline of planning and related expertise, including through international recruiting initiatives, was published in October 2024. This is welcome but should be accompanied by efforts to promote the centralisation of legal, technical – especially in the field of environmental assessment – training, and data analysis planning support at regional or smaller inter-county scales. Such form of service support coordination could promote consistency and streamlined decision-making, while helping to facilitate compliance with national guidelines.

Under-resourcing may undermine local planning departments' productivity. In the short term, serious difficulties in dealing with workloads, due to insufficient resources, weaken local institutions' capacity to retain staff. In the longer term, such tensions might also lower human capital accumulation by existing staff. Indeed, newly hired planners cite concerns about lack of adequate mentorship by already overburdened senior staff, which limits their opportunities for learning and career progression, or of skill depletion, due to excessive turnover among mid-level planners (Irish Planning Institute, 2023). Enhanced provision of flexible and effectively tailored training modules across all staff levels will be essential. Key reform initiatives to enhance the efficiency of local land development planning are progressing. In 2023, a multi-year Learning and Development Strategy to support building of planning capacity in local authorities, via tailored training programmes, was published (LGMA, 2023).

The recent recruitment drive might require frontloading the supply of more tailored and structured training. The Learning and Development Strategy's foundation-level training will be available to all staff and cover general skills on framework planning conditions. Intermediate and leadership training, covering the technical and strategic competencies required for middle-managers and senior planners, will be phased in from 2026. Although longer and organisationally more complex to activate, as their designing will involve the regulator, schools of planning, and tertiary-level institutions (LGMA, 2023), the authorities should consider frontloading the deployment of intermediate- and leadership-level training support. The establishment of fully-fledged academic programmes in areas in which skill shortages are more acute, e.g.,

spatial marine or environmental planning, coupled with communications campaigns promoting the appeal of the planning profession, would strengthen the industry's pipeline of talent.

Increasing investment in sustainable compact housing development

The 2018-2040 National Planning Framework (NPF), the key strategic document for Ireland's planning and development policies (Government of Ireland, 2018a), is currently being revised to make it consistent with a larger than expected population growth and new policy developments (Government of Ireland, 2024c). This revision was key to inform efficient land use and development across regional and local authorities to ensure regionally balanced growth, against the backdrop of census data showing population growth tilted to the East in 2016-22 (Government of Ireland, 2023a). Overall, the draft revised framework acknowledges metropolitan areas and large cities as catalysts for population and employment growth, while pursuing a development strategy of regional parity, in which the targeted growth of the Northern, Western and Southern regions will at least match that projected for the Eastern and Midland region.

The NPF identified efficient land use, especially within and close to the existing built-up footprint of cities and towns, as indispensable to ensure more regionally balanced population growth by 2040. Accordingly, the NPF set specific targets to ensure a greater role for compact urban growth, requiring for 50% of new housing growth in the country's five largest cities (30% for other cities and towns) to occur within their built-up areas, i.e., via infill or brownfield development projects. The rationale for these targets is that existing urban settlements, whose structures resulted from past fragmented planning approaches, entail large capacities to sustainably accommodate a growing population (DHLGH, 2024b). Emphasis is therefore laid on prioritising the renewal of existing settlements and buildings to limit urban sprawl. This requires addressing viability challenges (see below), effectively implementing new planning guidelines to encourage compact growth and managing land use more efficiently.

Ensuring an effective implementation of new planning guidelines

New planning guidelines for sustainable residential development were introduced in early 2024 to support the desired pattern of regionally-balanced, city-centred, and compact development growth. They aim to provide decentralised planning authorities with the flexibility required to make plan-led decisions reflecting the circumstances of their areas, to foster more innovative housing solutions (DHLGH, 2024b). The guidelines acknowledge that all types of settlements, regardless of size, exhibit a recurring spatial pattern: a concentrated core surrounded by a series of adjacent rings with gradually decreasing densities of dwellings and activities as they extend outward. Hence, for each category of settlement size, they define different area types (centre, urban, suburban or edge location), based on each area's average distance from the settlement's core centre, key transport services or significant employment locations, and assign them specific residential target density ranges, measured as dwellings per hectare (Table 4.2).

The guidelines are designed as a key tool to boost brownfield- and infill-led compact housing development, while ensuring some flexibility to local authorities when they need to consider greenfield alternatives in suburban and edge areas, or rural villages, albeit within a plan-led context and under specific conditions (Box 4.3). Furthermore, while the guidelines introduced a general presumption against densities out of the recommended ranges, in some cases, planning authorities can deviate from them on a plan-led basis, after having motivated their decision (DHLGH, 2024b). This could be the case for urban developments with densities above 300 dwellings per hectare, in cities, or in peripheral sites in which developers are required to adjust to the smaller scale of surrounding properties, for example. To avoid loopholes, such exemptions should be adequately monitored, while local authorities could be incentivised to comply by making the respect of density ranges a key criterion to receive public financial support.

Table 4.2. Target density ranges by settlement and area types

Dwellings per hectare

Settlements	Area types		
	Centre	Urban	Suburban/Edge
Dublin / Cork	100-300	50-250	40-80 (+ up to 150)
Limerick / Galway / Waterford	100-250	50-150	35-50 (+ up to 100)
Metropolitan towns and villages	50-150	35-50 (+ up to 100)	Context dependent, not below 25
Regional growth centres	50-150		35-50 (+ up to 100)
Key and large towns	40-100		30-50 (up to 80)
Small and medium-sized towns	Context dependent	-	25-40
Rural towns and villages	Context dependent	-	Context dependent

Note: Metropolitan towns and villages refer to settlements within metropolitan areas with population, respectively, above or below 1 500; key and large towns are towns out of Metropolitan areas with population usually above 5 000; regional growth centres are key urban areas outside of primary metropolitan areas and identified by the National Planning Framework for their significant population and economic growth (for example, Sligo and Dundalk); small and medium-sized towns have a population between 1 500 and 5 000; rural towns and villages have a population below 1 500. Information within brackets refers to maximum thresholds open for consideration by planning authorities.
Source: Minister of Housing, Local Government and Heritage (2023), "SEA of the Sustainable Residential Development and Compact Settlements Guidelines for Planning Authorities", *SEA Final Environmental Report*.

Box 4.3. Key principles of the new guidelines on sustainable and compact residential development

The 2024 guidelines on sustainable residential development include horizontal planning principles, whose degree of cogency varies by settlement size and area type. For example, all settlements are recommended to strengthen their urban cores via adaptation, re-use or intensification of existing buildings, while protecting and enhancing their historic fabric, natural heritage, biodiversity and environmental quality. The five biggest cities are required to deliver brownfield and infill development – at suitable locations – within existing built-up areas, while smaller settlements are prompted to realise opportunities for incremental brownfield, backland, and infill development. Additionally, cities and towns with more than 1 500 inhabitants can develop greenfield urban extensions only if the identified suitable areas are served, or set to be served, by high-capacity public transport or are next in sequence to the urban core and can be integrated into existing built-up areas. Conversely, smaller towns and villages may provide limited low-density housing at their edges, if these areas can be integrated in the existing built-up area and serviced with adequate infrastructure.

Source: DHLGH (2024b) and Minister of Housing, Local Government and Heritage (2023).

Greater clarity on how to translate planning guidelines into practice is being pursued. To illustrate how plan-making and design processes can effectively adapt to the updated guidelines on residential development and compact settlements, the government committed to release a non-statutory Urban Design Manual, which will provide specific reference examples. The manual will build on the NPF's key principles, in line with recently updated manuals for the reuse of existing buildings or to upgrade their energy efficiency (DHLGH, 2024c and 2023d). In light of the large sectoral implications of planning activities, and the ensuing elevated number of official documents providing guidelines and reference standards, the government should consider centralising key information in a single online repository, which would contribute to enhanced policy transparency and clarity.

To ensure a greater range of housing options, new standards aimed at boosting low-rise medium-density housing models in suitable places, as common in many European countries, are needed. Featuring integrated open spaces at multiple levels, these systems imply smaller plot sizes and narrower street and parking spaces, resulting in lower environmental footprints. The 2024 planning guidelines set new specific planning policy requirements, such as more flexible minimum separation distances between opposing

windows, higher standards for open private spaces and lower car-parking provisions, easing previous standards to facilitate sustainable compact growth (DHLGH, 2024b).

Ireland's strong population growth adds to policy complexity. Ireland's average urban population density grew by close to 250 inhabitants per square kilometre between 1990 and 2014, the second largest increase in the OECD (OECD, 2018). This was associated with the OECD's third highest increase (2.4%) in the share of urban population living outside of urban centres and a marked rise in urban areas with multiple density peaks. Over broadly the same period, the area classified as urban grew at an average annual rate of 3.1%, more than twice the EU's (Ahrens and Lyons, 2018). Furthermore, the share of urban land allocated to low population density areas, and its level of fragmentation, continued to expand over 1990-2014. Underpinned by strong population growth over the period (33% vs. 19% OECD average), in many Irish urban areas, suburbanisation coexisted with densification as in Spain, Sweden and the United Kingdom, which made effective urban planning more complicated. Similarly, land use efficiency is low in an international perspective (EEA, 2021). As Ireland's population has grown by an additional 13% since 2015, i.e., three times as fast as in the OECD on average, and incentives to leave city centres recently strengthened, due to the combined effect of the COVID-19 pandemic and sustained house price inflation in dense areas, urban development conditions are unlikely to have improved. Hence, policies to rebalance the land-use mix via more functional and effective planning functions should be prioritised.

Patterns of suburban development associated with lower population density can have adverse effects, such as car-centric transportation systems (OECD, 2022e), weaker upward social mobility, and natural landscape degradation (Alberti et al., 2020). Urban sprawl is also related to higher air pollution (Bart, 2010), increased residential energy consumption and water shortages (Navuamel et al., 2018; Heidari et al., 2021). Moreover, if not met by an increase in urban density, population growth weighs on local authority finances (Kotchen and Schutle, 2009). Decentralised, discontinuous and scattered urban development thus challenges planners and policymakers (Shaw et al., 2020), requiring multi-dimensional planning approaches towards more compact and greener landscapes (Artmann et al., 2019).

Towards a more shared approach to planning policies

Significant public investment support has been put in place to boost compact growth. The NPF, coupled with the five-year 'Our Rural Future' national rural development policy (Government of Ireland, 2021b), set out a vision built on the interdependence between urban and rural areas to make towns a key engine of sustainable development and well-being. In this context, the multi-year Urban and Rural Regeneration and Development Funds (co-investment capacity of EUR 2.3 billion and EUR 1 billion, respectively) are funding competitive bids to rejuvenate larger cities/towns and rural towns/villages with less than 10 000 inhabitants (DHLGH, 2023e; Department of Rural and Community Development, 2024; Government of Ireland, 2021c). The user-friendly online trackers showing the stage of advancement and details of each project supported by the funds (DHLGH, 2024d; Department of Rural and Community Development, 2024) have improved transparency.

The large range of eligible urban intervention types, including building, refurbishment or demolition, active land management, infrastructure development, and brownfield adaptive re-use for a low-carbon transition, allows flexibility to address the heterogeneous features and challenges of towns. However, to address recurrent strategic weaknesses in land-use management across towns, authorities could prioritise specific subsets of redevelopment types in successive rounds of support. Developing an effective data architecture enabling timely comparisons across jurisdictions, as well as monitoring and assessment, could help identify best practices for replication by other towns or areas not covered by redevelopment schemes.

Specific support is earmarked to enhance decentralised institutional capacity. The Town Centre First (TCF) is a cross-government plan-based policy launched in 2022 to tackle vacancy and building redevelopment, while ensuring town centres are thriving places to live and work in (Government of Ireland, 2022a). The scheme, which already covers 52 selected towns with less than 10 000 inhabitants, provides eligible towns

with funding to build town-level planning capacities. In this perspective, public support to local urban redevelopment policies is key, as redevelopment processes enable local authorities to reinforce themselves by testing their internal capacities and expand their knowledge by interacting with non-state actors and partners. Moreover, the acquired expertise will increase local authorities' willingness to embrace new redevelopments, paving the way for self-replicating initiatives (Canelas and Noring, 2022).

TCF supports decentralised institutional build-up via town-level teams, representing local communities, stakeholders, and businesses, tasked to devise a multi-dimensional redevelopment plan of their town centre. As financial support, – for up to EUR 160 000 (EUR 210 000 in less developed North-West counties), is earmarked exclusively to the development of the programme's multi-dimensional plan, upon its finalisation, local authorities have to competitively apply to available land development schemes to obtain the funding needed for its implementation. Even so, by prompting local actors and stakeholders to engage in an evidence-based coordinated policy approach, grounded on equally-weighted social, economic, and environmental considerations, the TCF scheme could be key in enabling more sustainable and attractive residential and mixed-use development within towns.

As lessons from the initial pilot towns emerge, the government is committed to establishing, via the National TCF office, a national TCF toolkit, which can enhance diffusion of best practices, to complement a dedicated web portal providing access to the scheme's resources and reviewing all available funding programmes (Government of Ireland, 2022a). The toolkit will include evolving guidance on developing effective town-level plans. Practical, hands-on guidance will be needed to assist local communities in properly diagnosing key developmental issues related to climate, digitalisation, entrepreneurship, culture, and social aspects. Practical guidance should also be provided for gathering baseline data essential for the town appraisals that inform TCF plans. Albeit partly relying on a set of relevant official data sources, which should be linked in the online portal, smaller communities may find the required surveys and data collections (e.g., across retailers and consumers) burdensome.

The TCF's cross-governmental, shared, and data-driven approach could become a reference model for national land development policy. The multi-stakeholder nature of the TCF plan, linked to a project anchored in NPF guidelines and led by a local authority or other public body, could constitute a model of shared planning capacity building. Towns not immediately eligible to the scheme but willing to pursue urban redevelopment initiatives according to its multi-dimensional approach – independently from their scale – should have full access to the portal and the toolkit resources. Tasking the national TCF Office with organising periodical workshops on tackling main procedural hurdles in bottom-up town regeneration projects could support further diffusion of best practices. Moreover, more developed data infrastructure could be built on the TCF's digital architecture to expand its knowledge base via eased access to resources and information relevant for broader land development issues.

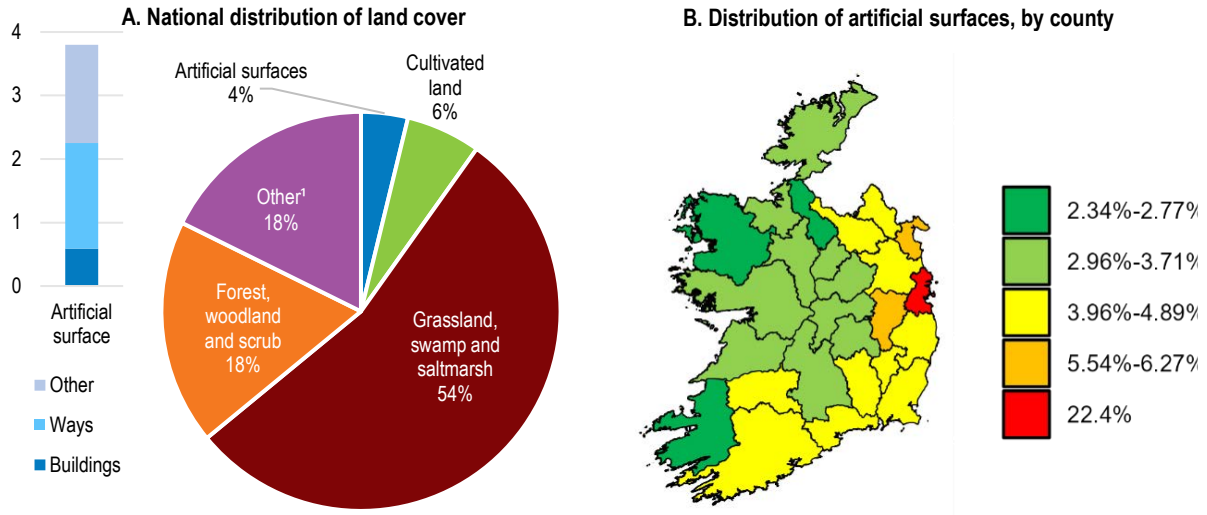
Building understanding to ensure more sustainable land-use management

Complementary reforms would enable further efficiency gains in land management. Ireland released its first national land cover map in 2022. According to the map, based on 2018 aerial and satellite imagery, artificial areas made up 3.8% of the national surface, which is somewhat below the 4.2% EU average, and were more concentrated in Eastern areas (Figure 4.13; Tailte Éireann – Surveying, 2022). However, there is currently no aggregated and standardised national data on land use, with existing data scattered across sources and often lacking detailed background information (Government of Ireland, 2023b). The government should engage with stakeholders and step up its efforts to establish a national land-use classification system. Such a system would accelerate the development of land-use maps, although the process will remain resource-intensive due to the need for high processing. Moreover, satellite imagery alone cannot capture multiple land uses within a single land cover type (e.g., residential and commercial uses in the same building), necessitating the implementation of sophisticated survey methods. The government's commitment to delivering a national land-use map by 2027 is welcome. This process should

also leverage available zoning data from local planning authorities to ensure that land-use map specifications enable the designing of integrated urban connections across lands used for residential, commercial, public service, recreational, or cultural purposes via active transport networks.

Figure 4.13. The incidence of artificial surfaces is low but geographically concentrated

Per cent of the national surface, 2018



1. Other includes peatland, heath and bracken, exposed surfaces, and waterbodies (excluding marine water).
Source: Tailte Éireann – Surveying (2022), *National Land Cover Map of Ireland 2018*, Final Report.

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Land prices are relatively high in Ireland and can account for a significant share of total development costs. While data on development land prices do not exist, as an indication the average price of one hectare of arable land was the EU's fourth highest in 2022 (Eurostat, 2024). Even so, in a private development perspective, greenfield sites remain more profitable than brownfield alternatives, as land prices in suburban areas are relatively lower and construction in empty areas is technically easier and cheaper than refurbishing existing buildings or sites. Indeed, profit margins generated by a new two-bedroom apartment built in a brownfield site can be 5-8% percentage points lower than in greenfield settings (SCSI, 2021). Therefore, tighter brownfield development targets, though signalling strong policy commitment, may end up having limited traction among private investors. Policies to rebalance profitability across brown and greenfield development or encourage a cultural shift in preferences and housing choices (Scott and Faulkner, 2022), could be more effective (OECD, 2022e).

Greenfield development generally incurs higher overall costs. Suburban greenfield development can lead to increased public spending on climate mitigation and adaptation due to environmental impacts, such as habitat destruction, loss of green spaces, and increased runoff and flood risk (McGrane, 2016). Additionally, increased private traffic and longer commutes lead to higher road maintenance costs and greenhouse gas emissions (Chapter 3). More critically, the state will be involved in the establishment – often from scratch – of comprehensive water, electricity, sewage, and road networks, as well as in fostering key public services in the area (e.g., schools, hospital, public transport systems). In contrast, brownfield sites have lower infrastructure development costs, although they may face higher spending on remediation, in the case of contaminated sites. Lower co-participation rates for the costs of essential infrastructure deployment relative to greenfield development would encourage investment in brownfield or compact development. Strategic use of green spaces in landfill developments can enhance the attractiveness of compact and innovative urban housing, as proximity to green areas, especially if recreational, makes newly-developed residential units more marketable (McCord et al., 2014; ONS, 2019). Implementing a

green point system to ensure sufficient green space, as successfully applied in Berlin, Malmö, and Southampton (Box 4.4), could be a viable solution.

Box 4.4. Malmö's Green Space Factors system

In 2001, the city of Malmö, hit by the decline in the shipbuilding industry, introduced the Green Space Factors system (based on an equation assigning factors to environmental features according to their ecologic benefits) to regenerate its mostly abandoned and contaminated Bo01 neighbourhood by applying environmental concerns to urban planning. Developers were required to achieve a green space factor of 0.6, i.e., ensuring that 60% of the surface of new developments was covered by high-quality green space. Subsequently, a Green Points System, as a checklist for developers to provide for varied plant species and habitats, was also introduced. The municipal government co-designed a Quality Programme with developers and funded the bulk of the first developments. The land was ultimately sold, and the profit contributed to the municipal budget. Ex-post evaluations showed the initiative was successful in greening the area, while no clear impact on biodiversity could be found.

Source: City of Malmö, Green City; Interlace Hub, Urban Governance Atlas.

A clearer understanding of the brownfield potential would enhance investment certainty. The government should prioritise the mapping of available brownfield sites, a task that could be assigned to the Land Development Agency, in its remit to scope State lands to deliver affordable housing options in cities and larger towns. The exercise should build on detailed estimates of the overall redevelopment costs associated to each project, so that brownfield sites can be mapped by their profitability. This would ensure more effective resource allocation and decision-making, as the mapped information, combined with an assessment of the potential to create social value, would help channel available funding to where it is needed (OECD, 2022e). Better categorisation of brownfield sites would also enable quantifications of the extent by which brownfield development can absorb population growth, as well as how much of it will eventually need servicing through greenfield alternatives. In the latter case, adequate regulatory and funding resources will be needed to develop greenfield spaces in communities close to key economic and social activity centres. These will have to feature low-mobility demand and minimal environmental footprints, thanks to sustainable – specifically planned – modes of transport and the enhanced supply of innovative and compact housing solutions integrating green amenities.

Improving the functioning of the private rental sector

The Irish rental sector has been changing over time. Demand has been driven by population increases, new household formations, inward migration (40% of private rental sector tenants are non-Irish), holiday lets and the rise of industries that attract higher-income workers to urban centres. Affordability trends in the Irish rental sector tend to be different than in other European countries. Overall, 13.2% of Irish tenants renting at market price were overburdened by housing costs (over 40% of household disposable income) in 2022, well below the EU average of 21%. However, this partly reflects the steep increase in housing support to low-income households, while middle-income renters face affordability challenges, especially in Dublin.

A small rental sector can increase house price volatility (NESC, 2023) and may lower competitiveness as discussed above. Hence, policies to increase rental supply should be prioritised, especially by creating more certainty in the investment environment. In the last quarter of 2023, 36% of residential sale instructions to agents were landlords selling their investment property, with overly complex and restrictive rent legislation cited as the main factor (SCSI, 2024a). Aspects of regulation that were of most concern to small landlords in 2022 included 'controls on rents' (35%), 'frequency of regulatory changes' (34%) and 'length of time for notices of termination' (31%) (RTB, 2023).

More flexible rental market regulations, together with reforms to increase supply responsiveness, can make housing markets more efficient and affordable in the long-term. As stringent rent controls reduce the rates of return on real estate investment and create uncertainty, they can discourage developers and lenders from investing in real estate, making the supply of housing less responsive to changes in demand (OECD, 2021a). While they improve affordability in the near term for existing tenants, rent controls can reduce labour mobility, construction in new units and maintenance of existing units. Hence, it is important to weigh the expected benefits of strict rent regulations on existing tenants in the short term against possible longer-term drawbacks.

Ireland introduced rent controls in 2016, which limited rent increases to 4% per year in areas designated as Rent Pressure Zones. The cap was then linked to harmonised inflation in the summer of 2021 and to 2% per year or the harmonised inflation rate, whichever is lower, in late 2021. The controls seem to have had some rent stabilisation effects (O'Toole, 2023; Coffey et al., 2022), but lack of data makes it difficult to measure the potential impact on supply, although some stakeholders cite it as a main barrier (Department of Finance, 2024). Furthermore, with higher-than-normal inflation in recent years, the cap is likely below the cost of maintenance and upkeep of property (O'Toole, 2023), and might have driven landlords to sell. Continued population growth, including inward migration, will raise demand for rental accommodation in big cities, increasing the need to maintain incentives to have an adequate supply of private rentals. A recent government study of the private rental market has recommended a detailed review of the rent control measures (DHLGH, 2024a).

One option to provide tenants with reasonable security over tenure and rent levels is a system of rent stabilisation, whereby rents can be freely adjusted for new contracts (between tenancies), but regulated during the duration of the contract (OECD, 2021a). Hence, Ireland should allow rents to be re-set between tenancies and adjusted for inflation during a residency, but care should be taken that it does not lead to unfair termination of contracts (see below). The current system also has some exemptions related to a property that has not been rented for a period of two years prior to the immediate tenancy commencement date and a property that has undergone a 'substantial change in the nature of the accommodation', such as increased floor area by at least 25% and improved energy efficiency (improvement of seven ratings). Such exemptions are welcome as they can counteract potential negative impact of disincentives for maintenance and upgrades, especially given Ireland's targets of reduction of carbon emissions from buildings. Their impact should be monitored and adjusted, as needed.

At the same time, keeping the balance of the rights of tenants and landlords is essential. The rights of tenants, which were among the lowest in the OECD in 2021 (OECD, 2021a), have improved over time through reforms to registration systems and dispute mechanisms, increased notification periods for termination and better regulation of physical standards (DHLGH, 2023a). Most notably, minimum notice periods for termination have risen to 90 days for tenancies under six months. The reasons for terminating a tenancy after six months, which include failure to comply with the obligations of the tenancy, sale of property, occupancy by landlord or family member or refurbishment, are similar to other OECD countries. However, landlords can terminate tenancies of less than six months without a reason, which combined with the proposed reforms to rent controls, could lead to unfair terminations. Hence, ensuring that the Rental Tenancies Board and local authorities, the primary regulators of the rental sectors, have sufficient funding and enforcement powers, is key (Housing Commission, 2024).

Reducing the complexity and frequency of changes to rent legislation can also help. The Residential Tenancies Act 2004 regulates the landlord-tenant relationship, covering private rental, cost rental, social rental by approved housing bodies and student-specific rental accommodation, and sets out the rights and obligations of landlords and tenants. There have been several changes to rent controls since 2016, a change in notice periods and processes for termination (see above) and moratoriums on evictions in extraordinary times. While some have improved the conditions for some tenants, the frequent changes have been reflected with many amendments to the Residential Tenancies Act 2004, making it complex and hard to navigate for both tenants and landlords (Housing Commission, 2024). An audit of the

administrative burden on rental regulation, followed by a review and consolidation of the Residential Tenancies Act, including its amendments, could improve the effectiveness of regulation of the private market sector.

Addressing bottlenecks and inefficiencies in the construction sector

Reducing labour shortages

Availability of skilled staff is the most commonly cited barrier to investment in the construction sector and higher than the EU average (EIB, 2024), reflecting rising demand from infrastructure investment, including housing, and a backlog of reduced apprenticeships in the aftermath of the global financial crisis. There are also some signs of skill mismatches, with declining employment despite high wage growth in the construction sector. Around 50 000 additional workers will be needed in the construction sector from 2023 to 2030 to meet the housing and retrofitting targets (DFHERIS, 2022). The ability to issue working permits has been expanded to almost all roles in the construction sector, and 1 474 were issued in 2022, up from 608 in 2021. While permits will help boost labour supply and key skills in the short term, they can also add pressure on the housing market (NCPC, 2024b). Hence, efforts to increase the domestic workforce in construction through apprenticeships (Chapter 2) and increasing productivity and standardisation in the sector (below) should also be continued. The recent declines in the demand for commercial real estate (Chapter 1) is also likely to free up some labour that could be allocated to residential housing sector. Supporting such a transition can help address some short-term bottlenecks.

Lowering costs and raising productivity in the construction sector

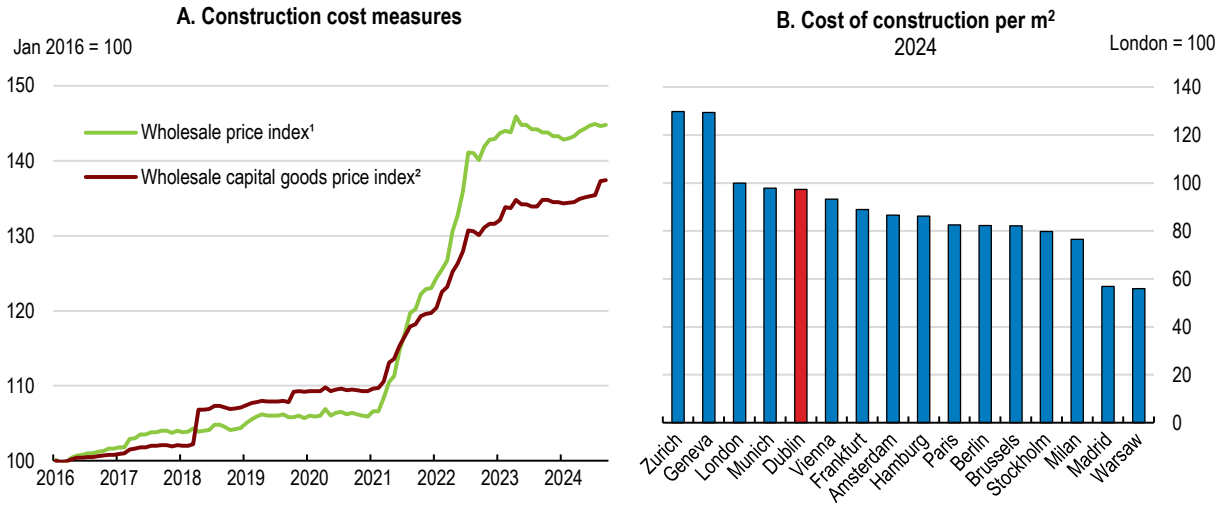
High construction costs can be a barrier to the cost-effective implementation of planned spending increases on housing, delivery of compact urban growth (see above) and viability, i.e. producing housing units at sale or rental prices consistent with costs of production and household incomes (Figure 4.14). Addressing viability challenges requires a good understanding of costs, which can be difficult to compare internationally (Arigoni, Kennedy and Killian, 2022). Nevertheless, several reports have found that construction costs are 15-30% higher in Dublin than in other European cities (DHLGH, 2023f; SCSI, 2024b and 2023a). In a context of rising demand and projected increases in the share of one-two person households, the construction costs of apartments should be lowered, as only the top sixth of the income distribution can afford a newly-built rental apartment (Lyons, 2021). Given high public spending on housing, improving viability would also boost public spending efficiency.

Aggregate cost measures do not capture the cost increases associated with regulatory changes, such as increased minimum sizes and energy efficiency requirements, lack of planning uncertainty and costs of infrastructure provision (Lyons, 2015; Housing Commission, 2024; Disch et al., 2024). Audits of construction costs should be continued, with a view to improve the evidence base of construction costs and develop targets for cost reductions, as in Germany (Box 4.5). Publishing extensive costings data, including the development and use of standardised measures of cost over time that consider soft costs, will be key. In addition, there is scope to ease regulations with respect to size and specification of units. For example, it is common for apartments for sale or rent in other comparable cities to have bare ceilings, no floor finish or fitted wardrobes, to have shared bathrooms/no ensuites, which lower the costs compared to Dublin (DHLGH, 2023f).

The development of standardised house and apartment types to reduce costs and support viability is key. The recommendations of the 2023 Residential Construction Cost Study (DHLGH, 2023f) should be implemented, as a priority. These include: *i)* undertake a similar cost study at regular intervals, using the methodology developed; *ii)* review certain standards around apartment fittings and finishes; *iii)* improve design and cost efficiency to increase standardisation and productivity of the construction sector. Hence, the recent assessment of total development costs for different types of housing is welcome (DHLGH,

2024e). Establishing a collaborative forum for the refinement of existing housing types, updating the technical guidance that accompanies the building regulations regularly to facilitate alternative construction methods, as recommended by the Housing Commission, should also be considered. Reviewing and configuring housing design standards to better reflect changing life-stage requirements and making design standards subject to rigorous checks before implementation would also help.

Figure 4.14. Construction costs can be a barrier to boosting housing supply



Note: Panel A: 1. For building and construction materials. 2. For building and construction (i.e. materials and wages). Panel B: Average cost of direct construction costs per m² for 11 building types.
Source: Central Statistics Office; and Turner and Townsend, *Global Construction Cost Performance*.

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Box 4.5. Germany's Construction Cost Reduction Commission

To address rising construction costs in Germany, the 2015 Construction Cost Reduction Commission developed 71 recommendations for the federal, regional and municipal governments, housing and construction industries, planners, researchers and others. Recommendations for policy-makers included: *i)* conducting a mandatory impact assessment of housing costs for all drafts of laws, regulations and standards; *ii)* harmonising existing building regulations, approvals and quality requirements, for instance by adopting model building regulations, *iii)* improving the evidence base of construction costs, drawing on completed construction projects, observation of cost influencing factors, contribution of innovative manufacturing processes; *iv)* setting minimum and uniform standards for social housing; and *v)* defining quality standards for simplification and rationalisation. The recommendations were followed up by setting up a special office to support implementation and the strengthening of standardisation and an expanding share of modular building. The increase in construction costs has been slightly lower in Germany than the EU average since 2015.

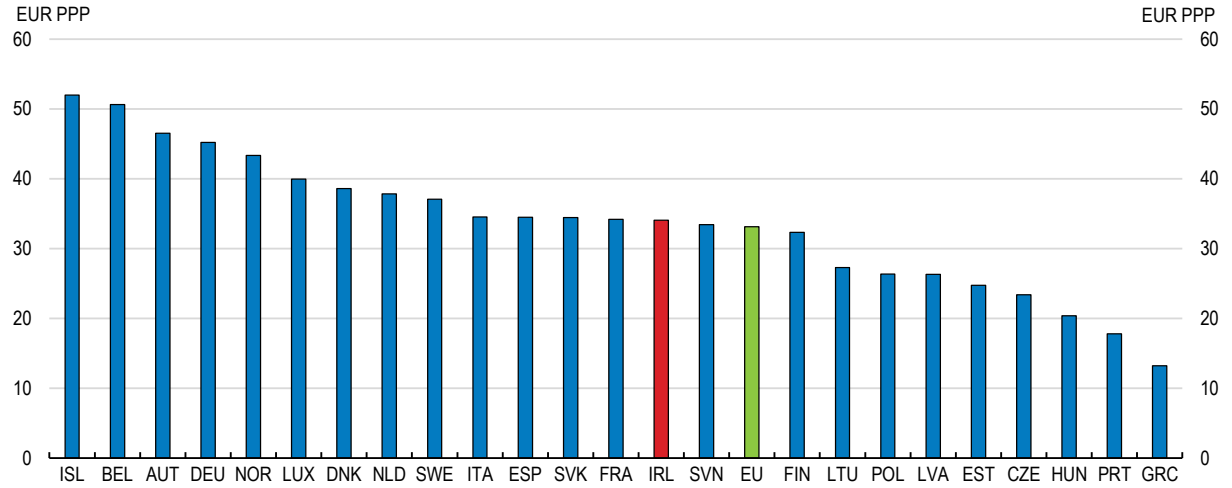
Source: OECD (2020a), *Policy Actions for Affordable Housing in Latvia*; and Bundesministerium für Wohnen, Stadtentwicklung und Bauwesen (2019), *Limiting Construction Costs*.

Comparatively low productivity in the construction sector (Figure 4.15) has been linked to lack of standardisation and scale due to fragmentation, with a high dependency on subcontractors (KPMG, 2020; Goodbody, 2024b). Ireland has been implementing its roadmap for increased adoption of modern methods of construction (MMC) via reforms to procurement processes, regulation and standards, financing, skills development and capacity of industry (DETE and DHLGH, 2023). Almost 1 800 social homes utilising MMC commenced construction in 2024 and the first phase of a new MMC Demonstration Park is under progress

(Government of Ireland, 2024b). The Build Digital Project brings different stakeholders together to support the digital transformation of the construction sector (Government of Ireland, 2022b).

Figure 4.15. Productivity in the construction sector is relatively low

Gross value added per hour worked, construction sector, 2023



Source: Eurostat, National Accounts.

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The main barriers to the widespread adoption of new technologies in the construction sector are lack of skilled labour, time and training costs, and uncertainty of MMC demand (EC, 2021; SCSI, 2023b; EY2021). Coordination between policymakers and industry and reskilling of the labour force will be needed, as was the case in Sweden and Germany (Oti-Sarpong and Shojaei, 2022). Following a recent assessment of skills needs for MMC, an action plan is being prepared to implement the recommendations, which should be prioritised. These should include developing more dedicated apprenticeships for MMC. It will also be key to ensure that smaller firms, who face difficulties in accessing supply chains, are able to switch to MMC, which could require innovative financing arrangements (NESC, 2024).

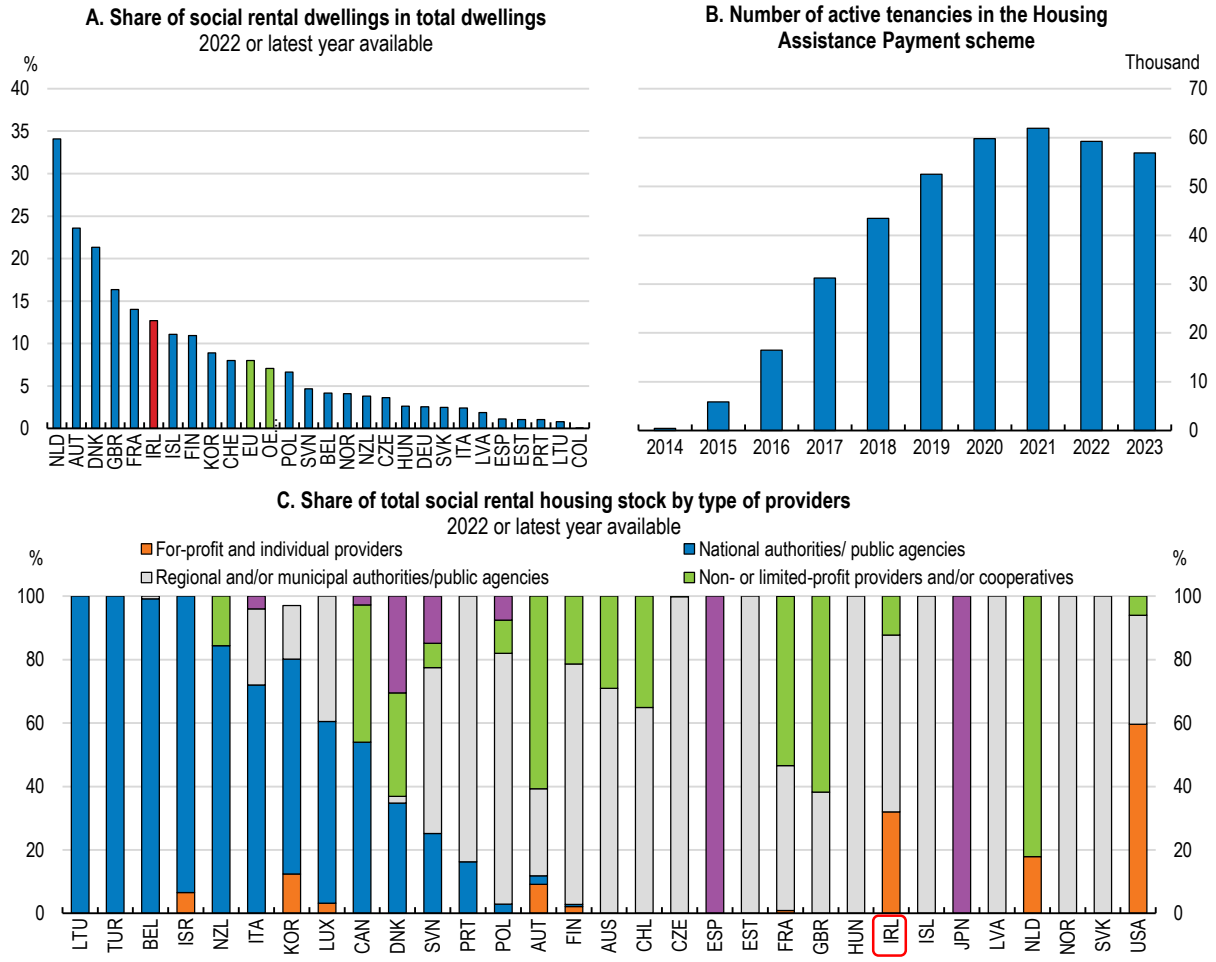
The small-scale nature of many construction projects and a large number of different housing designs prevent economies of scale (IBEC, 2021; Reddy, 2020; Sweeney, 2024). Setting mandated targets to allow a minimum of public sector new builds to be built through low-carbon building technologies, as in the United Kingdom, can provide incentives to scale up. The 2022 national guidelines provide a wide range of around 50 types of standardised designs. Local authorities and other agencies seeking state funding for social housing schemes are required to utilise one of these designs or explain when they do not comply. Full implementation is needed to ensure that the planned increases in social housing supply helps drive rapid standardisation. The public sector, which has a large and expanding role in the housing market, could leverage its purchasing power to lower costs and boost supply. For example, the state could lower the specifications on state-built housing, lower the price caps on units that benefit from subsidisation schemes and/or change the preferred typologies of such housing. The Land Development Agency, which will have a large role to play in the near term, can help drive this change. Increasing the targets and funding for new public housing using MMC under an expanded Social Housing Accelerated Delivery Programme and setting more binding targets around reduced carbon footprints could be considered (NESC, 2024).

Boosting access to affordable housing to enhance wellbeing

Improving the efficiency and sustainability of social and affordable housing

The provision of social housing is above the OECD average, but well below that in Austria, Denmark and the Netherlands (Figure 4.16, Panel A; OECD, 2020b). Nevertheless, the share of households in need of social housing or subsidised private rentals has tripled since the 1990s, leading to long waiting lists, an over-reliance on short-term rent supplement solutions and a steep increase in homelessness. The share of households on the waiting list for over seven years declined from 22.3% in 2022 to 21.5% in 2023. Needs are highest for certain areas and household types (Housing Agency, 2023). Those living in the four Dublin authorities (41.6% of the total), and one-adult and one-parent households are the main groups needing social housing, and the share of those needing social housing due to homelessness increased from 11.6% in 2022 to 13.5% in 2023. In addition, those receiving housing assistance payments are removed from waiting lists for social housing even though the tenancy is not as secure as direct provision of social housing (Housing Europe, 2023), likely understating waiting lists. Hence, it is welcome that one of the pillars of Housing for All is eradicating homelessness, increasing social housing delivery and supporting social inclusion (Box 4.1).

Figure 4.16. The share of social rental housing provided by the private sector is high



Note: See Indicator PH4.2.1 in Public policies towards affordable housing - OECD for detailed information.
Source: OECD Affordable Housing database; and Department of Housing, Local Government and Heritage.

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Delivery of social housing including through public-private partnerships is on the rise (DHLGH, 2024f). The Land Development Agency, the body responsible for coordinating the use of state land for housing, is mandated to provide 12 900 social, affordable, and cost rental homes between 2024 and 2028 (Government of Ireland, 2024d). This focus is welcome as around one fifth of the 83 recommendations of the Housing Commission are related to social housing, including to raise the share of social housing and cost-rental to 20%. In this context, it will be important to ensure the long-term financial sustainability of the system. The cost of housing those with an "ongoing unmet housing need" increased from EUR 29 billion 2020 to EUR 35 billion in 2022 (Parliamentary Budget Office, 2024).

Rising costs partly reflect the shift from direct provision of support to indirect subsidisation of housing costs in the private rental sector through the rental accommodation scheme, the rent supplement and housing assistance payments (HAP) (Table 4.3). The number of households receiving HAP rose steeply from 485 in 2014 to 61 907 in 2021, though it has declined by 8% since then (Figure 4.16, Panel B). The share of indirect support accounts for one-third of the total, compared to one-fifth in the early 1990s (Doolan, Roantree and Slaymaker, 2022). This is reflected in the high share of social rental housing provided by for-profit and individual providers (Panel C) and rising costs, with annual expenditure on HAP more than tripling between 2017 and 2020, despite the freeze of income and rent limits in recent years.

Table 4.3. Overview of housing supports for low-income renters

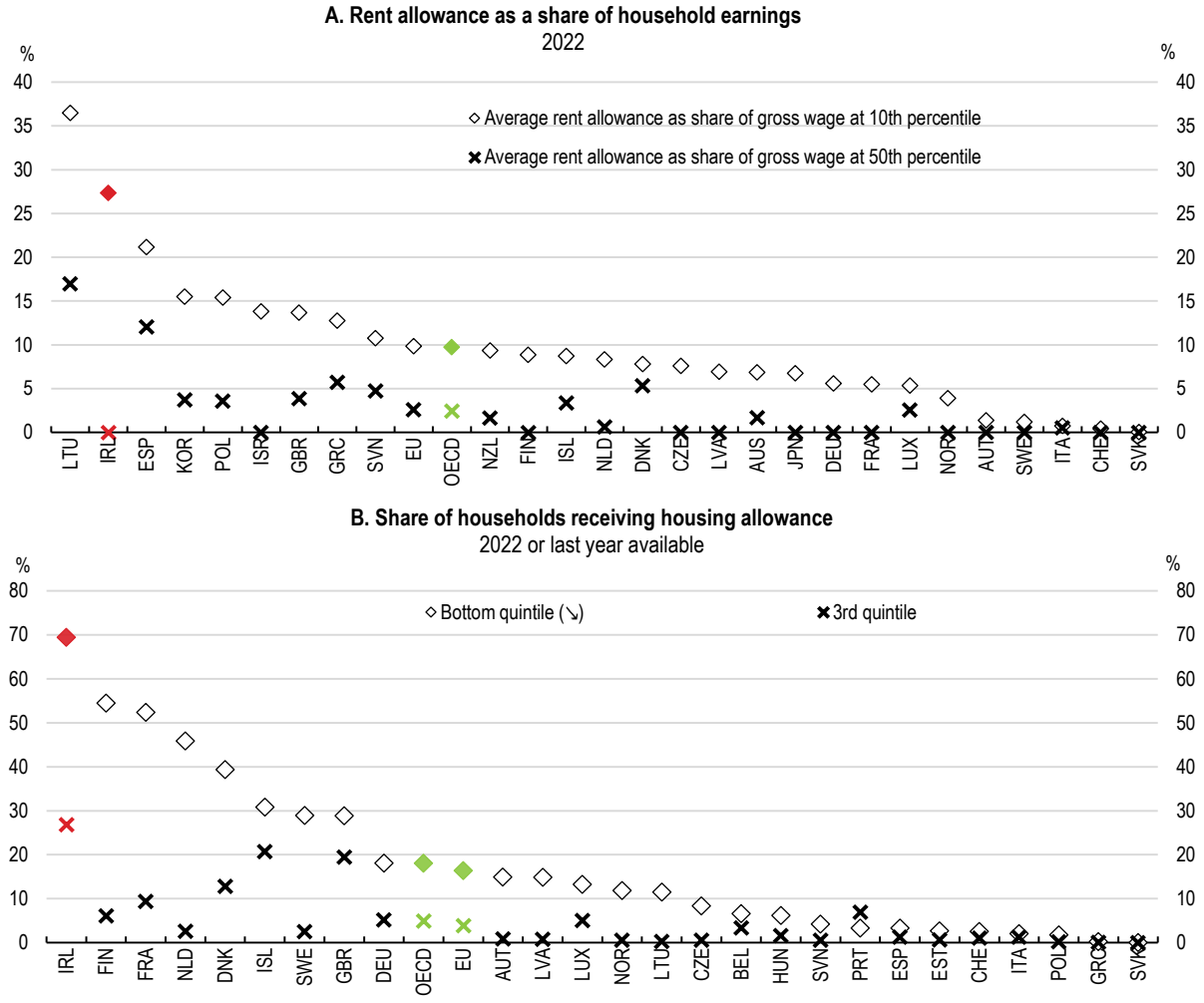
Support	Type of provision	Eligibility	Landlord	Responsibility for sourcing accommodation	Rent
Local authority (LA)	Direct – Accommodation is provided in dwellings owned by LAs	Income below limit and deemed by LA to have housing need	LA	LA	Tenant pays differential rent contribution
Approved housing body (AHB)	Direct – Accommodation is provided in dwellings owned by AHBs	Income below limit and deemed by LA to have housing need	AHB	AHB	Tenant pays differential rent contribution
Social Housing Current Expenditure Programme	Direct – Accommodation is provided by LAs and AHBs through the lease of properties owned by private landlords and subsidised by the State	Income below limit and deemed by LA to have housing need	LA or AHB	LA or AHB	Tenant pays differential rent contribution. LAs pay landlords 92% of market rate rent
Rental Accommodation Scheme (RAS), private	Indirect – Tenants live in private rental sector accommodation but pay a differential rent contribution based on their circumstances	Income below limit and deemed by LA to have housing need	Private sector landlord	LA	Tenant pays differential rent contribution. LAs pay landlords 92% of market rate rent
Rental Accommodation Scheme (RAS), (AHB)	Direct – Accommodation is provided in dwellings owned by AHBs	Income below limit and deemed by LA to have housing need	AHB	AHB	LA pays weekly subsidy to AHB. Tenant pays differential rent contribution.
Housing Assistance Payment	Indirect – Tenants live in private rental sector accommodation but pay a differential rent contribution based on their circumstances	Income below limit and deemed by LA to have housing need	Private sector landlord	Tenant	Tenant pays differential rent contribution and top-up if rent not within rent limits. LAs pay landlords rents as per rent limits plus discretion.
Rent Supplement	Indirect – Means tested payment for households living in private rental sector accommodation who are unable to provide for the cost of their accommodation	Significant change in financial circumstances, habitual residence, nobody working > 30 hours per week	Private sector landlord	Tenant	Market price rent

Note: Approved housing bodies are independent, not-for-profit organisations providing affordable rented housing for people who cannot afford to pay private sector rents or buy their own homes.
Source: Doolan, M., B. Roantree and R. Slaymaker (2022), "Low income renters and housing supports", *ESRI Research Series,* No. 141; and Department of Housing, Local Government and Heritage.

While supported tenants in the private rental sector can have greater choice of accommodation and location, they are more directly affected by developments in the private rental market in terms of availability and affordability and have less secure tenure, in contrast to those in properties owned by local authority or approved housing bodies (AHB). Housing allowances can be more flexible in terms of targeting and provision and are less likely to create mobility barriers than social housing (OECD, 2020b). However, in the case of an inelastic housing supply, housing allowances can drive up rental prices and are ultimately passed along to landlords in some cases, rather than to households in need (Salvi del Pero et al., 2016).

In international perspective, rent allowances in Ireland are generous and reach a high number of households, including those in the third quintile of the income distribution (Figure 4.17). As in some other OECD countries, Ireland has a "missing middle" among renting households. Estimates suggest that around 56% of renting households in the Greater Dublin area are not eligible for social housing, but cannot afford rents (Lyons, 2021). In addition, while the primary beneficiaries of housing supports are low-income households, one-fifth of supported renters are in the top half of the income distribution (Corrigan et al., 2019). Hence, the housing allowance system, including the rising dependency on the already-stretched private rental market, should be reassessed with a view to lowering their use as a long-term solution.

Figure 4.17. Rent allowances are generous and reach a high share of households



Note: See indicators PH3.3.3 and 3.3.1 in Public policies towards affordable housing - OECD for detailed information for Panels A and B, respectively.
Source: OECD Affordable Housing Database.

StatLink https://stat.link/524iy9

In the short term, given the rising dependence on housing allowances, a reform of the differential rent scheme, as committed to in Housing for All, should be pursued. Currently, the amount of rent contributed by tenants is linked to household income and composition and is unrelated to the cost of providing or maintaining accommodation. However, each local authority has its own rules, with a large variation in terms of calculations (assessable incomes, contribution rates, thresholds). Local authority tenants in different areas on similar incomes do not pay the same rents, even when renting properties with the same market value (Commission on Taxation and Welfare, 2022), often with lower rents in Dublin. A reform towards a national system could improve the currently weak incentives for local authorities to invest in the direct provision of social housing since rental income tends to fall below management and maintenance costs. For example, capping rents at the cost of provision, while removing supplementary caps on the contribution of subsidiary earners, could enable local authorities to raise additional rental income from their higher-income-tenants (Doolan, Roantree and Slaymaker, 2022). Together with cost-rental (see below), such a reform can reduce the degree of rental market segmentation.

In the long run, moving away from housing allowances requires a higher supply of social and cost-rental housing. Housing for All introduced cost rental, where rents are set to cover only the cost of financing, managing and maintaining the homes, which aims to improve affordability and tenure security for middle-income households (net annual income of less than EUR 59 000 and nationwide and EUR 66 000 in Dublin). The target is 18 000 units by 2030, with around 2 200 already delivered by the second quarter of 2024. This model can help improve the long-term financial sustainability of the system, if the homes continue to be offered at affordable rents in perpetuity and future profits are ringfenced for the development of new social and affordable housing (Housing Europe, 2023).

Irish social housing is more expensive than that in Austria and Denmark due to its different funding model and its failure to retain and recycle the value of historic public subsidies (Norris, 2020). The current funding model, which mainly depends on central government grants and loans to local authorities and AHBs, can be procyclical and volatile as in the post-GFC period. In addition, the value of past investment has leaked out of the social housing system as around two-thirds of all publicly financed housing built since the 1930s have been sold to tenants at 40-60% discounts from market values (Norris and Bryne, 2020). The current system of leasing arrangements with private landlords and the HAP scheme also increases leakages from the system. In contrast, other countries, where public authorities have held onto social rental housing, rather than privatising them by selling them to tenants at below market prices, have developed revolving financing mechanisms, where rents from older parts of their stock can act as capital for new investment (Box 4.6). This reduces the long-term need for ongoing public capital investment for housing development (Housing Europe, 2021). Austria and Denmark also utilise housing bonds to attract private capital for investment in affordable housing (OECD, 2023a).

Box 4.6. Alternative funding models to social housing: Austria and Denmark

In **Austria**, revolving funds support the development and maintenance of the social housing stock. Approximately 30% of a typical project is financed through public loans (0.5-1% interest rate and 30-45-year maturity), and the remaining via bank mortgage loans (with interest rates below other commercial finance) and equity contributions from housing associations. The Limited-Profit Housing Act sets out the key governance principles for housing associations, including a limitation of nominal capital paid out to shareholders of 3.5%, a calculation of prices based on actual costs, a continuous reinvestment of capital and a regular audit of the efficient use of resources and the compliance with the Limited-Profit Housing Act. The business model of housing associations is based on cost-recovery and a continuous re-investment of any surpluses into new construction or renovation. This means that a housing association is legally required to charge the cost it takes to build and maintain a house. Any surpluses generated are strictly regulated.

Denmark's National Building Fund is an independent institution outside the state budget. Funding is based on a share of tenants' rents (amounting to 2.8% annually of the total acquisition cost of the property), in addition to housing associations' contributions to mortgage loans (approximately 2% of the property acquisition cost). Payments are adjusted annually for the first 20 years after loan take-up, and then by a slightly lower rate until the 45th year, at which point rents are maintained at the reached nominal level. A share of tenants' rent is used to pay off the housing agency's mortgage loan for the first approximately 30 years, at which point the share is allocated to the state for another ten years. Once this period is over, the share is allocated to the National Building Fund. Approximately one-third of the Fund's resources are used to support the construction of new social housing. In this way, each housing organisation contributes to and can borrow from the Fund, which supports a wide range of activities, including renovation work in the existing housing stock.

Source: OECD (2020b), "Social housing: A key part of past and future housing policy", *Employment, Labour and Social Affairs Policy Briefs.*

Any proposed reform of the model should ensure that it is underpinned by legislation, regulations and an appropriate governance structure. For example, the Housing Commission recommends: i) introducing new sources of debt finance (e.g. through the European Investment Bank); ii) expanding the remit of the Housing Finance Agency to act as a debt placement agency to manage access to funding by raising the required finance, conducting credit assessments, allocating the finance among borrowers, and organising repayment; iii) improving transparency by publishing details on the costs of delivery by different organisations and funding mechanisms (as in Denmark, where the Housing Fund has set up an extensive database); and iv) establishing, through legislation, a revolving fund capitalised by central exchequer funding. The latter could part-fund government loans for social housing provision, refurbishment and upgrading, which, following their repayment using income from housing rents, could be 'revolved', i.e. lent out again. The use of this fund must be appropriately regulated and restricted to social and cost-rental housing provision, refurbishment and upgrading and could be managed by the Housing Finance Agency.

Addressing rising numbers of people experiencing homelessness

Reduced housing affordability in the wake of the COVID-19 pandemic, driven by strong population and house price growth coupled with surging costs of living, triggered a marked increase in Ireland's homelessness rate, relative to the pre-pandemic period (Figure 4.4, Panel C). A record of over 15 199 individuals had registered for emergency accommodation as of November 2024 (DHLGH, 2024g), 31% of whom were children. This is equivalent to around 29 persons experiencing homelessness per 10 000 population, the fourth highest rate among the 22 OECD countries with available data, although based on differing national definitions (OECD, 2023b), and does not include data on persons experiencing street homelessness, which are collected by local authorities. Close to two-thirds of adult homeless individuals avail of private emergency accommodation, including hotels, B&Bs and other residential facilities, which is more costly than state-run housing alternatives (RTÊ, 2024). In addition, homelessness appears to be geographically concentrated, with about 71% of adults' access to emergency and temporary accommodation occurring in the Dublin region and the rest being mostly concentrated in other main cities (DHLGH, 2024h).

Increased delivery of social housing gave local authorities some leeway in ensuring more secure and permanent housing solutions to people experiencing homelessness and at-risk individuals or households. Hence, in September 2024, both preventions and exits from homelessness – via the creation of new tenancies for adults – were up strongly in annual terms. More importantly, rising exits from emergency accommodation through local authority and AHB lettings significantly reduced reliance on private rentals. Nevertheless, homelessness continued to increase (DHLGH, 2024g). More streamlined social housing allocation processes and improved portability of rights to facilitate labour mobility, together with enhanced and more consistent rules for prioritising people experiencing homelessness across local authorities, are needed. Delays in allocating social housing for people who are exiting homelessness can easily derail their

transition towards more secure accommodation (Housing Commission, 2024). Fostering the provision of appropriately-sized social housing could also help. With single adults and parents accounting for, respectively, 66% and 58% of all homeless adults and families (DHLGH, 2024h), boosting the supply of one- and two-bedroom social housing units, of which there is a shortage (Housing Commission, 2024), could improve access to proper housing for the most disadvantaged.

Albeit mostly driven by family breakdowns and evictions from private rentals, homelessness in Ireland is often also associated with mental health, substance, or relationship abuse issues. In addition, poor transitions to autonomous housing of immigrants from outside the European Economic Area (including recognised refugees), whose number has grown to make up 26% of all residents in emergency accommodation as of November 2024 (DHLGH, 2024h), limit the local authorities' capacity to accommodate new applicants. Effectively addressing such multi-faceted social needs requires significant cross-government policy coordination (OECD, 2023c). This is well acknowledged within the Housing for All Plan but not yet fully reflected on the implementation side (Housing Commission, 2024). For instance, the effectiveness of Housing First, the flagship programme providing multi-dimensional support to long-term homeless individuals with complex and chronic needs, following their move to permanent housing, is constrained by a lack of dedicated funding for healthcare assistance. Ensuring earmarked, multi-year funding from the Health Service Executive could significantly improve the programme's service quality, via enhanced certainty and better long-term planning. Multi-year funding should also be made available to the Youth Homelessness Strategy, which could enable a shift towards more ambitious targets. Expanding the provision of integrated housing-related social work services, currently available mainly in the Dublin area (Housing Commission, 2024), would improve the effectiveness of case management via a better understanding of underlying social and housing needs.

Table 4.4. Past OECD recommendations on housing

Recommendations in past surveys	Actions taken since 2022
Expedite the streamlining of planning and judicial review processes, for example by establishing a special division in the High Court with sufficient tools, resources and technical capacity to reduce delays.	The new Planning and Development Act was enacted in October 2024. A High Court division specialised in planning and environment was established in December 2023.
Continue to keep the First Home scheme narrowly targeted and limited in size.	This remains a limited and time-bound scheme. The price ceilings are reviewed every six months to address unintended consequences, if needed.
Address capacity issues in the planning system and sufficiently resource local planning authorities.	A Ministerial Plan was published in October 2024 to address such capacity constraints. In October 2023, new posts were approved for planning authorities.

Recommendations for making housing more affordable and resilient for all

MAIN FINDINGS	RECOMMENDATIONS (key ones in bold)
Designing efficient housing policies with a long-term view	
Repeated large-scale changes to the fiscal and regulatory framework lower investment certainty, which might lower long-term private investment in housing.	Ensure housing-related policy, legislative, and regulatory proposals are subject to rigorous regulatory impact assessment.
The rising number of schemes and fiscal costs increase the importance of basing housing policies on sound economic data and cost-benefit analysis, including long-term effects.	Continue to improve the consistency and interconnectedness of housing databases through greater standardisation and collaboration among different data-collecting bodies.
The dynamism of the Irish economy and uncertainty surrounding future developments coupled with insufficient incorporation of pent-up demand has led to an underestimation of housing targets.	**Ensure housing targets reflect housing needs accurately through regular updates and better align local targets with local conditions, especially in urban areas where housing shortages are more acute.**
Reforming housing taxation	
Temporary tax measures were introduced in Budgets 2024 and 2025 to improve housing affordability and rental supply.	**Phase out the temporary mortgage interest rate relief and tax incentives for landlords and tenants introduced in recent budgets.**
Receipts from taxation of immovable property are modest. Higher tax rates on residential dwellings can support tax neutrality, while higher land taxes can increase the supply of serviced land.	**Increase local property taxes and the rates of residential zoned land.**
Local property taxes levied at similar rates on both primary and secondary residences and a full tax exemption on capital gains realised on the sale of a primary residence disproportionally benefit high-income households.	Tighten the tax treatment of secondary homes, via higher property taxes, and cap the capital tax exemption on sales of the main residence, while abolishing stamp duties.
Ensuring more effective and faster planning processes	
A large body of secondary regulations will be required to effectively implement the New Planning Act due to its complexity.	Ensure rapid adoption of secondary regulation to support the implementation and effectiveness of the Act.
The Planning Board's case management system is largely paper based, while a lack of deeper data collection frameworks weighs on effective monitoring.	Enhance the new Planning Commission's case management system via deeper data collection frameworks and digitalisation.
National adoption of E-Planning, which can help streamline the planning system via improved digitalisation, has been delayed since 2022.	Accelerate the national adoption of E-Planning.
The authorities are facing challenges with the recruitment and retention of new planners, especially in local planning offices.	Increase the provision of tailored training modules across all levels of local planning offices' staff.
Increasing investment in sustainable compact housing development	
The new planning guidelines aim to boost compact land development via area-specific residential target density ranges, while allowing some flexibility with exemptions, which need to be monitored.	Ensure monitoring of exemptions to housing density guidelines. Make respect of density ranges a key criterion to receive public financial support to development.
The Town Centre First scheme's bottom-up, multi-stakeholder approach can make it a reference model for more sustainable land development, but open access to all relevant information is needed to identify recurrent failures and boost diffusion of best practices.	Develop effective data architecture to assess town-level land-use management and rapidly set up the Town Centre First toolkit, including a web portal to all related resources and information.
National land-use data are scattered and not standardised, and a land-use classification system is lacking, hampering planning.	**Step up efforts to establish a national land-use classification system to enable the rapid release of a national land-use map.**
Improved understanding of the potential for brownfield projects is needed to ensure investment certainty and better resource allocation and decision-making.	Lower development levies and other charges on brownfield investments relative to greenfield. Build a map of available brownfield sites.
Improving private rental markets	
The rent control system, which currently applies within and between contracts, with some exceptions, can lower future rental supply.	Apply rent controls only within contracts, while ensuring that the reform does not lead to unfair termination of contracts.
Frequent regulatory changes and complex rental regulation can be challenging for tenants and landlords, lowering the effectiveness of private market sector regulation.	Review and consolidate of the Residential Tenancies Act, including its amendments.
Lowering costs and raising productivity in the construction sector	
Costs are high and productivity is low in the construction sector, notably for apartments in urban areas. Widespread adoption of standardised construction methods faces start-up costs.	Continue to conduct audits of construction costs, based on standardised measures of over time, with a view to develop targets for cost reductions. **Implement the recommendations of the 2023 Residential Construction Cost Study by reforming specifications and size of units and further enhancing the adoption of standardisation in construction, especially by SMEs.** Leverage the state's position in the housing market to lower costs, inter

	alia by reducing the specifications on state-built housing or lowering the price caps on state-subsidised units.
Boosting access to affordable housing	
The social housing stock is increasing, but not enough to meet rising needs. The system is characterised by increasing costs and dependence on housing allowances and the private sector rental market.	Lower dependence on the private rental market as a long-term solution, while continuing to increase the social housing and cost rental stock. **Reform the funding of social housing by diversifying sources of finance and recycling revenues back into social housing provision.**
Complex social housing allocation processes and diverging prioritisation criteria across local authorities contribute to a rising number of people experiencing homelessness. The effectiveness of multi-dimensional schemes to support people experiencing homelessness with complex needs is constrained by lack of multi-year funding along some of their components.	**Streamline social housing allocation processes and prioritise people experiencing homelessness more.** Align funding across all the departments involved in the implementation of homelessness strategies.

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Despite GDP volatility, driven by some multinational-dominated sectors, the domestic economy remains robust, thanks to strong labour market performance, but risks have risen. Fiscal prudence is required to address spending pressures from ageing, infrastructure gaps, climate change and housing investment. Enhancing the fiscal framework, boosting spending efficiency, and diversifying tax revenues would improve long-run fiscal sustainability. In the context of a rapidly increasing population and rising capacity constraints, addressing investment needs requires effective prioritisation and sequencing across sectors and type of projects. Reducing labour and skills shortages, lowering legal costs, and further easing administrative burdens on businesses would help maintain cost competitiveness. While Ireland has well-developed climate change mitigation and adaptation frameworks, a shift from planning to implementation is needed. Recent policy measures have spurred housing completions, but continued imbalances between housing supply and demand reflect structural impediments to a well-functioning housing market. Reforming the tax system to ensure its neutrality across housing tenure types and increase the supply of serviced land, improving the planning and permitting process, increasing housing density, and lowering costs and improving productivity in the construction sector are key to boosting housing supply. Ensuring adequate supply and funding for the construction and operation of social housing should also be prioritised.

SPECIAL FEATURES: COMPETITIVENESS; GREEN TRANSITION; HOUSING

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